

May 21, 2026 10:25 AM GMT

Energy | North America

Refreshing Estimates & Revisiting Sensitivities

We refresh ests for 1Q, latest '26 guides and oil price strip as of 5/20. Our '26 oil prod'n for oil E&Ps +0.6% on avg with most spending plans unchanged. We see post-conflict value and would opportunistically add exposure to Majors & high-quality E&Ps on de-escalation pullbacks.

Key Takeaways

- With 1Q results, most left '26 activity & spending unchanged (except for FANG, COP, PR), some slightly raised volume guides at similar capex due to efficiencies.
- FY26 oil prod'n for oil E&Ps rises by 0.6% on average (near consensus). Guidance implies ~40 kb/d exit-exit US shale growth for E&Ps (~180 kb/d incl. majors).
- We estimate a median 2026 FCF yield of 15% for our oil E&P coverage at latest strip (full-year average ~\$88 WTI) and 9% for gas E&Ps (~\$3.67 HH).
- Oil producers are pricing in long-run WTI of ~\$70, ~16% below the 12-month strip. Gas E&Ps reflect ~\$3.50 Henry Hub, near the forward curve.
- We retain our preference for Majors (most upside for XOM) and E&Ps with positive rate of change (DVN, PR, CHRD & CVE).

Capital discipline holds despite higher prices. As we highlighted last week (see [Higher Oil, Flat Activity - Recapping 1Q](#)), 1Q earnings brought generally constructive operational updates, with most operators keeping 2026 activity plans unchanged despite higher prices (except for FANG, COP, & to a lesser degree PR). Some also modestly raised production outlooks with no change to spending, citing efficiency gains. Despite strong results and ongoing disruption in oil markets, the group is down ~3% month-to-date. While there is a wide range of near-term outcomes, including potential downside risk with a formal peace deal, fully restoring production and replenishing inventories will take time, likely supporting prices well beyond the end of the conflict. We would opportunistically add exposure to Majors & high-quality E&Ps with positive rate of change on de-escalation pullbacks.

Refreshing estimates. With this note, we refresh estimates for 1Q results and updated 2026 guidance. Full-year production for oil E&Ps in our coverage moves ~0.6% higher on average (near consensus), while capex is roughly unchanged (near consensus). In addition, we are refreshing our price deck to reflect the oil & gas strip as of May 20, bringing our assumed FY 2026 WTI price to ~\$88, up from ~\$79 prior. Higher crude prices drive an 18% average increase in our '26 FCF estimates, while our refreshed 2026 EBITDA estimates are 10% above consensus. Intrinsically, oil E&Ps reflect ~\$70 long-run WTI, below the 12-month strip. Gas stocks are pricing in ~\$3.50 Henry Hub, near the 12-month forward price.

MORGAN STANLEY & CO. LLC		
Devin McDermott		
Equity Analyst and Commodities Strategist		
Devin.McDermott@morganstanley.com		+1 212 761-1125
Joe Laetsch, CFA		
Equity Analyst		
Joe.Laetsch@morganstanley.com		+1 212 761-8804
Svetlana Do		
Research Associate		
Svetlana.DO@morganstanley.com		+1 212 761-2409
Helen Lin		
Research Associate		
Helen.Lin@morganstanley.com		+1 212 761-0766
Justin W Latran, CFA		
Research Associate		
Justin.Latran@morganstanley.com		+1 212 761-2869
Jacqueline M Kenny		
Research Associate		
Jacqueline.Kenny@morganstanley.com		+1 212 761-2253

EXPLORATION & PRODUCTION	
North America	
Industry View	In-Line
INTEGRATED OIL	
North America	
Industry View	Attractive

See our price target changes in [Exhibit 12](#)

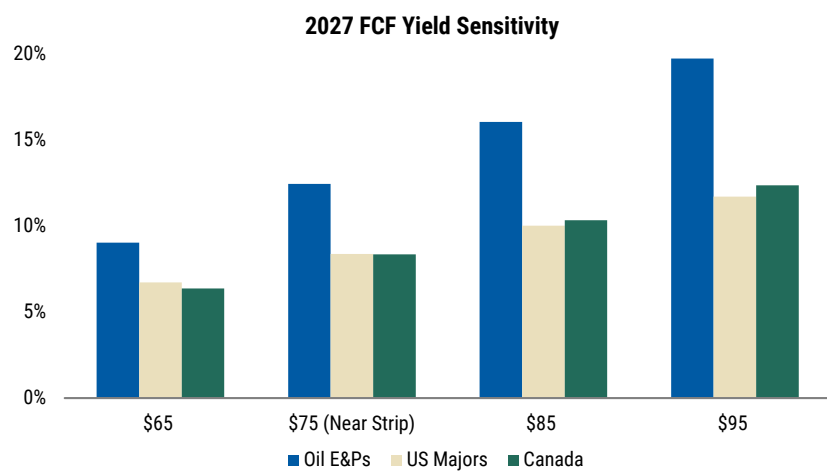
Morgan Stanley does and seeks to do business with companies covered in Morgan Stanley Research. As a result, investors should be aware that the firm may have a conflict of interest that could affect the objectivity of Morgan Stanley Research. Investors should consider Morgan Stanley Research as only a single factor in making their investment decision.

For analyst certification and other important disclosures, refer to the Disclosure Section, located at the end of this report.

- With this update, we incorporate the DVN/CTRA merger, which closed on May 7. The company expects to issue combined full-year guidance in mid-June. We remain Overweight on DVN and increase our price target to \$66/sh (36% upside).

See [Estimate Revisions](#) for key model changes vs. pre-1Q earnings estimates for each company.

Exhibit 1: Looking ahead to 2027, oil E&Ps offer a median FCF yield of 12% at strip (~\$75 WTI). US Majors and Canadian oil sands producers sit closer to 8%

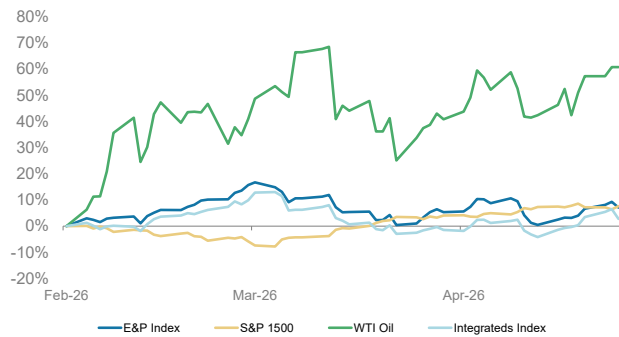


Source: FactSet, Morgan Stanley Research estimates

Key Charts – Estimates & Valuation

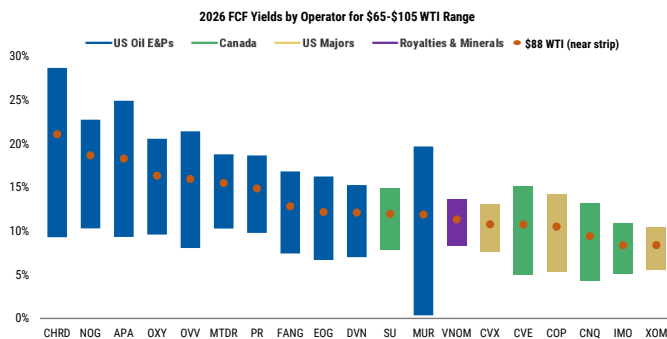
Exhibit 2: Since the start of the Iran conflict, E&Ps have risen 7%, underperforming the broader market by ~1%

Performance



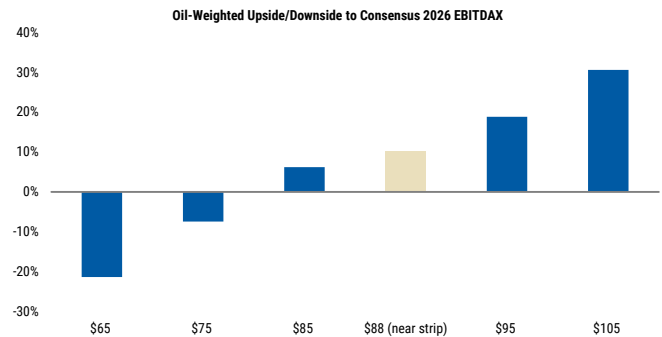
Source: FactSet, Morgan Stanley Research

Exhibit 4: The median FCF yield for our oil coverage is 12% at ~\$88 WTI (near FY26 avg implied by bal-year strip). This would move by ~2% for every \$10 change in oil. CHRD, NOG & APA all screen particularly well across a range of prices



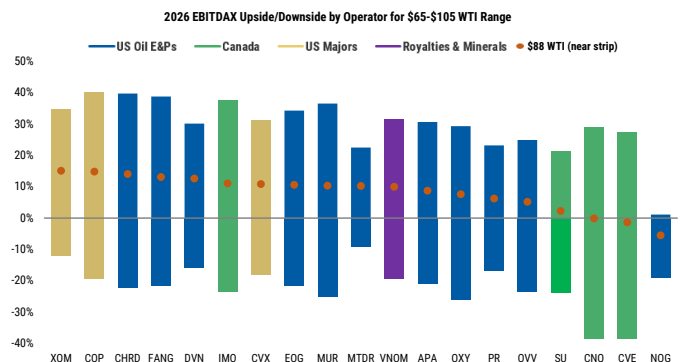
Source: FactSet, Morgan Stanley Research estimates. Y-axis is cut off at 30%.

Exhibit 3: We estimate consensus is currently pricing in ~\$80 WTI based on 2026 EBITDAX estimates, lower than the full-year average of \$88 implied by the latest strip



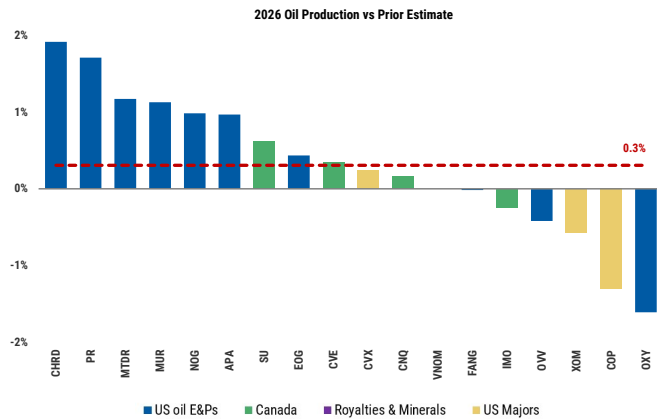
Source: FactSet, Morgan Stanley Research

Exhibit 5: At prices near strip, we see about 10% upside to FY26 consensus EBITDA, rising to 30% at \$105. We also see significant upside to estimates for the US majors, supported by strong downstream margins



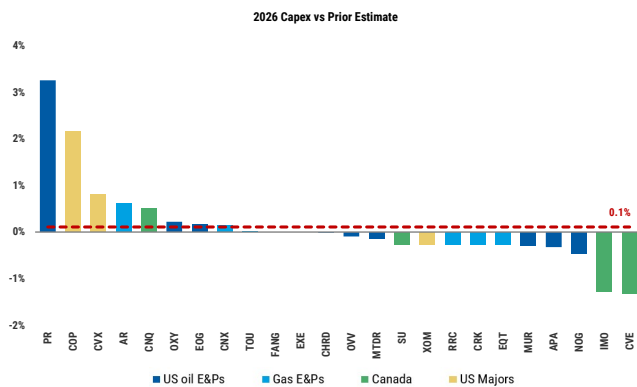
Source: FactSet, Morgan Stanley Research estimates

Exhibit 6: Our 2026 oil production estimates are moving ~0.3% higher on average (+0.6% for oil E&Ps) as some producers modestly raised '26 oil guides



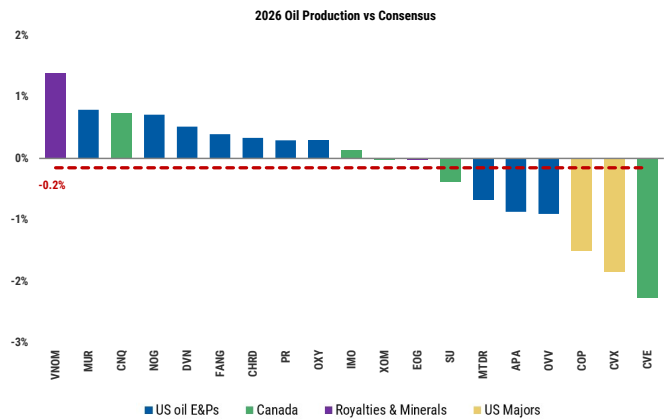
Source: FactSet, Visible Alpha, Morgan Stanley Research estimates. Prior refers to pre-earnings estimates. Oil production is oil & condensate for OVV. CVX & XOM oil production includes NGLs. DVN is not shown as we incorporated merger with CTRA.

Exhibit 8: Our 2026 capex estimates remain roughly unchanged on average as most operators maintained their activity plans...



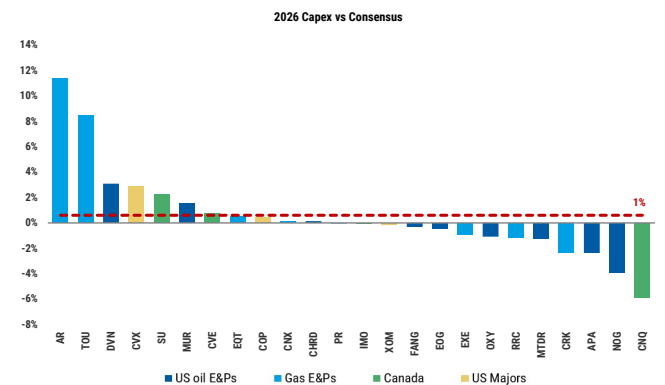
Source: FactSet, Visible Alpha, Morgan Stanley Research estimates. Prior refers to pre-earnings estimates. Oil production is oil & condensate for OVV. CVX & XOM oil production includes NGLs. DVN is not shown as we incorporated merger with CTRA.

Exhibit 7: MSe roughly in line with consensus on average



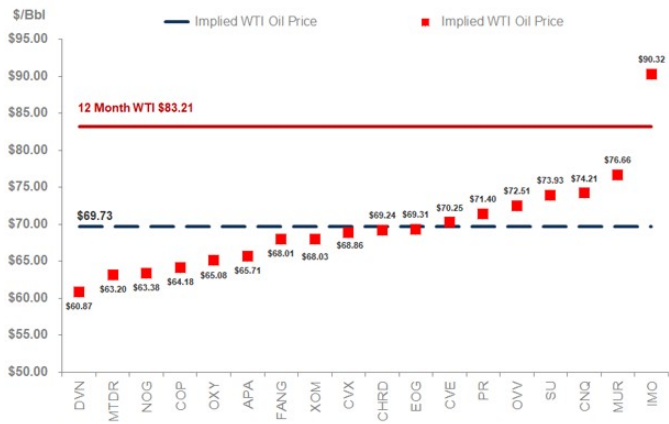
Source: FactSet, Visible Alpha, Morgan Stanley Research estimates. Oil production is oil & condensate for OVV. XOM oil production includes NGLs.

Exhibit 9: ... with MSe ~1% above consensus on average



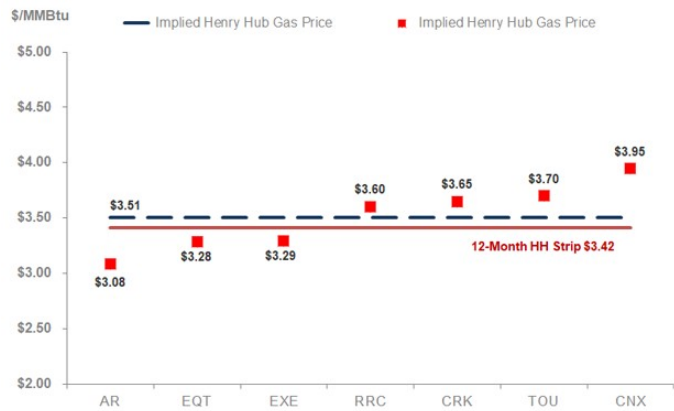
Source: FactSet, Visible Alpha, Morgan Stanley Research estimates. Oil production is oil & condensate for OVV. XOM oil production includes NGLs.

Exhibit 10: The E&P sector reflects long-term WTI price of ~\$70, ~16% below 12-month strip prices of ~\$83



Source: Bloomberg, Morgan Stanley Research. Note: intraday prices as of 5.20.2026.

Exhibit 11: Gas E&Ps reflect a median Henry Hub price of ~\$3.50, ~3% above 12-month future prices



Source: Bloomberg, Morgan Stanley Research. Note: intraday prices as of 5.20.2026.

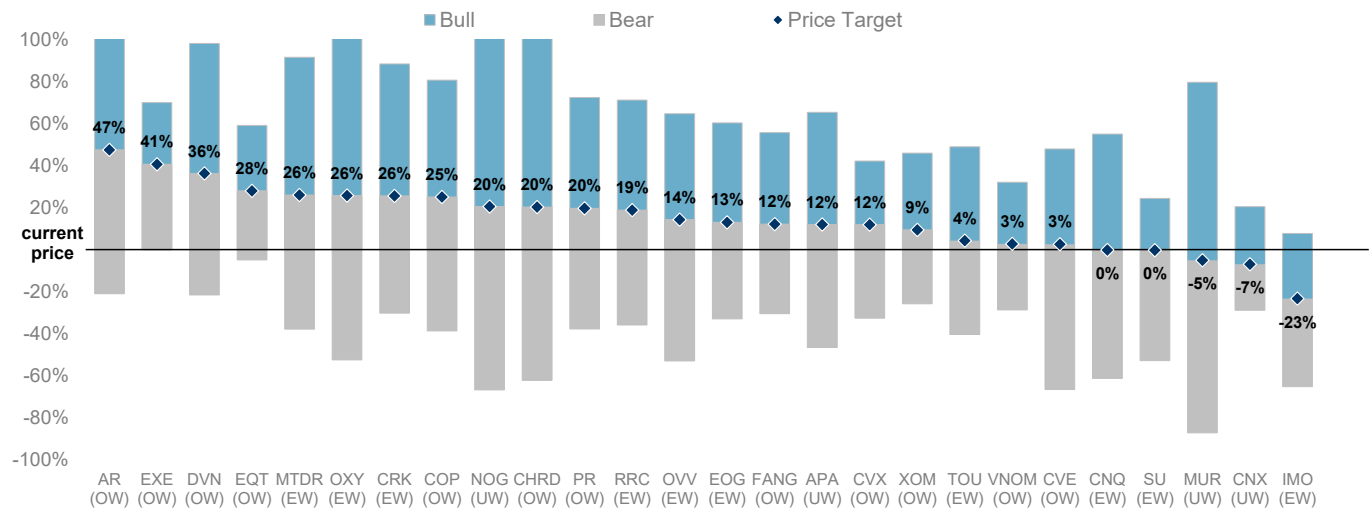
Price Target Changes

Exhibit 12: Price Target Changes

Company	Ticker	New PT	Old PT	Δ(%)	New Rating	Old Rating	PT% Upside
US Majors							
Chevron Corp.	CVX	214	212	1%	OW	OW	12%
Exxon Mobil Corporation	XOM	171	171	0%	OW	OW	9%
Integrations Median				0%			11%
Canadian Integrations (CAD unless noted)							
Canadian Natural Resources Ltd	CNQ	67	66	2%	EW	EW	(0%)
Cenovus Energy Inc	CVE	43	41	5%	OW	OW	3%
Imperial Oil Ltd	IMO	141	140	1%	EW	EW	(23%)
Suncor Energy Inc	SU	93	92	1%	EW	EW	(0%)
Canadian Integrations Median				1%			(0%)
Oil E&Ps							
APA Corp.	APA	44	43	2%	UW	UW	12%
Chord Energy Corp.	CHRD	175	168	4%	OW	OW	20%
ConocoPhillips	COP	153	149	3%	OW	OW	25%
Devon Energy Corp.	DVN	66	59	12%	OW	OW	36%
Diamondback Energy, Inc.	FANG	229	224	2%	OW	OW	12%
EOG Resources Inc.	EOG	160	155	3%	EW	EW	13%
Matador Resources Co.	MTDR	75	73	3%	EW	EW	26%
Murphy Oil Corp.	MUR	37	37	0%	UW	UW	(5%)
Northern Oil and Gas, Inc.	NOG	29	28	4%	UW	UW	20%
Occidental Petroleum Corp.	OXY	74	73	1%	EW	EW	26%
Ovintiv Inc.	OVV	68	68	0%	EW	EW	14%
Permian Resources Corp.	PR	25	25	0%	OW	OW	20%
Oil E&Ps Median				3%			20%
Gas E&Ps							
Antero Resources Corp.	AR	56	56	0%	OW	OW	47%
CNX Resources Corp.	CNX	34	34	0%	UW	UW	(7%)
Comstock Resources Inc.	CRK	18	19	(5%)	EW	EW	26%
EQT Corp.	EQT	74	74	0%	OW	OW	28%
Expand Energy Corp.	EXE	139	141	(1%)	OW	OW	41%
Range Resources Corp.	RRC	50	49	2%	EW	EW	19%
Tourmaline Oil Corp.	TOU	70	70	0%	EW	EW	4%
Gas E&Ps Median				0%			22%
Royalties & Minerals							
Viper Energy, Inc.	VNOM	49	49	0%	OW	OW	3%
Total Coverage Median				1%			19%

Source: FactSet, Morgan Stanley Research estimates

Exhibit13: Total Coverage Bull/Bear/Base Upside & Downside



Source: FactSet, Morgan Stanley Research estimates

Price Deck

Exhibit 14: Morgan Stanley Price Deck (Based on 5/20/2026 Strip)

MS Model Assumptions	2Q26E	3Q26E	4Q26E	2026E	2027E	2028E+
Brent (\$/Bbl)	112.00	103.12	92.71	97.26	76.05	75.00
WTI (\$/Bbl)	100.00	95.00	85.00	88.24	70.00	70.00
Henry Hub (\$/MMBtu)	2.85	3.20	3.60	3.67	3.80	3.75
Mont Belvieu NGL (\$/Bbl)	33.56	33.70	32.62	31.65	28.26	28.04
GC 321 Brent (\$/Bbl)	24.66	23.20	20.59	21.19	14.20	14.20

Prior MS Assumptions	2Q26E	3Q26E	4Q26E	2026E	2027E	2028E+
Brent (\$/Bbl)	98.93	86.30	82.11	87.10	76.05	75.00
WTI (\$/Bbl)	88.04	80.57	76.15	79.39	70.00	70.00
Henry Hub (\$/MMBtu)	3.00	3.40	4.00	3.86	3.80	3.75
Mont Belvieu NGL (\$/Bbl)	33.89	32.04	31.59	31.06	28.26	28.04
GC 321 Brent (\$/Bbl)	24.66	23.20	20.59	21.19	14.20	14.20

% Change	2Q26E	3Q26E	4Q26E	2026E	2027E	2028E+
Brent (\$/Bbl)	13%	19%	13%	12%	0%	0%
WTI (\$/Bbl)	14%	18%	12%	11%	0%	0%
Henry Hub (\$/MMBtu)	-5%	-6%	-10%	-5%	0%	0%
Mont Belvieu NGL (\$/Bbl)	-1%	5%	3%	2%	0%	0%
GC 321 Brent (\$/Bbl)	0%	0%	0%	0%	0%	0%

Source: Bloomberg, FactSet, Morgan Stanley Research estimates

Estimate Revisions

APA

- Our 2Q oil production estimate moves to 212 kb/d from 219 kb/d (guidance: 212 kb/d), while total volumes fall to 406 kboe/d from 443 kboe/d (guidance: 405 kboe/d), aligning with new guidance that includes ~35 kboe/d of US curtailments.
- FY26 adjusted oil and total production are roughly unchanged (+1% on average vs MSe prior), as we had already assumed lower Egypt volumes due to PSC impacts from higher prices. FY26 capex remains ~\$2.1 B.
- Before any changes to benchmark prices in our price deck, our 2026 FCF estimate decreases by ~10% to just over \$2.1 B on higher 2026 cash tax guidance. Including the latest strip, our FCF increases to \$2.6 B, +10% vs our prior estimate.
- For 2027, reported oil production moves 2% lower versus our prior estimate, reflecting sequential declines in Egypt oil volumes from 2Q26 levels. FY27 capex is now ~\$2.18 B (-4% vs MSe prior), as we assume US spending stays around \$1.3 B (vs ~\$1.39 B prior), flattish with 2026 levels.
- Model changes decrease our PT by \$1 to \$42/sh. Including the latest oil deck, our PT moves to \$44.

Exhibit 15: APA Estimate Revisions

Estimate Revisions: APA Corp. (APA)																				
APA (UW,PT \$44)	2Q26E					3Q26E					2026E					2027E				
	Prior	New	% Change	Cons.	New vs. Cons.	Prior	New	% Change	Cons.	New vs. Cons.	Prior	New	% Change	Cons.	New vs. Cons.	Prior	New	% Change	Cons.	New vs. Cons.
Production																				
Oil (kb/d)	219	212	-3%	215	-1%	213	217	2%	216.69	0%	217	219	1%	221	-1%	213	209	-2%	218	-4%
Gas (MMcf/d)	904	755	-16%	798	-5%	863	854	-1%	873	-2%	861	824	-4%	845	-3%	895	871	-3%	908	-4%
Total (kboe/d)	443	406	-8%	421	-4%	429	436	2%	438	0%	432	430	0%	435	-1%	436	432	-1%	441	-2%
Regional Production																				
US (kboe/d)	277	254	-8%			270	281	4%			267	270	1%			275	280	2%		
North Sea (kboe/d)	25	21	-14%			22	24	7%			24	24	2%			20	20	2%		
Egypt (kboe/d)	141	130	-8%			137	131	-4%			141	136	-3%			141	132	-7%		
EBITDAX (\$MM)	1,894	1,958	3%	1,818	8%	1,632	1,806	11%	1,565	15%	6,483	6,927	7%	6,259	11%	5,281	4,919	-7%	5,274	-7%
EPS (\$)	2.07	2.22	7%	2.01	11%	1.67	1.84	10%	1.50	23%	6.26	6.83	9%	5.92	15%	4.11	3.34	-19%	4.18	-20%
CFPS (\$)	4.48	4.42	-1%	4.19	5%	4.07	4.16	2%	3.58	16%	15.82	15.71	-1%	14.39	9%	13.54	11.99	-11%	12.35	-3%
Capex (\$MM)	517	576	11%	554	4%	556	500	-10%	522	-4%	2,114	2,107	0%	2,158	-2%	2,261	2,177	-4%	2,231	-2%
FCF (\$MM)	796	781	-2%	711	10%	587	749	28%	594	26%	2,355	2,602	10%	2,561	2%	1,255	1,193	-5%	1,816	-34%

Source: FactSet, Morgan Stanley Research estimates

AR

- AR held its 2026 production guidance flat at 4.1 Bcfe with cadence unchanged (4.1 Bcfe in 2Q and 4.2 Bcfe average production in 2H26). Management maintains flexibility to grow volumes to ~4.5 Bcfe in 2027.
- Capex is similarly unchanged and AR expects \$1 B of D&C spend with \$100 MM of land spend. We continue to model execution on AR's growth plan (adding ~\$200 MM of D&C above guidance) as the company discussed its plans to drill DUCs and make a decision on completion later this year. We assume \$60 - 80 MM of drilling costs split between 2Q and 3Q with the remainder of completion spend in 4Q, although this could be deferred to 2027 if conditions warrant.

Exhibit 16: AR Estimate Revisions

AR (OW,PT \$56)	2Q26E					Estimate Revisions: Antero Resources Corp. (AR)										2026E					2027E				
	Prior	New	% Change	Cons.	New vs. Cons.	Prior	New	% Change	Cons.	New vs. Cons.	Prior	New	% Change	Cons.	New vs. Cons.	Prior	New	% Change	Cons.	New vs. Cons.					
Production																									
Gas (MMcf/d)	2842	2,838	0%	2,844	-0.2%	2,852	2,826	-1%	2,903	-2.7%	2,782	2,775	0%	2,825	-1.7%	2,933	2,914	-1%	3,062	-4.8%					
NGL (kb/d)	201	203	1%	206	-1.6%	220	222	1%	208	6.3%	211	212	1%	206	3.1%	248	249	0%	217	14.8%					
Oil (kb/d)	10	10	7%	9	18.6%	11	11	6%	9	30.4%	10	11	6%	9	22.1%	14	14	5%	10	50.5%					
Total (MMcfe/d)	4,106	4,114	0%	4,132	-0.4%	4,238	4,224	0%	4,206	0.4%	4,106	4,113	0%	4,115	-0.1%	4,503	4,495	0%	4,416	1.8%					
EBITDAX (\$MM)	630	594	-6%	628	-5%	738	749	1%	696	8%	2,959	2,873	-3%	2,839	1%	3,286	3,299	0%	2,986	10%					
EPS (\$)	0.87	0.77	-12%	0.89	-14%	1.14	1.13	0%	1.05	8%	4.69	4.33	-8%	4.41	-2%	5.43	5.28	-3%	4.73	11%					
CFPS (\$)	2.03	1.75	-14%	1.85	-5%	2.34	2.24	-4%	2.09	8%	9.30	9.22	-1%	8.52	8%	10.66	10.20	-4%	9.19	11%					
Capex																									
D&C Capex (\$MM)	316	316	0%			281	281	0%			1,177	1,185	1%			1,186	1,186	0%							
Land Capex (\$MM)	25	25	0%			25	25	0%			100	100	0%			100	100	0%							
Total (\$MM)	341	341	0%	287	19%	306	306	0%	319	-4%	1,277	1,285	1%	1154	11%	1,286	1,286	0%	1218	6%					
FCF (\$MM)	279	205	-26%	267	-23%	400	395	-1%	300	32%	1,548	1,589	3%	1,523	4%	1,795	1,788	0%	1,747	2%					

Source: FactSet, Morgan Stanley Research estimates

CHRD

- To align with the 2Q guide, our oil production increases from 155 kb/d to 164 kb/d (guidance 162.5 - 165.5 kb/d), while capex is rising +8% to \$426 MM (guidance \$410 - \$440 MM). We forecast 3Q oil volumes to hold roughly flat with 2Q (3Q MSe 165 kb/d vs 167 kb/d prior) before declining in 4Q (MSe unchanged at 159 kb/d), with capex stepping down sequentially throughout 2H26. The 2H26 production and capex cadence is in line with company expectations.
- CHRD raised FY26 production guidance by 2 kb/d to 160 - 162 kb/d (new MSe of 161.5 kb/d vs 158 kb/d prior) while maintaining capex midpoint at \$1.4 B, reflecting strong 1Q execution, base-production optimization, and faster cycle times.
- Before any changes to benchmark prices in our price deck, our forecasted 2026 FCF is rising ~13% to ~\$1.45 B driven by higher oil volumes and stronger oil realizations, as CHRD raised FY26 guidance for WTI premium to \$(0.50) - \$0.50 from \$(1.50) - \$(2.50). Including the latest strip, our FCF increases to ~\$1.7 B.
- In 2027, we forecast flat y/y oil production of 162 kb/d (MSe prior 159 kb/d), with capex near the 2026 level of ~\$1.4 B (+3% vs MSe prior).
- PT increases from \$168/sh to \$175/sh, reflecting our updated oil price deck.

Exhibit 17: CHRD Estimate Revisions

CHRD (OW,PT \$175)	Estimate Revisions: Chord Energy Corp. (CHRD)																			
	2Q26E					3Q26E					2026E					2027E				
	Prior	New	% Change	Cons.	New vs. Cons.	Prior	New	% Change	Cons.	New vs. Cons.	Prior	New	% Change	Cons.	New vs. Cons.	Prior	New	% Change	Cons.	New vs. Cons.
Production																				
Oil (kb/d)	155	164	6%	163	0.9%	167	165	-1%	164	0.6%	158	162	2%	161	0.3%	159	162	1%	161	0.4%
Gas (MMcf/d)	400	410	3%	408	0.6%	418	409	-2%	409	0.1%	409	408	0%	409	-0.1%	428	405	-5%	417	-2.8%
Total (kboe/d)	274	282	3%	282	-0.2%	290	282	-3%	283	-0.4%	279	278	-1%	280	-0.7%	285	276	-3%	281	-1.8%
EBITDAX (\$MM)	815	1,011	24%	805	26%	793	974	23%	814	20%	2,976	3,529	19%	3,110	13%	2,607	2,617	0%	2,763	-5%
EPS (\$)	5.63	8.27	47%	6.11	35%	4.95	7.71	56%	5.38	43%	18.35	26.90	47%	20.21	33%	15.53	16.96	9%	16.11	5%
CFPS (\$)	12.88	15.92	24%	14.26	12%	12.97	15.47	19%	13.48	15%	49.29	57.61	17%	51.37	12%	47.29	49.77	5%	47.21	5%
Capex (\$MM)	395	426	8%	415	3%	388	372	-4%	363	3%	1,401	1,401	0%	1,404	0%	1,358	1,402	3%	1,405	0%
FCF (\$MM)	323	465	44%	343	35%	324	484	50%	373	30%	1,286	1,749	36%	1,437	22%	975	1,019	4%	1,156	-12%

Source: FactSet, Morgan Stanley Research estimates

CNQ

- Our FY26 total production and capex estimates are roughly unchanged and in line with guidance of 1,615-1,665 kboe/d and C\$6,115 MM (ex-Peace River acquisition)

cost).

- Before our increase to 2026 oil price assumptions, our '26 EPS moved down 9% reflecting 1Q26 earnings coming in ~35% below our estimates due to large non-operating expenses (share-based compensation and unrealized losses on FX and risk management).

Exhibit 18: CNQ Estimate Revisions

Estimate Revisions: Canadian Natural Resources Ltd (CNQ)																				
CNQ (EW,PT \$67)	2Q26E					3Q26E					2026E					2027E				
	Prior	New	% Change	Cons.	New vs. Cons.	Prior	New	% Change	Cons.	New vs. Cons.	Prior	New	% Change	Cons.	New vs. Cons.	Prior	New	% Change	Cons.	New vs. Cons.
Production																				
Liquids (kb/d)	1,225	1,242	1%	1,202	3.3%	1,162	1,161	0%	1,162	-0.1%	1,207	1,209	0%	1,200	0.7%	1,244	1,246	0%	1,223	1.9%
Gas (MMcf/d)	2,618	2,649	1%	2,591	2.3%	2,570	2,594	1%	2,589	0.2%	2,587	2,614	1%	2,611	0.1%	2,608	2,626	1%	2,656	-1.2%
Total (kboe/d)	1,662	1,683	1%	1,644	2.4%	1,590	1,593	0%	1,603	-0.6%	1,638	1,645	0%	1,623	1.3%	1,678	1,684	0%	1,653	1.9%
EBITDAX (\$MM)	6,708	7,513	12%	7,458	1%	5,648	6,765	20%	6,153	10%	22,989	24,420	6%	24,351	0%	21,175	21,091	0%	21,698	-3%
EPS (\$)	1.65	1.93	17%	1.92	0%	1.35	1.77	31%	1.51	17%	5.29	5.80	10%	6.13	-5%	4.76	4.72	-1%	4.96	-5%
CFPS (\$)	2.64	2.93	11%	2.89	1%	2.32	2.73	18%	2.44	12%	9.24	10.25	11%	9.79	5%	8.89	8.84	-1%	9.22	-4%
Capex (\$MM)	1,473	1,549	5%	1,701	-9%	1,827	1,877	3%	1,600	17%	6,110	6,141	1%	6,524	-6%	5,807	5,737	-1%	6,349	-10%
FCF (\$MM)	3,997	4,536	13%	3,295	38%	2,924	3,722	27%	2,712	37%	12,897	14,998	16%	11,615	29%	11,847	11,790	0%	10,242	15%

Source: FactSet, Morgan Stanley Research estimates

CNX

- CNX maintained its 2026 production range of 605 - 620 Bcfe as it continues to execute on its maintenance production plan. Management expects production to be roughly ratable from quarter-to-quarter this year.
- Capex guidance was unchanged with 1Q results at \$556 - 586 MM and management continues to expect spending weighted towards 1H.
- On the call, management discussed opportunities in the Utica and expects to continue developing this program. Current messaging suggests a more fulsome update on the play towards year-end. CNX sees a constructive picture for longer-term in-basin demand growth and is participating in RFPs (request for proposals) for gas supply.

Exhibit 19: CNX Estimate Revisions

Estimate Revisions: CNX Resources Corp. (CNX)																				
CNX (UW,PT \$34)	2Q26E					3Q26E					2026E					2027E				
	Prior	New	% Change	Cons.	New vs. Cons.	Prior	New	% Change	Cons.	New vs. Cons.	Prior	New	% Change	Cons.	New vs. Cons.	Prior	New	% Change	Cons.	New vs. Cons.
Production																				
Gas (Mmcfe/d)	1,559	1,556	0%	1,546	0.7%	1,547	1,536	-1%	1,542	-0.3%	1,546	1,538	-1%	1,537	0.0%	1,627	1,560	-4%	1,546	0.9%
NGLs (kb/d)	22	23	4%	22	6.4%	21	22	4%	21	5.2%	22	23	4%	21	5.1%	18	19	4%	19	0.0%
Oil (kb/d)	1	1	1%	1	16.5%	1	1	2%	1	21.3%	1	1	1%	1	2.9%	1	1	-4%	0	50.2%
Total (Mmcfe/d)	1,695	1,698	0%	1,695	0.2%	1,677	1,672	0%	1,686	-0.8%	1,680	1,677	0%	1,684	-0.4%	1,741	1,679	-4%	1,678	0.0%
EBITDAX (\$MM)	272	263	-3%	301	-13%	275	272	-1%	297	-8%	1,246	1,226	-2%	1,315	-7%	1,570	1,456	-7%	1,505	-3%
EPS (\$)	0.33	0.20	-39%	0.58	-66%	0.35	0.24	-32%	0.59	-60%	2.11	1.97	-7%	3.11	-37%	3.87	2.99	-23%	4.19	-28%
CFPS (\$)	1.35	1.16	-14%	1.73	-33%	1.38	1.18	-15%	1.75	-33%	6.47	5.40	-17%	7.25	-25%	8.43	7.36	-13%	9.12	-19%
Capex (\$MM)	164	141	-14%	166	-15%	117	129	10%	121	7%	568	569	0%	568	0%	630	569	-10%	587	-3%
FCF (\$MM)	49	51	4%	91	-44%	98	71	-28%	133	-47%	447	324	-28%	521	-38%	615	614	0%	768	-20%

Source: FactSet, Morgan Stanley Research estimates

COP

- We previously published estimate revisions on 5/1 for the 1Q earnings release (see [here](#)):
 - Increased FY26 capex by ~\$260 MM to the midpoint of COP's revised guidance range of \$12.0-\$12.5 B (from \$12 B prior) due to higher Permian activity.

- Decreased 2Q total production by 2% to 2,221 kboe/d mostly driven by 24 kboe/d less volumes from Qatar as COP excluded all volumes from the country (80 kboe/d implied run rate) from quarterly guidance (2,185-2,215 kboe/d). Our FY26 estimate is unchanged and in line with COP's revised guidance range of 2,295-2,325 kboe/d.

Exhibit 20: COP Estimate Revisions (prior refers to pre-earnings estimates)

COP (OW,PT \$153)	2Q26E					Estimate Revisions: ConocoPhillips (COP)										2027E				
	Prior	New	% Change	Cons.	New vs. Cons.	Prior	New	% Change	Cons.	New vs. Cons.	Prior	New	% Change	Cons.	New vs. Cons.	Prior	New	% Change	Cons.	New vs. Cons.
Production																				
Oil (kb/d)	1,237	1,194	-3%	1,187	0.6%	1,225	1,207	-1%	1,207	0.0%	1,239	1,223	-1%	1,205	1.5%	1,267	1,264	0%	1,243	1.7%
Gas (MMcf/d)	3,727	3,698	-1%	3,633	1.8%	4,077	4,138	2%	4,061	1.9%	3,946	3,981	1%	3,948	0.8%	4,174	4,229	1%	4,285	-1.3%
Total (kboe/d)	2,274	2,221	-2%	2,233	-0.5%	2,320	2,311	0%	2,334	-1.0%	2,312	2,302	0%	2,309	-0.3%	2,385	2,394	0%	2,414	-0.9%
Regional Production																				
US (kboe/d)	1,668	1,657	-1%			1,668	1,657	-1%			1,669	1,669	0%			1,707	1,707	0%		
International (kboe/d)	606	564	-7%			651	654	0%			643	633	-2%			678	686	1%		
EBITDAX (\$MM)	8,939	9,739	9%	8,592	13%	8,640	10,141	17%	8,204	24%	32,602	35,944	10%	31,218	15%	30,325	30,702	1%	29,234	5%
EPS (\$)	3.09	3.55	15%	2.82	26%	2.95	3.80	29%	2.57	48%	10.37	12.46	20%	9.75	28%	9.68	9.81	1%	8.84	11%
CFPS (\$)	5.74	6.30	10%	5.54	14%	5.70	6.51	14%	5.35	22%	21.25	23.39	10%	20.35	15%	21.33	21.67	2%	20.26	7%
Capex (\$MM)	2,966	2,964	0%	3,029	-2%	2,920	3,138	7%	3,067	2%	11,959	12,217	2%	12,168	0%	12,027	12,038	0%	12,149	-1%
FCF (\$MM)	3,947	4,666	18%	3,544	32%	3,855	4,628	20%	3,296	40%	13,471	15,871	18%	12,211	30%	12,444	12,667	2%	11,779	8%

Source: FactSet, Morgan Stanley Research estimates

CRK

- Despite soft 1Q results, CRK maintained production guidance for 1,250 - 1,400 MMcf/d of volume this year. We continue to model the company returning to 1H24 levels by 4Q (~1.5 Bcfe/d) with a ramp throughout 2026, but are in the lower half of the full-year production range.
- Capex guidance for \$1,400 - 1,500 MM was unchanged with 1Q earnings and CRK continues to expect 5 rigs in the Legacy Haynesville and 4 in the Western Haynesville.
- PT from \$19/sh to \$18/sh, reflecting our updated gas price deck.

Exhibit 21: CRK Estimate Revisions

CRK (EW,PT \$18)	2Q26E					Estimate Revisions: Comstock Resources Inc. (CRK)										2027E				
	Prior	New	% Change	Cons.	New vs. Cons.	Prior	New	% Change	Cons.	New vs. Cons.	Prior	New	% Change	Cons.	New vs. Cons.	Prior	New	% Change	Cons.	New vs. Cons.
Production																				
Gas (Mmcfe/d)	1,219	1,212	-1%	1,222	-0.8%	1,402	1,370	-2%	1,370	0.0%	1,311	1,300	-1%	1,294	0.4%	1,575	1,572	0%	1,630	-3.6%
Oil (kb/d)	0	0	292%	0	81.0%	0	0	271%	0	74.8%	0	0	277%	0	55.1%	0	0	248%	0	35.0%
Total (Mmcfe/d)	1,219	1,213	0%	1,222	-0.7%	1,402	1,371	-2%	1,374	-0.2%	1,312	1,300	-1%	1,298	0.2%	1,575	1,573	0%	1,640	-4.1%
EBITDAX (\$MM)	255	234	-8%	239	-2%	315	289	-8%	306	-5%	1,294	1,129	-13%	1,168	-3%	1,612	1,547	-4%	1,571	-2%
EPS (\$)	0.09	0.05	-41%	0.06	-11%	0.18	0.14	-21%	0.13	6%	0.94	0.61	-36%	0.62	-2%	1.44	1.37	-5%	1.12	23%
CFPS (\$)	0.66	0.61	-7%	0.61	0%	0.86	0.80	-7%	0.80	1%	3.56	3.38	-5%	3.07	10%	4.59	4.57	0%	4.29	6%
Capex (\$MM)	352	366	4%	365	0%	374	377	1%	393	-4%	1,467	1,463	0%	1,497	-2%	1,455	1,458	0%	1,478	-1%
FCF (\$MM)	(155)	(185)	19%	(178)	4%	(118)	(141)	20%	(166)	-15%	(406)	(471)	16%	(563)	-16%	(89)	(113)	28%	(135)	-16%

Source: FactSet, Morgan Stanley Research estimates

CVE

- Reduced buyback allocation in 2Q by C\$260 MM to C\$600 MM, consistent with management comments of cash allocation having a bias towards deleveraging in the current price environment.
- Excluding the increase in our 2026 price deck, our FY26 FCF estimate moves 9% higher mostly due to CVE reporting 1Q cash flow roughly C\$500 MM higher than our prior estimate.

- Management expects delivery of West White Rose in late 3Q vs prior messaging of late 2Q. As a result, we slightly push back first oil of the project, driving ~4 k/bd lower production to Atlantic volumes in 2H26. Our FY26 Atlantic production of 21 kb/d is still within the guidance range of 20-25 kb/d.
- PT from C\$41/sh to C\$43/sh.

Exhibit 22: CVE Estimate Revisions

CVE (OW,PT \$43)	2Q26E					Estimate Revisions: Cenovus Energy Inc (CVE)										2027E				
	Prior	New	% Change	Cons.	New vs. Cons.	Prior	New	% Change	Cons.	New vs. Cons.	Prior	New	% Change	Cons.	New vs. Cons.	Prior	New	% Change	Cons.	New vs. Cons.
Production																				
Oil (kb/d)	777	782	1%	770	1.5%	785	786	0%	822	-4.4%	793	795	0%	814	-2.3%	854	853	0%	860	-0.8%
Gas (MMcf/d)	870	858	-1%	844	1.6%	875	864	-1%	838	3.0%	873	861	-1%	848	1.5%	847	842	-1%	834	1.0%
Total (kboe/d)	950	958	1%	955	0.3%	959	963	0%	961	0.2%	966	972	1%	972	0.0%	1023	1,025	0%	1,019	0.6%
Downstream																				
Canada Throughput (kb/d)	97	97	0%			112	112	0%			109	109	1%			120	120	0%		
US Throughput (kb/d)	358	361	1%			314	314	0%			332	332	0%			339	339	0%		
EBITDAX (\$MM)	4,245	4,670	10%	5,212	-10%	3,860	4,522	17%	4,197	8%	14,992	16,812	12%	16,982	-1%	13,666	13,785	1%	14,424	-4%
EPS (\$)	1.10	1.24	13%	1.50	-17%	0.95	1.20	26%	1.13	6%	3.56	4.18	17%	4.42	-5%	3.05	3.04	0%	3.53	-14%
CFPS (\$)	1.85	2.00	8%	2.39	-16%	1.72	1.97	15%	1.97	0%	6.65	7.50	13%	7.79	-4%	6.40	6.52	2%	7.14	-9%
Capex (\$MM)	1,280	1,287	1%	1,304	-1%	1,329	1,337	1%	1,362	-2%	5,179	5,111	-1%	5,074	1%	4,875	4,877	0%	5,025	-3%
FCF (\$MM)	2,201	2,460	12%	3,343	-26%	1,865	2,308	24%	2,406	-4%	7,244	8,795	21%	9,542	-8%	6,553	6,669	2%	7,800	-14%

Source: FactSet, Morgan Stanley Research estimates

CVX

- We previously published estimate revisions on 5/4 for the 1Q earnings release (see [here](#)):
 - We increased equity affiliate distributions in 2Q (consistent with \$2.5 B guidance) and assumed higher payouts in 2H26 due to higher oil prices. The total impact is a ~\$1 B uplift to our cash flow estimates and a ~3% increase in FY26 FCF (excluding commodity price assumptions), relative to our prior forecast.
 - Total 1Q incremental timing effects came in at ~\$2.9 B, \$300 MM lower than our estimate. As a result, we lowered total timing effect reversals by this amount for the remainder of year (no net impact to FY26 estimates).
 - Decreased 2Q26 International refining utilization by 19% to ~80% in 2Q26 (in line with guidance), lowering our total throughput by 7% to 1,554 kb/d.

Exhibit 23: CVX Estimate Revisions (prior refers to pre-earnings estimates)

CVX (OW,PT \$214)	2Q26E					Estimate Revisions: Chevron Corp. (CVX)										2027E				
	Prior	New	% Change	Cons.	New vs. Cons.	Prior	New	% Change	Cons.	New vs. Cons.	Prior	New	% Change	Cons.	New vs. Cons.	Prior	New	% Change	Cons.	New vs. Cons.
Production																				
Liquids (kb/d)	2,539	2,539	0%	2,609	-2.7%	2,554	2,568	1%	2,639	-2.7%	2,533	2,539	0%	2,587	-1.8%	2,598	2,632	1%	2,684	-1.9%
Gas (MMcf/d)	8985	8,753	-3%	8,554	2.3%	9,165	8,866	-3%	8,622	2.8%	8,989	8,756	-3%	8,577	2.1%	9,127	8,828	-3%	8,695	1.5%
Total (kboe/d)	4,037	3,998	-1%	4,012	-0.3%	4,082	4,046	-1%	4,080	-0.8%	4,032	3,999	-1%	4,015	-0.4%	4,120	4,103	0%	4,144	-1.0%
Regional Production																				
Permian (kboe/d)	1,048	1,050	0%			1,039	1,034	0%			1,031	1,039	1%			1,031	1,033	0%		
US (kboe/d)	2,048	2,048	0%			2,038	2,032	0%			2,028	2,034	0%			2,060	2,061	0%		
International (kboe/d)	1,989	1,950	-2%			2,043	2,014	-1%			2,003	1,965	-2%			2,059	2,043	-1%		
EBITDAX (\$MM)	21,582	23,461	9%	19,555	20%	18,021	20,085	11%	17,504	15%	64,303	71,265	11%	64,092	11%	57,006	56,587	-1%	57,831	-2%
EPS (\$)	5.67	6.36	12%	4.77	33%	4.05	4.82	19%	4.11	17%	14.03	16.71	19%	13.47	24%	11.56	11.40	-1%	11.95	-5%
CFPS (\$)	8.74	9.60	10%	8.25	16%	7.56	8.11	7%	7.56	7%	26.55	28.79	8%	26.67	8%	25.39	25.15	-1%	26.74	-6%
Capex (\$MM)	4,614	4,774	3%	4,556	5%	4,668	4,866	4%	4,626	5%	18,522	18,670	1%	18,147	3%	19,593	19,572	0%	19,024	3%
FCF (\$MM)	12,562	14,325	14%	11,745	22%	10,997	12,149	10%	10,387	17%	35,249	40,274	14%	32,184	25%	27,598	28,522	3%	30,325	-6%

Source: FactSet, Morgan Stanley Research estimates

DVN

- With this update, we incorporate the CTRA merger, which closed on May 7. For 2026, we assume ~2% combined oil production growth based on DVN standalone maintenance program and ~5% annual growth for CTRA.
- We assume full ~\$1 B synergies by 2027, including ~\$350 MM from capital optimization, \$350 MM from operating margin improvements, and \$300 MM from lower corporate costs.
- On cash tax, we model a blended rate (MSe ~18% in 2026) of CTRA (20-25%) and DVN (15-17%) standalone cash tax rates.

Exhibit 24: DVN Estimate Revisions

DVN (OW, PT \$66)	Estimate Revisions: Devon Energy Corp. (DVN)																			
	2Q26E					3Q26E					2026E					2027E				
	Prior	New	% Change	Cons.	New vs. Cons.	Prior	New	% Change	Cons.	New vs. Cons.	Prior	New	% Change	Cons.	New vs. Cons.	Prior	New	% Change	Cons.	New vs. Cons.
Production																				
Oil (kb/d)	388	499	29%	497	0.4%	391	558	43%	557	0.1%	389	501	29%	499	0.5%	386	571	48%	563	1.4%
Gas (MMcf/d)	1,377	3,206	133%	3,233	-0.9%	1,389	4,358	214%	4,326	0.7%	1,382	3,346	142%	3,301	1.4%	1,404	4,483	219%	4,368	2.6%
Total (kboe/d)	847	1,336	58%	1,347	-0.8%	853	1,637	92%	1,625	0.8%	850	1,367	61%	1,352	1.1%	848	1,682	98%	1,641	2.5%
EBITDAX (\$MM)	2,475	3,268	32%	3,152	4%	2,406	3,759	56%	3,568	5%	9,087	13,383	47%	11,884	13%	8,206	14,842	81%	14,650	1%
EPS (\$)	1.81	1.41	-22%	1.56	-10%	1.72	1.19	-31%	1.40	-15%	6.24	4.80	-23%	5.50	-13%	5.38	5.71	6%	5.39	6%
CFPS (\$)	3.73	3.23	-13%	3.53	-9%	3.67	2.92	-20%	3.25	-10%	13.82	12.08	-13%	13.00	-7%	12.87	12.00	-7%	12.86	-7%
Capex (\$MM)	893	1,207	35%	1,167	3%	903	1,393	54%	1,371	2%	3,603	4,853	35%	4,708	3%	3,624	5,680	57%	5,321	7%
FCF (\$MM)	1,409	1,665	18%	1,552	7%	1,342	1,961	46%	1,922	2%	4,863	6,768	39%	6,356	6%	4,010	7,230	80%	7,388	-2%

Source: FactSet, Morgan Stanley Research estimates

EOG

- Our 2Q oil production estimate is decreasing from 551 kb/d to 549 kb/d and capex is rising ~3% to \$1,628 MM to align with guidance. In 2H, we forecast average oil volumes of ~550 kb/d (vs 545 kb/d prior) with a slightly lower gas production relative to prior estimate (though still increasing throughout 2026), as EOG is reallocating some gas spend from Dorado to oilier assets in the back half of the year.
- In 2027, our oil production is unchanged at 553 kb/d while gas volumes increase slightly (<2% vs prior estimate) driven by assumed higher Utica activity.
- We forecast broadly unchanged capex of ~\$6.5 B in 2026 and ~\$6.6 B in 2027.
- On shareholder returns, we now assume ~70% of 2026 FCF is returned via base dividends and buybacks (vs 95% FCF prior), as EOG signaled a more measured buybacks payouts in the current price environment.
- PT increases from \$155/sh to \$160/sh, reflecting our updated oil price deck.

Exhibit 25: EOG Estimate Revisions

EOG (EW, PT \$160)	Estimate Revisions: EOG Resources Inc. (EOG)																			
	2Q26E					3Q26E					2026E					2027E				
	Prior	New	% Change	Cons.	New vs. Cons.	Prior	New	% Change	Cons.	New vs. Cons.	Prior	New	% Change	Cons.	New vs. Cons.	Prior	New	% Change	Cons.	New vs. Cons.
Production																				
Oil (kb/d)	551	549	0%	548	0.2%	538	549	2%	549	-0.1%	547	549	0%	549	0.0%	553	553	0%	557	-0.7%
Gas (MMcf/d)	3,095	3,077	-1%	3,070	0.2%	3,141	3,122	-1%	3,113	0.3%	3,109	3,096	0%	3,086	0.3%	3,228	3,296	2%	3,268	0.8%
Total (kboe/d)	1,400	1,395	0%	1,396	-0.1%	1,390	1,404	1%	1,406	-0.2%	1,397	1,399	0%	1,401	-0.1%	1,419	1,445	2%	1,447	-0.1%
EBITDAX (\$MM)	4,865	5,149	6%	4,605	12%	4,248	5,114	20%	4,248	20%	16,975	18,701	10%	16,538	13%	14,969	14,894	-1%	15,078	-1%
EPS (\$)	4.94	5.39	9%	4.71	15%	4.08	5.35	31%	4.14	29%	16.25	19.18	18%	15.88	21%	13.64	13.54	-1%	14.30	-5%
CFPS (\$)	7.71	8.15	6%	7.69	6%	6.89	8.26	20%	7.03	17%	27.31	29.95	10%	27.33	10%	24.84	24.87	0%	26.29	-5%
Capex (\$MM)	1,583	1,628	3%	1,621	0%	1,610	1,625	1%	1,631	0%	6,503	6,514	0%	6,536	0%	6,562	6,576	0%	6,674	-1%
FCF (\$MM)	2,536	2,689	6%	2,225	21%	2,032	2,705	33%	1,881	44%	8,029	9,271	15%	7,529	23%	6,415	6,308	-2%	6,606	-5%

Source: FactSet, Morgan Stanley Research estimates

EQT

- We published estimate revisions on 4/22 subsequent to 1Q26 earnings (see [here](#)):
 - EQT initiated 2Q production guidance of 570 - 620 Bcfe which includes 10-15 Bcfe of strategic curtailments. Capex of \$735 - 830 MM includes \$525 - 595 MM of maintenance spending with the remainder tied to strategic growth.
 - EQT reiterated its 2026 guidance ranges for 2,275 - 2,375 Bcfe of production and \$2,650 - 2,850 MM of capex – implying a sequential step-down for both vs. 2Q peak levels. We believe the implied 2H26 production guide appears conservative and model the high end of the range accordingly.
 - Data center and LNG strategy were topical on the earnings call. EQT sees 6-7 Bcf/d of in-basin demand growth by 2030 and has LNG offtake agreements starting up in 2030-31 that effectively link 10-15% of EQT's total production to international pricing.

Exhibit 26: EQT Estimate Revisions (prior refers to pre-earnings estimates)

EQT (OW, PT \$74)	2Q26E					Estimate Revisions: EQT Corp. (EQT)										2026E					2027E				
	Prior	New	% Change	Cons.	New vs. Cons.	Prior	New	% Change	Cons.	New vs. Cons.	Prior	New	% Change	Cons.	New vs. Cons.	Prior	New	% Change	Cons.	New vs. Cons.	Prior	New	% Change	Cons.	New vs. Cons.
Production																									
Gas (Mmcfe/d)	6,120	6,338	4%	6,246	1.5%	5,997	5,988	0%	6,096	-1.8%	6,117	6,111	0%	6,224	-1.8%	6,131	6,145	2%	6,274	-2.1%					
NGLs (kb/d)	59	61	4%	53	14.1%	58	59	2%	51	16.2%	59	60	2%	54	11.4%	62	60	-4%	51	16.7%					
Oil (kb/d)	7	7	-6%	6	24.3%	8	8	-2%	5	41.4%	8	7	-8%	5	28.2%	10	9	-7%	5	71.9%					
Total (Mmcfe/d)	6,515	6,746	4%	6,604	2.1%	6,391	6,390	0%	6,456	-1.0%	6,514	6,513	0%	6,579	-1.0%	6,565	6,561	0%	6,628	-1.0%					
EBITDAX (\$MM)	1,203	1,124	-7%	1,232	-9%	1,333	1,239	-7%	1,352	-8%	6,738	6,623	-2%	6,919	-4%	7,057	6,948	-2%	7,118	-2%					
EPS (\$)	0.48	0.38	-21%	0.56	-32%	0.64	0.54	-14%	0.73	-26%	4.22	4.15	-2%	4.85	-14%	4.75	4.67	-2%	4.77	-2%					
CFPS (\$)	1.99	1.90	-5%	1.75	8%	2.13	2.05	-4%	1.98	3%	10.26	10.45	2%	10.22	2%	9.83	9.86	0%	9.82	0%					
Capex (\$MM)	700	783	12%	757	3%	697	668	-4%	675	-1%	2,744	2,737	0%	2,723	0%	2,744	2,765	1%	2,768	0%					
FCF (\$MM)	552	411	-25%	344	20%	644	620	-4%	502	24%	3,705	3,843	4%	3,655	5%	3,381	3,387	0%	3,550	-5%					

Source: FactSet, Morgan Stanley Research estimates

EXE

- We published estimate revisions on 5/1 subsequent to 1Q26 earnings (see [here](#)):
 - 2026 production and capex estimates are largely unchanged as EXE reiterated plans to produce ~7.5 Bcf/d with ~\$2.85 B capex. We continue to model 1H production <7.5 Bcf/d and 2H output above that level.
 - Increased 2Q capex by 16% to align with guidance of \$770-\$845 MM, the high point of the year. EXE shifted some activity to 2Q due to weather-related deferral, higher leasehold acquisition as well as a seasonal pick-up in workover activity.

Exhibit 27: EXE Estimate Revisions (prior refers to pre-earnings estimates)

EXE (OW, PT \$139)	2Q26E					Estimate Revisions: Expand Energy Corp. (EXE)										2026E					2027E				
	Prior	New	% Change	Cons.	New vs. Cons.	Prior	New	% Change	Cons.	New vs. Cons.	Prior	New	% Change	Cons.	New vs. Cons.	Prior	New	% Change	Cons.	New vs. Cons.	Prior	New	% Change	Cons.	New vs. Cons.
Production																									
Gas (Mmcfe/d)	6,857	6,888	0%	6,896	-0.1%	6,848	6,950	1%	6,947	0.0%	6,905	6,952	1%	6,937	0.2%	7,014	7,085	1%	7,060	0.4%					
NGLs (kb/d)	90	74	-17%	80	-7.0%	89	75	-16%	82	-8.6%	90	75	-17%	80	-5.9%	90	79	-13%	86	-8.7%					
Oil (kb/d)	15	19	31%	16	21.9%	15	19	28%	17	14.0%	15	18	20%	16	9.8%	13	16	24%	18	-8.0%					
Total (Mmcfe/d)	7,446	7,465	0%	7,467	0.0%	7,453	7,523	1%	7,536	-0.2%	7,502	7,508	0%	7,509	0.0%	7,631	7,633	0%	7,693	-0.8%					
EBITDAX (\$MM)	1,160	1,200	3%	1,162	3%	1,310	1,355	3%	1,254	8%	6,115	6,038	-1%	5,979	1%	6,132	6,107	0%	6,076	1%					
EPS (\$)	1.11	1.26	14%	1.17	8%	1.58	1.73	10%	1.45	20%	9.10	9.07	0%	8.97	1%	9.14	9.23	1%	9.33	-1%					
CFPS (\$)	4.75	4.78	1%	4.64	3%	5.27	5.32	1%	5.02	6%	23.82	24.06	1%	24.21	-1%	24.02	24.13	0%	24.21	0%					
Capex (\$MM)	694	807	16%	790	2%	697	647	-7%	681	-5%	2,816	2,826	0%	2,852	-1%	2,855	2,851	0%	2,924	-3%					
FCF (\$MM)	450	338	-25%	366	-8%	567	623	10%	533	17%	2,910	2,931	1%	3,029	-3%	2,851	2,829	-1%	2,964	-5%					

Source: FactSet, Morgan Stanley Research estimates

- We published estimate revisions on 5/6 subsequent to 1Q26 earnings (see [here](#)):
 - Our 2Q-4Q production estimate remains roughly unchanged, as our forecasts already reflected DUC draws. We estimate 2026 oil production of 525 kb/d, about +2% vs prior MSe (including stronger 1Q actuals).
 - We continue to estimate capex at ~\$3.9 B in both 2026 and 2027.
 - We now assume no buybacks in 2Q with share repurchases resuming at 20% FCF payout in 2H26 (vs ~65% FCF prior), rising to 50% FCF in 2027+.
- PT increases from \$224/sh to \$229/sh, reflecting our updated oil price deck.

Estimate Revisions: Diamondback Energy, Inc. (FANG)																				
FANG (OW,PT \$229)	2Q26E					3Q26E					2026E					2027E				
	Prior	New	% Change	Cons.	New vs. Cons	Prior	New	% Change	Cons.	New vs. Cons	Prior	New	% Change	Cons.	New vs. Cons	Prior	New	% Change	Cons.	New vs. Cons
Production																				
Oil (kb/d)	518	521	1%	521	0.1%	521	525	1%	524	0.3%	517	525	2%	522	0.5%	524	535	2%	530	1.0%
Gas (MMcf/d)	1,288	1,299	1%	1,315	-1.2%	1,290	1,299	1%	1,326	-2.1%	1,289	1,303	1%	1,327	-1.8%	1,282	1,298	1%	1,372	-5.4%
Total (kboe/d)	966	975	1%	974	0.0%	970	979	1%	982	-0.3%	966	980	2%	981	0.0%	973	990	2%	997	-0.7%
EBITDAX (\$MM)	3,595	4,001	11%	3,445	16%	3,260	3,908	20%	3,185	23%	13,014	14,590	12%	12,636	15%	11,774	11,961	2%	11,894	1%
EPS (\$)	5.40	6.50	20%	5.64	15%	4.52	6.08	35%	4.79	27%	18.02	21.49	19%	18.80	14%	15.48	14.90	-4%	17.05	-13%
CFPS (\$)	11.13	12.02	8%	11.03	9%	10.37	11.75	13%	10.43	13%	40.43	44.21	9%	41.05	8%	39.46	37.74	-4%	38.95	-3%
Capex (\$MM)	956	980	2%	977	0%	1,010	997	-1%	991	1%	3,889	3,899	0%	3,906	0%	3,911	3,917	0%	3,931	0%
FCF (\$MM)	1,833	2,122	16%	2,006	6%	1,524	2,007	32%	1,839	9%	6,111	7,444	22%	6,936	7%	5,149	5,446	6%	6,438	-15%

IMO

- Following unplanned downtime at Syncrude in 1Q, we shifted the planned turnaround (4 kb/d annualized impact) at the plant from 2Q to 3Q, consistent with management messaging. We forecast FY26 Syncrude production at the bottom end of the asset's guidance range of 78-82 kb/d.
- We increase gross refining margin per barrel 14% to C\$57.25 reflecting higher market capture assumptions after strong historical performance relative to our estimates. This change more than offsets the large 1Q cash flow miss vs our prior forecasts (transitory unfavorable deferred tax impacts) before our commodity price refresh for 2026.
- FY26 refining throughput decreased by 2% to 394 kb/d, in line with the bottom end of the guidance range (395-405 kb/d) due to lower-than-expected 1Q throughput at Strathcona stemming from the aforementioned Syncrude downtime in the quarter.

Exhibit 29: IMO Estimate Revisions

IMO (EW,PT \$141)	Estimate Revisions: Imperial Oil Ltd (IMO)																			
	2Q26E					3Q26E					2026E					2027E				
	Prior	New	% Change	Cons.	New vs. Cons	Prior	New	% Change	Cons.	New vs. Cons	Prior	New	% Change	Cons.	New vs. Cons	Prior	New	% Change	Cons.	New vs. Cons
Production																				
Oil (kb/d)	415	425	2%	427	-0.5%	460	451	-2%	449	0.6%	441	440	0%	440	0.1%	459	459	0%	454	1.2%
Gas (MMcf/d)	32	25	-22%	28	-11.9%	32	25	-22%	28	-9.5%	32	25	-22%	25	-0.7%	32	25	-22%	27	-6.9%
Total (kboe/d)	420	429	2%	435	-1.5%	465	456	-2%	460	-0.9%	447	444	0%	446	-0.3%	464	463	0%	461	0.4%
Downstream																				
Throughput (kb/d)	355	355	0%			416	416	0%			401	394	-2%			403	401	-1%		
Gross Refining Margin (\$/bbl)	54.76	63.04	15%			55.66	63.00	13%			50.42	59.45	18%			38.94	38.94	0%		
EBITDAX (\$MM)	2,930	3,438	17%	3,379	2%	3,293	3,886	18%	3,073	26%	10,959	12,251	12%	11,010	11%	9,393	9,301	-1%	9,122	2%
EPS (\$)	3.77	4.54	20%	4.10	11%	4.29	5.25	22%	3.74	40%	13.81	15.86	15%	12.69	25%	11.77	11.60	-1%	11.01	5%
CFPS (\$)	4.85	5.83	20%	5.52	6%	5.53	6.67	20%	5.61	19%	18.54	20.65	11%	18.40	12%	16.92	16.73	-1%	16.53	1%
Capex (\$MM)	498	506	2%	524	-3%	548	539	-1%	535	1%	2,105	2,078	-1%	2,080	0%	1,817	1,812	0%	1,884	-4%
FCF (\$MM)	1,848	2,322	26%	2,354	-1%	2,095	2,653	27%	2,565	3%	6,746	7,809	16%	6,452	21%	5,856	5,795	-1%	5,676	2%

Source: FactSet, Morgan Stanley Research estimates

MTDR

- We are increasing our estimate for 2Q oil production from 123 kb/d to 124 kb/d (guidance 123 - 125 kb/d), while total volumes decrease by 2% to 210 kboe/d, reflecting 10 kboe/d of expected curtailments during the quarter. 2Q capex estimate is moving <1% lower to \$448 MM to align with the guidance (\$430 – 460 MM).
- Our oil volume estimates increase to 126 kb/d in both 3Q (vs 124 kb/d prior) and 4Q (vs 123 kb/d prior), while average quarterly capex in 2H remains broadly unchanged at ~\$314 MM, below the 2Q guidance range, consistent with company expectations.
- MTDR raised its 2026 oil outlook (to 123 – 125 kb/d from 122 – 124 kb/d) but maintained capex guide (\$1.45 – \$1.55B), reflecting efficiency gains.
- Before any changes to benchmark prices in our price deck, our 2026 free cash flow (FCF) decreases 5% vs prior MSe as we now forecast lower FY26 hedged gas realizations (\$1.94/mcf now vs \$3.00/mcf before), as MTDR guided to a \$4-5/mcf discount to Henry Hub bidweek in 2Q. Including the latest oil strip, our FCF increases to \$1.15 B, +20% vs our prior estimate.
- In 2027, our FCF increases 8% to \$942 MM driven by higher oil production (MSe from 125 kb/d to 126 kb/d) and lower capex (~\$1.51 B vs \$1.54 B prior), reflecting 2026 efficiencies.
- PT increases from \$73/sh to \$75/sh, reflecting our updated oil price deck.

Exhibit 30: MTDR Estimate Revisions

Estimate Revisions: Matador Resources Co. (MTDR)																				
MTDR (EW,PT \$75)	2Q26E					3Q26E					2026E					2027E				
	Prior	New	% Change	Cons.	New vs. Cons.	Prior	New	% Change	Cons.	New vs. Cons.	Prior	New	% Change	Cons.	New vs. Cons.	Prior	New	% Change	Cons.	New vs. Cons.
Production																				
Oil (kb/d)	123	124	1%	125	-0.6%	124	126	1%	127	-0.6%	123	124	1%	125	-0.6%	125	126	1%	129	-2.4%
Gas (MMcf/d)	542	517	-5%	525	-1.4%	548	559	2%	542	3.2%	538	540	0%	535	1.0%	562	566	1%	557	1.6%
Total (kboe/d)	213	210	-2%	212	-0.9%	216	220	2%	218	0.9%	212	214	1%	214	0.1%	219	221	1%	223	-0.9%
EBITDAX (\$MM)	730	758	4%	649	17%	678	764	13%	688	11%	2,644	2,837	7%	2,554	11%	2,608	2,652	2%	2,802	-5%
EPS (\$)	2.28	2.52	10%	2.01	25%	1.94	2.48	28%	1.89	31%	7.50	8.83	18%	7.28	21%	7.11	7.53	6%	8.37	-10%
CFPS (\$)	5.38	5.68	6%	4.95	15%	5.10	5.81	14%	5.09	14%	19.87	21.39	8%	19.59	9%	19.41	19.73	2%	21.20	-7%
Capex (\$MM)	450	448	-1%	435	3%	341	322	-6%	337	-5%	1,506	1,503	0%	1,522	-1%	1,539	1,508	-2%	1,544	-2%
FCF (\$MM)	218	258	18%	181	42%	293	399	36%	301	32%	963	1,154	20%	933	24%	873	942	8%	1,149	-18%

Source: FactSet, Morgan Stanley Research estimates

MUR

- Our 2Q oil volumes increase from 81 kb/d to 86 kb/d (guidance ~86 kb/d) driven by 1Q production outperformance in Eagle Ford and Gulf of America (GoA). Our 2Q capex is increasing +17% vs MSe prior to \$390 MM to align with the new guidance (\$350 – \$430MM), reflecting a heavier 1H onshore D&C program and exploration/appraisal spend in Vietnam and Côte d'Ivoire.
- We lower our oil production estimate by ~2 kb/d to 85 kb/d in 3Q and by ~1 kb/d to 90 kb/d in 4Q. The 4Q volumes still imply +5% q/q growth, as the reversal of assumed storm downtime and the Chinook #8 well start-up more than offset onshore production declines, with no 4Q wells planned in Eagle Ford, Kaybob Duvernay, or Tupper Montney.
- For FY26, our oil production is increasing by 1% to 87 kb/d at unchanged capex of ~\$1.25 B.
- Our 2027 oil production estimate is decreasing by 5% to 93 kb/d as we assume a smoother production ramp from the Lac Da Vang development in Vietnam expected to come online in 4Q26.
- We also assume that MUR's LOE (lease operating expense) remains in the \$10-12/boe range going forward as 1Q26 was below typical range temporarily due to in-year cost phasing.
- As a result, our 2027 free cash flow (FCF) is moving lower relative to prior estimate.

Exhibit 31: MUR Estimate Revisions

MUR (UW,PT \$37)	Estimate Revisions: Murphy Oil Corp. (MUR)																			
	2Q26E					3Q26E					2026E					2027E				
	Prior	New	% Change	Cons.	New vs. Cons.	Prior	New	% Change	Cons.	New vs. Cons.	Prior	New	% Change	Cons.	New vs. Cons.	Prior	New	% Change	Cons.	New vs. Cons.
Production																				
Oil (kb/d)	81	86	6%	85	1.3%	88	85	-3%	83	2.2%	86	87	1%	86	0.8%	97	93	-5%	92	1.3%
Gas (MMcf/d)	424	419	-1%	420	-0.2%	477	456	-4%	467	-2.4%	458	449	-2%	455	-1.3%	479	483	1%	475	1.7%
Total (kboe/d)	162	166	2%	166	0.0%	177	171	-3%	174	-1.5%	173	173	0%	173	-0.1%	186	185	-1%	183	1.2%
Regional Production																				
US (kboe/d)	37	39	6%			38	41	7%			37	39	6%			31	35	12%		
Gulf of Mexico (kboe/d)	54	56	4%			59	53	-10%			58	58	0%			63	64	2%		
Canada (kboe/d)	71	71	0%			80	77	-4%			76	75	-2%			80	78	-3%		
EBITDAX (\$MM)	520	638	23%	574	11%	505	595	18%	503	18%	2,006	2,276	13%	2,041	12%	2,003	1,880	-6%	1,930	-3%
EPS (\$)	1.18	1.28	8%	1.17	9%	1.14	1.39	21%	0.97	43%	4.00	4.30	8%	3.44	25%	4.68	3.27	-30%	3.34	-2%
CFPS (\$)	2.93	3.45	18%	3.83	-10%	3.21	3.61	13%	3.38	7%	12.10	13.77	14%	13.42	3%	13.29	12.12	-9%	12.64	-4%
Capex (\$MM)	334	390	17%	380	3%	292	228	-22%	226	1%	1,254	1,251	0%	1,232	2%	1,184	1,186	0%	1,229	-3%
FCF (\$MM)	89	107	21%	160	-33%	169	286	69%	271	5%	478	711	49%	656	8%	619	455	-26%	552	-18%

Source: FactSet, Morgan Stanley Research estimates

NOG

- With earnings, NOG reiterated its two guidance ranges for low and high commodity prices. We assume oil production of 73 MMbbl/d in 2Q and 3Q (vs 1Q of 74) with an uptick in 4Q to 75 as AFE (authorization for expenditure) elections and production decisions made near term will impact volumes into 4Q and 2027.
- We continue to model spending between low and high guidance cases and assume the high end of the low range of guidance for 2Q-3Q with the quarterly midpoint of the high range for 4Q.
- We expect NOG to collapse its guidance ranges once greater visibility is gained into production cadence and spending needs.

- PT from \$28/sh to \$29/sh, reflecting our updated oil price deck.

Exhibit 32: NOG Estimate Revisions

Estimate Revisions: Northern Oil and Gas, Inc (NOG)																				
NOG (LW,PT \$29)	2Q26E					3Q26E					2Q26E					2Q27E				
	Prior	New	% Change	Cons.	New vs. Cons.	Prior	New	% Change	Cons.	New vs. Cons.	Prior	New	% Change	Cons.	New vs. Cons.	Prior	New	% Change	Cons.	New vs. Cons.
Production																				
Oil (kb/d)	72	73	1%	73	-0.1%	72	73	1%	73	-0.6%	73	74	1%	73	0.7%	74	75	1%	75	0.3%
Gas (MMcf/d)	456	460	1%	515	-10.7%	444	423	-5%	514	-17.8%	444	440	-1%	514	-14.4%	451	429	-5%	539	-20.3%
Total (kboe/d)	149	150	1%	147	2.1%	146	143	-2%	147	-2.4%	147	147	0%	147	0.2%	149	146	-2%	152	-3.8%
EBITDAX (\$MM)	356	376	6%	410	-8%	366	385	5%	415	-7%	1,470	1,503	2%	1,589	-5%	1,527	1,518	-1%	1,605	-5%
EPS (\$)	0.72	0.90	24%	0.89	-1%	0.82	1.03	25%	0.92	12%	3.39	3.81	13%	3.62	5%	3.66	3.89	6%	3.77	3%
CFPS (\$)	2.96	3.16	7%	3.20	-1%	3.05	3.23	6%	3.28	-2%	12.42	13.09	5%	12.88	2%	12.43	12.99	4%	13.38	-3%
Capex (\$MM)	262	283	8%	292	-3%	194	176	-9%	200	-12%	933	929	0%	966	-4%	999	993	-1%	1,064	-7%
FCF (\$MM)	53	56	6%	33	72%	131	171	31%	129	23%	365	453	24%	346	31%	316	393	24%	313	26%

Source: FactSet, Morgan Stanley Research estimates

OVV

- Lowered 2Q oil & condensate production by 3% to align with guidance of 200-205 kb/d, reflecting Montney plant turnarounds and higher condensate royalty rates.
- Increased 2Q capex by 4%, in line with guidance of \$550-\$600 MM.

Exhibit 33: OVV Estimate Revisions

Estimate Revisions: Ovitiv Inc (OVV)																				
OVV (EW, PT \$68)	2Q26E					3Q26E					2Q26E					2Q27E				
	Prior	New	% Change	Cons.	New vs. Cons.	Prior	New	% Change	Cons.	New vs. Cons.	Prior	New	% Change	Cons.	New vs. Cons.	Prior	New	% Change	Cons.	New vs. Cons.
Production																				
Oil & Condensate (kb/d)	210	204	-3%	204	-0.2%	201	202	0%	205	-1.7%	210	209	0%	210	-0.8%	208	210	1%	210	0.0%
Liquids (kb/d)	297	288	-3%	229	26.2%	284	284	0%	228	24.2%	298	296	-1%	237	24.7%	291	292	1%	230	27.0%
Gas (MMcf/d)	2,017	1,982	-2%	2,037	-2.7%	1,932	1,931	0%	2,054	-6.0%	1,996	1,995	0%	2,074	-3.8%	1,893	1,930	2%	2,098	-8.0%
Total (kboe/d)	633	619	-2%	623	-0.6%	606	605	0%	627	-3.4%	630	628	0%	639	-1.7%	606	614	1%	686	-10.5%
EBITDAX (\$MM)	1,313	1,357	3%	1,301	4%	1,175	1,329	13%	1,262	5%	5,052	5,428	7%	5,143	6%	4,566	4,662	2%	4,907	-5%
EPS (\$)	1.91	2.14	12%	2.08	3%	1.66	2.15	30%	1.97	9%	7.40	8.55	15%	8.00	7%	6.75	7.29	8%	7.78	-6%
CFPS (\$)	3.75	4.38	17%	4.26	3%	3.47	4.42	27%	4.20	5%	15.24	17.95	18%	17.22	4%	14.42	17.44	21%	17.12	2%
Capex (\$MM)	551	576	4%	567	2%	557	582	4%	560	4%	2,294	2,292	0%	2,217	3%	2,227	2,292	3%	2,263	1%
FCF (\$MM)	616	642	4%	551	16%	501	617	23%	521	18%	2,222	2,562	15%	2,365	8%	1,865	2,046	10%	2,075	-1%

Source: FactSet, Morgan Stanley Research estimates

OXY

- Our 2Q and 2026 oil production fall slightly, driven by Permian EOR portfolio optimization (-12 kboe/d) and international PSC impacts and Middle East disruptions (-12 kboe/d) in 2026.
- Increased 2Q capex by 3% to ~\$1.6 B, consistent with company messaging of higher spending q/q with front-weighted activity.
- Increased 2027 capex by 1% to ~\$5.9 B, reflecting management comment of flattish US onshore, higher Gulf of America & Exploration, and lower LCV spend.

Exhibit 34: OXY Estimate Revisions

OXY (EW, PT \$74)	Estimate Revisions: Occidental Petroleum Corp. (OXY)																			
	2Q26E					3Q26E					2026E					2027E				
	Prior	New	% Change	Cons.	New vs. Cons.	Prior	New	% Change	Cons.	New vs. Cons.	Prior	New	% Change	Cons.	New vs. Cons.	Prior	New	% Change	Cons.	New vs. Cons.
Production																				
Oil (kb/d)	712	697	-2%	708	-2%	738	715	-3%	718	0%	730	718	-2%	716	0%	754	744	-1%	733	2%
Gas (MMcf/d)	2,291	2,296	0%	2,256	2%	2,331	2,309	-1%	2,295	1%	2,321	2,310	0%	2,295	1%	2,315	2,330	1%	2,333	0%
Total (kboe/d)	1,418	1,407	-1%	1,402	0%	1,454	1,426	-2%	1,423	0%	1,443	1,431	-1%	1,421	1%	1,470	1,457	-1%	1,454	0%
Regional Production																				
Permian (kboe/d)	803	796	-1%			823	806	-2%			812	802	-1%			837	807	-4%		
Rockies & Other (kboe/d)	266	279	5%			267	283	6%			268	282	5%			258	286	11%		
Gulf of America (kboe/d)	135	134	0%			131	127	-2%			133	133	1%			130	127	-2%		
US (kboe/d)	1,203	1,210	1%			1,221	1,217	0%			1,212	1,218	0%			1,225	1,219	0%		
International (kboe/d)	214	197	-8%			233	209	-10%			231	214	-7%			245	238	-3%		
Midstream pre-tax income (\$MM)	88	439	NM			58	-21	NM			399	999	NM			500	473	-5%		
EBITDAX (\$MM)	4,444	5,084	14%	4,534	12%	4,270	4,699	10%	4,113	14%	16,194	17,070	5%	15,954	7%	15,112	13,813	-9%	14,512	-5%
EPS (\$)	1.59	2.23	40%	1.68	32%	1.41	1.88	33%	1.35	40%	5.13	6.86	34%	4.76	44%	4.42	3.55	-20%	3.57	0%
CFPS (\$)	3.77	4.37	16%	3.77	16%	3.64	4.13	14%	3.48	19%	13.91	15.87	14%	14.10	13%	12.92	11.86	-8%	12.59	-6%
Capex (\$MM)	1,577	1,622	3%	1,493	9%	1,316	1,256	-5%	1,413	-11%	5,725	5,738	0%	5,800	-1%	5,840	5,911	1%	5,933	0%
FCF (\$MM)	2,053	2,636	28%	2,384	11%	2,183	2,758	26%	2,017	37%	7,616	9,636	27%	7,474	29%	6,508	5,430	-17%	7,427	-27%

Source: FactSet, Morgan Stanley Research estimates

PR

- Increased 2Q and 2026 oil production by 2% to align with guidance (FY 190-195 kb/d oil), driven by increased workovers, acceleration of completions and reduced down time.
- Increased 2Q and 2026 capex by 5% and 3%, respectively, reflecting management messaging of upper half of the full-year range.

Exhibit 35: PR Estimate Revisions

Estimate Revisions: Permian Resources Corp. (PR)																				
PR (OW, PT \$25)	2Q26E					3Q26E					2026E					2027E				
	Prior	New	% Change	Cons.	New vs. Cons.	Prior	New	% Change	Cons.	New vs. Cons.	Prior	New	% Change	Cons.	New vs. Cons.	Prior	New	% Change	Cons.	New vs. Cons.
Production																				
Oil (kb/d)	191	195	2%	193	1.0%	192	195	2%	194	0.3%	191	194	2%	194	0.3%	194	197	2%	199	-1.0%
Gas (MMcf/d)	709	697	-2%	710	-1.8%	712	691	-3%	722	-4.3%	710	695	-2%	718	-3.2%	725	689	-5%	753	-8.5%
Total (kboe/d)	415	413	0%	415	-0.3%	416	412	-1%	420	-2.0%	415	412	-1%	418	-1.5%	422	413	-2%	434	-4.8%
EBITDAX (\$MM)	1,184	1,259	6%	1,186	6%	1,259	1,379	10%	1,211	14%	4,816	4,944	3%	4,651	6%	4,937	4,930	0%	4,852	2%
EPS (\$)	0.44	0.52	18%	0.50	4%	0.51	0.62	23%	0.51	23%	1.84	1.72	-6%	1.68	3%	2.00	2.03	2%	2.07	-2%
CFPS (\$)	1.26	1.36	8%	1.30	5%	1.34	1.47	10%	1.33	10%	5.13	5.35	4%	5.12	4%	4.95	5.14	4%	5.32	-3%
Capex (\$MM)	461	486	5%	481	1%	461	474	3%	475	0%	1,841	1,901	3%	1,902	0%	1,904	1,910	0%	1,939	-1%
FCF (\$MM)	589	669	14%	603	11%	657	782	19%	649	20%	2,448	2,655	8%	2,430	9%	2,237	2,475	11%	2,631	-6%

Source: FactSet, Morgan Stanley Research estimates

RRC

- We published estimate revisions on 4/22 subsequent to 1Q26 earnings (see [here](#)):
 - Increased 2Q and 3Q capex by ~4% on average, due to the addition of a spot completion crew to work through drilled but uncompleted (DUC) inventory (~65-70% liquids rich).
 - Our 2026 production and capex estimates are largely unchanged. We continue to model back-half-weighted volume tied to new processing capacity and utilization of DUCs.
 - 2026 FCF estimate is rising driven by better NGL realizations (~\$2/bbl premium to Mont Belvieu vs ~\$1.13/bbl prior).

Exhibit 36: RRC Estimate Revisions (prior refers to pre-earnings estimates)

RRC (EW,PT \$50)	Estimate Revisions: Range Resources Corp. (RRC)																			
	2Q26E					3Q26E					2026E					2027E				
	Prior	New	% Change	Cons.	New vs. Cons.	Prior	New	% Change	Cons.	New vs. Cons.	Prior	New	% Change	Cons.	New vs. Cons.	Prior	New	% Change	Cons.	New vs. Cons.
Production																				
Gas (MMcf/d)	1,542	1,507	-2%	1,562	-3.5%	1,633	1,632	0%	1,671	-2.3%	1,614	1,598	-1%	1,617	-1.2%	1,750	1,763	1%	1,769	-0.3%
Liquids (kb/d)	118	129	9%	121	6.2%	130	135	4%	130	3.2%	126	129	2%	126	2.1%	145	139	-4%	142	-2.4%
Total (MMcfe/d)	2,252	2,280	1%	2,297	-0.7%	2,412	2,439	1%	2,453	-0.5%	2,371	2,372	0%	2,373	0.0%	2,619	2,597	-1%	2,615	-0.7%
EBITDAX (\$MM)	326	322	-1%	340	-5%	405	406	0%	388	5%	1,793	1,778	-1%	1,773	0%	1,846	1,867	1%	1,854	1%
EPS (\$)	0.59	0.59	0%	0.72	-17%	0.84	0.85	1%	0.88	-3%	4.00	4.08	2%	4.28	-5%	4.15	4.11	-1%	4.57	-10%
CFPS (\$)	1.28	1.25	-3%	1.32	-5%	1.57	1.54	-2%	1.57	-2%	6.86	6.89	0%	7.14	-4%	7.07	6.96	-2%	7.61	-9%
Capex (\$MM)	174	184	6%	181	2%	180	182	2%	186	-2%	680	678	0%	685	-1%	665	656	-1%	687	-5%
FCF (\$MM)	127	111	-12%	153	-27%	186	181	-3%	186	-3%	922	945	2%	1,028	-8%	913	958	5%	1,110	-14%

Source: FactSet, Morgan Stanley Research estimates

SU

- Shifted roughly 30 kb/d of oil volumes from 3Q to 2Q reflecting the postponement of the planned turnaround at Syncrude (35 kb/d negative impact to bitumen and 30 kb/d impact to SCO and diesel production). We now forecast Syncrude production at the low end of the '26 guidance range of 200-210 kb/d. Our FY26 total production is roughly unchanged.
- Added \$1 B operating working capital tailwind in 2Q following a \$1.6 B headwind in 1Q from the strong positive move in commodity pricing in March (a lot of this has already been released according to management).

Exhibit 37: SU Estimate Revisions

Estimate Revisions: Suncor Energy Inc (SU)																				
SU (EW,PT \$93)	2Q26E					3Q26E					2026E					2027E				
	Prior	New	% Change	Cons.	New vs. Cons	Prior	New	% Change	Cons.	New vs. Cons	Prior	New	% Change	Cons.	New vs. Cons	Prior	New	% Change	Cons.	New vs. Cons
Production																				
Bitumen (kb/d)	221	234	6%			286	279	-3%			265	266	1%			316	316	0%		
Synthetic (kb/d)	488	506	4%			548	531	-3%			530	531	0%			522	522	0%		
Oil (kb/d)	64	66	4%			64	63	-1%			64	67	4%			74	75	1%		
Total (kb/d)	773	806	4%	811	-0.6%	898	873	-3%	868	0.6%	859	864	1%	866	-0.2%	911	912	0%	902	1.1%
Downstream																				
Throughput (kboe/d)	472	460	-3%			453	453	0%			471	475	1%			475	478	1%		
Refining Net Margin (\$/bbl)	44.75	48.24	8%			42.43	44.94	6%			39.66	44.80	13%			29.79	30.58	3%		
EBITDAX (\$MM)	5,588	6,679	20%	5,978	12%	5,540	6,459	17%	5,282	22%	21,258	23,996	13%	23,430	2%	16,780	16,898	1%	18,073	-7%
EPS (\$)	2.38	3.10	30%	2.67	16%	2.24	2.91	30%	2.32	26%	8.51	10.23	20%	8.64	18%	5.82	5.96	3%	6.98	-15%
CFPS (\$)	3.93	4.57	16%	4.37	5%	4.01	4.50	12%	3.95	14%	14.92	16.56	11%	15.23	9%	13.01	12.41	-5%	13.88	-11%
Capex (\$MM)	1,593	1,645	3%	1,571	5%	1,538	1,548	1%	1,452	7%	5,707	5,692	0%	5,566	2%	5,628	5,645	0%	5,628	0%
FCF (\$MM)	2,966	3,708	25%	3,296	13%	3,036	3,667	21%	3,037	21%	11,438	13,559	19%	11,193	21%	8,170	8,105	-1%	9,796	-17%

Source: FactSet, Morgan Stanley Research estimates

TOU

- Our 2026 and 2027 production and capex estimates are largely unchanged as TOU reiterated its multi-year growth plan.
- We lowered 2Q production by 1% to align with guidance of ~600 kboe/d. We continue to model similar levels in 3Q and peak in 4Q driven by higher activity and the expected completion of the Aitken project.

Exhibit 38: TOU Estimate Revisions

TOU (EW,PT \$70)	Estimate Revisions: Tourmaline Oil Corp. (TOU)																			
	2Q26E					3Q26E					2026E					2027E				
	Prior	New	% Change	Cons.	New vs. Cons.	Prior	New	% Change	Cons.	New vs. Cons.	Prior	New	% Change	Cons.	New vs. Cons.	Prior	New	% Change	Cons.	New vs. Cons.
Production																				
Gas (Mmcfe/d)	2,944	2,947	0%	2,893	1.9%	2,907	2,965	2%	2,961	0.1%	3,025	3,058	1%	3,019	1.3%	3,262	3,289	1%	3,226	1.9%
Liquids (kb/d)	117	110	-6%	100	10.5%	115	112	-3%	104	7.3%	127	122	-4%	99	23.5%	132	128	-3%	107	19.9%
Total (kboe/d)	607	601	-1%	607	-1.0%	599	606	1%	620	-2.3%	631	632	0%	633	-0.1%	675	676	0%	674	0.3%
EBITDAX (\$MM)	1,036	1,042	1%	957	9%	900	1,045	16%	1,056	-1%	3,971	4,180	5%	4,209	-1%	4,551	4,465	-2%	4,480	0%
EPS (\$)	1.19	1.21	1%	1.14	6%	0.93	1.20	29%	1.31	-8%	4.29	6.07	41%	4.91	24%	5.20	5.00	-4%	5.31	-6%
CFPS (\$)	2.52	2.55	1%	2.29	11%	2.26	2.56	13%	2.41	6%	9.75	10.21	5%	9.63	6%	11.11	10.84	-2%	10.60	2%
Capex (\$MM)	507	504	-1%	627	-20%	668	685	3%	680	1%	2,649	2,649	0%	2,443	8%	2,856	2,849	0%	2,878	-1%
FCF (\$MM)	474	489	3%	225	117%	210	311	48%	225	38%	1,143	1,328	16%	911	46%	1,469	1,371	-7%	1,153	19%

Source: FactSet, Morgan Stanley Research estimates

VNOM

- We published estimate revisions on 5/6 subsequent to 1Q26 earnings (see [here](#)):
 - We increase our 2Q oil production estimate by 1% to 65 kb/d to align with VNOM's 2Q guide of 64 – 65 kb/d.
 - VNOM raised standalone FY26 net oil production guidance by 2% at midpoint to 64.5 – 66.5 kb/d, driven primarily by FANG's acceleration of near-term activity. We also incorporate a pending Riverbend acquisition, expected to close in early 3Q26, which should add 4 kboe/d of production (2 kb/d for oil) over the next 12 months, or +1 kb/d to VNOM's standalone FY26 oil guide. As a result, our oil volumes rise to 67 kb/d (+5% vs MSe prior) in 2026 and to 72 kb/d (+11% vs MSe prior) in 2027.

Exhibit 39: VNOM Estimate Revisions (prior refers to pre-earnings estimates)

Estimate Revisions: Viper Energy, Inc. (VNOM)																				
VNOM (OW,PT \$49)	2Q26E					3Q26E					2026E					2027E				
	Prior	New	% Change	Cons.	New vs. Cons	Prior	New	% Change	Cons.	New vs. Cons	Prior	New	% Change	Cons.	New vs. Cons	Prior	New	% Change	Cons.	New vs. Cons
Production																				
Oil (kb/d)	64	65	1%	65	0.2%	64	68	7%	68	1.1%	64	67	5%	66	1.5%	64	72	11%	69	3.8%
Gas (MMcf/d)	189	187	-1%	190	-1.8%	189	191	1%	200	-4.6%	188	192	2%	199	-3.6%	189	194	3%	208	-6.8%
Total (kboe/d)	128	126	-1%	126	-0.2%	128	131	2%	132	-0.9%	127	130	2%	131	-0.6%	128	135	6%	136	-0.9%
EBITDAX (\$MM)	520	563	8%	541	4%	502	595	18%	525	13%	1,981	2,207	11%	2,002	10%	1,823	1,959	7%	2,014	-3%
EPS (\$)	0.60	0.72	21%	0.67	8%	0.55	0.76	38%	0.58	33%	2.15	2.75	28%	2.40	14%	1.88	2.16	15%	2.27	-5%
CFPS (\$)	1.19	1.25	5%	1.33	-6%	1.16	1.32	14%	1.24	6%	4.54	4.94	9%	5.14	-4%	4.34	4.69	8%	5.25	-11%
FCF (\$MM)	460	490	7%	450	9%	445	519	17%	434	20%	1,747	1,921	10%	1,810	6%	1,637	1,774	8%	1,803	-2%

Source: FactSet, Morgan Stanley Research estimates

XOM

- We previously published estimate revisions on 5/4 subsequent to XOM's 1Q earnings release (see [here](#)):
 - Lowered 2Q production by 6% to the midpoint of XOM's guidance range (4.1-4.3 mboe/d), driven by exclusion of UAE and Qatar volumes, a ~320 kboe/d combined impact vs our prior estimate. For the full year vs our prior forecast, this impact is partially offset by a quicker recovery time from the Strait re-opening and from higher estimated US base volumes.
 - Decreased the positive timing effect reversal for the remainder of the year in the Energy Products segment by ~\$500 MM, as 1Q negative timing effects came in at ~\$3.4 B vs our previous estimate of ~\$3.9 B. We assume a 75%/25% international/US split for 1Q Energy Products timing effects, and that these

impacts fully reverse across 2Q and 3Q.

- Increased equity affiliate distributions for the remainder of the year by C\$500 MM, reflecting higher assumed payouts from higher oil prices.
- Added \$2 B working capital headwind in 2Q for seasonal cash tax payments per XOM.

Exhibit 40: XOM Estimate Revisions (prior refers to pre-earnings estimates)

Estimate Revisions: Exxon Mobil Corporation (XOM)																								
XOM (OW,PT \$171)	2Q26E					3Q26E					2026E					2027E								
	Prior	New	% Change	Cons.	New vs. Cons	Prior	New	% Change	Cons.	New vs. Cons	Prior	New	% Change	Cons.	New vs. Cons	Prior	New	% Change	Cons.	New vs. Cons				
Production																								
Liquids (kb/d)	3,287	3,134	-5%	3,270	-4.2%	3,508	3,477	-1%	3,458	0.5%	3,410	3,390	-1%	3,391	0.0%	3,590	3,644	2%	3,726	-2.2%				
Gas (MMcf/d)	7,012	6,296	-10%	6,521	-3.4%	8,014	7,824	-2%	7,494	4.4%	7,725	7,530	-3%	7,583	-0.7%	8,133	8,158	0%	8,364	-2.5%				
Total (kboe/d)	4,455	4,183	-6%	4,399	-4.9%	4,843	4,781	-1%	4,750	0.6%	4,697	4,645	-1%	4,702	-1.2%	4,945	5,004	1%	5,108	-2.0%				
Regional Production																								
Permian (kboe/d)	1,798	1,798	0%			1,872	1,872	0%			1,816	1,816	0%			1,992	1,992	0%						
International (kboe/d)	2,265	1,897	-16%			2,594	2,442	-6%			2,496	2,352	-6%			2,618	2,614	0%						
EBITDAX (\$MM)	32,732	30,604	-7%	27,053	13%	27,292	32,516	19%	25,424	28%	97,378	105,083	8%	91,371	15%	90,779	90,807	0%	88,194	3%				
EPS (\$)	4.61	4.23	-8%	3.50	21%	3.53	4.43	26%	3.17	40%	11.79	12.92	10%	10.51	23%	11.08	10.69	-4%	10.17	5%				
CFPS (\$)	6.48	6.21	-4%	5.20	19%	5.48	6.45	18%	4.78	35%	19.51	20.59	6%	17.10	20%	19.24	18.80	-2%	17.53	7%				
Capex (\$MM)	7,058	7,088	0%	6,792	4%	7,006	6,923	-1%	6,920	0%	28,030	27,957	0%	27,987	0%	28,833	28,736	0%	29,582	-3%				
FCF (\$MM)	19,803	18,795	-5%	15,097	24%	15,472	19,769	28%	13,986	41%	52,422	58,069	11%	44,590	30%	47,041	47,352	1%	44,579	6%				

Source: FactSet, Morgan Stanley Research estimates

2026 Guidance and Shareholder Returns

Exhibit 41: Gas E&Ps and Integrations kept '26 production guidance unchanged (ex Middle East Impacts), while some US oil E&Ps increased it marginally

	Prior 2026 Guidance	New 2026 Guidance	% Change	2026 Consensus
Oil E&Ps				
APA	436 kboe/d (adj. oil 180 kb/d)	431 kboe/d (adj. oil 179 kb/d)	-1% (adj. oil -1%)	435 kboe/d
COP	2,330 - 2,360 kboe/d (oil 1235 - 1251 kb/d)	2,295 - 2,325 kboe/d (oil 1216 - 1232 kb/d)	-1% (oil -2%)	2,309 kboe/d
CHRD	273.7 - 280.3 kboe/d (oil 157 - 161 kb/d)	276.4 - 280.3 kboe/d (oil 160 - 162 kb/d)	0.5% (oil +1%)	280 kboe/d
DVN	835 - 855 kboe/d (oil 385 - 391 kb/d)	n/a	n/a	1,352 kboe/d
EOG	1,373.1 - 1,418.2 kboe/d (oil 544 - 549 kb/d)	1,373.7 - 1,418.7 kboe/d (oil 546 - 551 kb/d)	0% (oil +0.4%)	1,401 kboe/d
FANG	926 - 962 kboe/d (oil 500 - 510 kb/d)	972+ kboe/d (oil 520+ kb/d)	+3% (oil +3%)	981 kboe/d
OVV	620 - 645 kboe/d (oil & condensate 205 - 212 kb/d)	620 - 645 kboe/d (oil & condensate 205 - 212 kb/d)	0% (oil & condensate 0%)	oil & condensate 211 kb/d
OXY	1,420 - 1,480 kboe/d (oil 717 - 747 kb/d)	1,410 - 1,460 kboe/d (oil 712-737 kb/d)	-1% (oil -1%)	1,421 kboe/d
PR	400 - 430 kboe/d (oil 186 - 192 kb/d)	400 - 430 kboe/d (oil 190 - 195 kb/d)	0% (oil +2%)	418 kboe/d
MTDR	209.5 - 215 kboe/d (oil 122 - 124 kb/d)	210.5 - 216 kboe/d (oil 123 - 125 kb/d)	+0.5% (oil +1%)	214 kboe/d
MUR	167 - 175 kboe/d (oil 81 - 89 kb/d)	167 - 175 kboe/d (oil 86 kb/d)	0% (oil 0%)	173 kboe/d
NOG	139 - 148 kboe/d* (oil 68 - 76 kb/d)*	139 - 148 kboe/d* (oil 68 - 76 kb/d)*	0%	147 kboe/d
Gas E&Ps				
AR	4.1 Bcfe/d	4.1 Bcfe/d	0%	4.12 Bcfe/d
CNX	605 - 620 Bcfe	605 - 620 Bcfe	0%	616 Bcfe
CRK	1,250 - 1,400 Mmcfe/d	1,250 - 1,400 Mmcfe/d	0%	1,298 Mmcfe/d
EQT	2,275 - 2,375 Bcfe	2,275 - 2,375 Bcfe	0%	2,408 Bcfe
RRC	2.35 - 2.4 Bcfe/d	2.35 - 2.4 Bcfe/d	0%	2.37 Bcfe/d
EXE	7.4 - 7.6 Bcfe/d	7.4 - 7.6 Bcfe/d	0%	7.51 Bcfe/d
TOU	620 - 640 kboe/d	620 - 640 kboe/d	0%	633 kboe/d
Integrations				
CNQ	1,615 - 1,665 kboe/d	1,615 - 1,665 kboe/d	0%	1,623 kboe/d
CVE	945 - 985 kboe/d	945 - 985 kboe/d	0%	972 kboe/d
CVX	3,980 - 4,100 kboe/d	3,980 - 4,100 kboe/d	0%	4,015 kboe/d
IMO	441 - 460 kboe/d	441 - 460 kboe/d	0%	446 kboe/d
SU	840 - 870 kboe/d	840 - 870 kboe/d	0%	866 kboe/d
XOM	~4,900 kboe/d	~4,900 kboe/d	0%	4,702 kboe/d
Royalties & Minerals				
VNOM	120 - 132 kboe/d (oil 61 - 67 kb/d)	126 - 130 kboe/d (oil 64.5 - 66.5 kb/d)	+2% (oil +2%)	131 kboe/d

Source: Company data, Visible Alpha, FactSet, Bloomberg, Morgan Stanley Research. Note: COP's new 2026 oil guidance applies the prior oil split of ~53% to the new total production guidance range. NOG guidance range is made up of the lower end of "Low Activity" guide and higher end of "High Activity" guide.

Exhibit 42: COP and FANG raised 2026 capex guidance, while PR messaged the upper half of the prior range. Others generally left spending plans unchanged

	Prior 2026 Guidance	New 2026 Guidance	% Change	2026 Consensus
E&Ps				
APA	\$2.1 B	\$2.1 B	0%	\$2.2 B
COP	~\$12 B	\$12.0-12.5 B	2%	\$12 B
CHRD	\$1,350 - \$1,450 MM	\$1,355 - \$1,445 MM	0%	\$1,404 MM
DVN	\$3.5 - \$3.7 B	n/a	n/a	\$4.7 B
EOG	\$6.3 - 6.7 B	\$6.3 - 6.7 B	0%	\$6.5 B
FANG	\$3.6 - \$3.9 B	~\$3.9 B	4%	\$4.1 B
OVV	\$2.25 - \$2.35 B	\$2.25 - \$2.35 B	0%	\$2.3 B
OXY	\$5.5 - \$5.9 B	\$5.5 - \$5.9 B	0%	\$5.8 B
PR	\$1.75 - \$1.95 B	\$1.85 - \$1.95 B	3%	\$1.9 B
MTDR	\$1.45 - \$1.55 B	\$1.45 - \$1.55 B	0%	\$1.5 B
MUR	\$1,200 - \$1,300 MM	\$1,200 - \$1,300 MM	0%	\$1,232 MM
NOG	\$850 - 1,100 MM	\$850 - 1,100 MM	0%	\$966 MM
Gas E&Ps				
AR	\$1,100 MM	\$1,100 MM	0%	\$1154 MM
CNX	\$556 - \$586 MM	\$556 - \$586 MM	0%	\$568 MM
CRK	\$1.4 - \$1.5 B	\$1.4 - \$1.5 B	0%	\$1,497 MM
EQT	\$2.65 - 2.85 B	\$2.65 - 2.85 B	0%	\$2.7 B
RRC	\$650 - \$700 MM	\$650 - \$700 MM	0%	\$685 MM
EXE	\$2.75 - 2.95 B	\$2.75 - 2.95 B	0%	\$2.9 B
TOU	C\$2.65 B	C\$2.65 B	0%	C\$2.44 B
Integrations				
CNQ	C\$6.88 B	C\$6.88 B	0%	C\$6.5 B
CVE	C\$5.0 - C\$5.3 B	C\$5.0 - C\$5.3 B	0%	C\$5.1 B
CVX	\$18 - \$19 B	\$18 - \$19 B	0%	N/A
IMO	C\$2.0 - C\$2.2 B	C\$2.0 - C\$2.2 B	0%	C\$2.08 B
SU	C\$5.6 - C\$5.8 B	C\$5.6 - C\$5.8 B	0%	C\$5.6 B
XOM	\$27 - \$29 B	\$27 - \$29 B	0%	N/A

Source: Company data, Visible Alpha, FactSet, Bloomberg, Morgan Stanley Research. NOG guidance range is made up of the lower end of "Low Activity" guide and higher end of "High Activity" guide. EQT guide includes maintenance + growth spend.

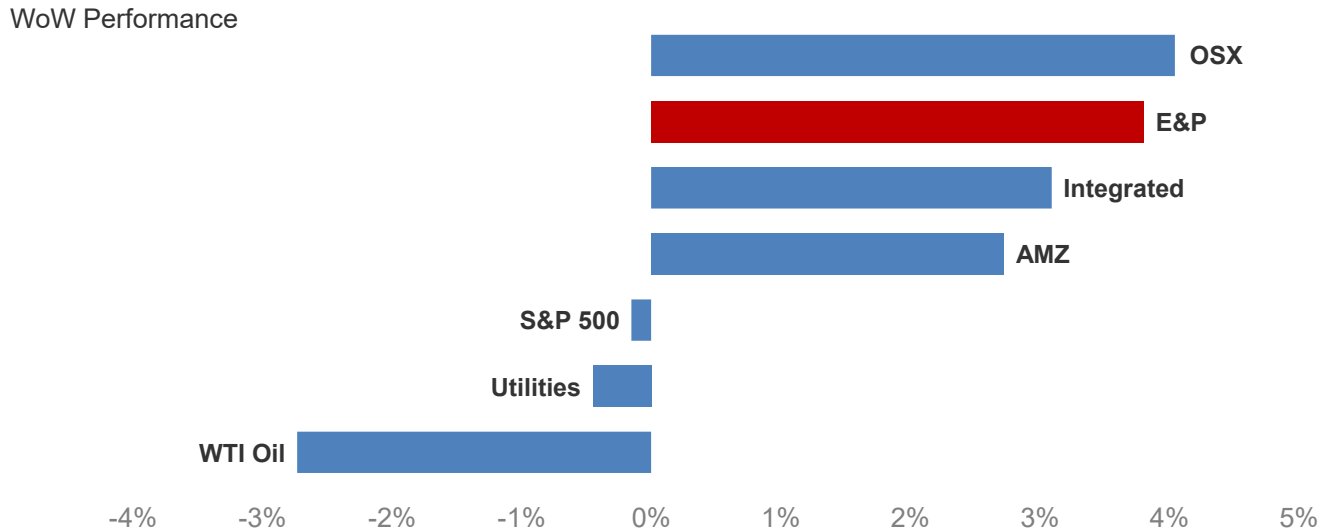
Exhibit 43: DVN increased quarterly dividend and authorized a new share buyback program post CTRA merger close. FANG raised dividend by 5% and is pivoting away from formulaic capital returns

	Prior Base Dividend	New Base Dividend	Shareholder Returns	Debt Reduction
E&Ps				
AR	-	-	Maintaining opportunistic approach to shareholder returns with flexibility between debt reduction, buybacks, and accretive transactions.	Expects the HG acquisition to be fully paid off in early 2027.
APA	\$0.25/sh	\$0.25/sh	Didn't repurchase any shares in 1Q26. Committed to return at least 60% FCF through buybacks and dividends. APA has remaining authorization to repurchase up to 21.9 MM shares as of YE25.	Net debt target \$3 B (~\$4.1 B as of 3/31)
CHRD	\$1.30/sh	\$1.30/sh	In 1Q, repurchased \$70.7 MM of shares at an average price of \$126.53/sh. CHRD's leverage-based capital return framework calls for 50%+ FCF returned via base dividends and opportunistic buybacks at <1.0x leverage (currently), 75%+ FCF at <0.5x, and the base dividend at >1.0x.	Targets sub-1.0x in normalized price environment (~0.4x as of 3/31).
CNX	-	-	Repurchased 1.4 MM shares at an average cost of \$37.23/sh for a total cost of \$54 MM. In 2Q so far, CNX has repurchased an additional 0.5 MM shares for \$19 MM at an average price of \$38.75/sh.	Refinanced 2029 senior notes during 1Q and replaced with 8-year 5.875% senior notes due in 2034. Expect settlement of remaining convertible notes to deliver 12.4 MM net shares
CRK	-	-	Suspended dividend in 2024 to preserve cash flow. We assume CRK restarts dividend in 2027.	Net debt/LTM EBITDAX of 2.9x (up from 2.6x as of 4Q25 earnings) as CRK works to fund its production growth ramp.
COP	\$0.84/sh	\$0.84/sh	Plans to return ~45% of CFO to shareholders.	
DVN	\$0.24/sh	\$0.32/sh	New dividend \$0.32/sh payable on June 30, 2026. DVN expects to evaluate growing its dividend on an annual cadence. Board approved a new share repurchase authorization of \$8 B, expiring on June 30, 2029.	0.9x pro forma net-debt-to-EBITDAX post CTRA merger (standalone 0.9x as of March 31, 2026)
FANG	\$1.05/sh	\$1.10/sh	In 1Q, repurchased 3.3 MM of shares at an average price of \$167.61/sh, including 3.0 MM shares for \$509 MM from SGF FANG Holdings LP. ~\$2.1 B remains on authorization as of 5/1/26. The company plans to remove the formulaic return of capital commitment (at least 50% adj. FCF via buybacks and dividends) in order to optimize capital allocation flexibility through the cycle.	Near-term goal is to reduce net debt to \$10 B (\$13.9 B of consolidated net debt as of 03/31). Long-term leverage goal of \$6-8 B.
EOG	\$1.02/sh	\$1.02/sh	In 1Q, repurchased \$402 MM of shares at an average price of \$125/sh with \$2.9 B remaining on authorization as of 3/31. Total 1Q payout of ~63% FCF. Committed to return at least 70% of annual FCF via growing regular dividend and opportunistic buybacks and special dividends.	Targets <1.0x debt-to-EBITDA at ~\$45/bbl WTI and \$2.50/mcf HH.
EXE	\$0.575/sh	\$0.575/sh	Opportunistic share buybacks with excess FCF	>\$1 B for net debt reduction in 2026 (repaid \$1.3 B gross debt in April)
EQT	\$0.165/sh	\$0.165/sh	Management expects to engage in opportunistic buybacks and will look to grow the dividend annually.	Ended 1Q26 with \$6 B of total debt and just under \$5.7 B of net debt, approaching its \$5 B maximum long-term debt target.
MTDR	\$0.375/sh	\$0.375/sh	In 1Q, repurchased \$0.7 MM of shares at an avg price of \$39.92/sh. Has ~\$343 MM remaining on share repurchase authorization as of 03/31.	No formal target, net debt/EBITDA ~1.2x as of 03/31
MUR	\$0.35/sh	\$0.35/sh	MUR didn't repurchase any shares in 1Q, \$550 M remained under the share repurchase authorization as of 03/31. Targets to return at least 50% of adj. FCF through share buybacks and potential dividend increases.	Targeting a long-term debt of \$1.0 B (gross debt of \$1.55 B as of 03/31).
NOG	\$0.45/sh	\$0.45/sh	\$0.45/sh quarterly dividend paid. Issued 8,288,289 shares of common stock during 1Q for \$227.9 MM.	1Q26 Net debt / Adj. EBITDA of 1.65x. Maintaining LT leverage target at or near 1.0x net debt/EBITDA. NOG has no debt maturities until 2029.
OXY	\$0.26/sh	\$0.26/sh	Opportunistic buybacks with a focus on building cash ahead of the preferred equity redemption in August 2029	Reduced debt to ~\$13.3 B as of May 5 (target \$10 B)
OVV	\$0.30/sh	\$0.30/sh	Returning 50%-75%+ of FCF to shareholders via base dividend and buybacks in 2026. Long-term target 50-100% of FCF. \$3 B share buyback program in place.	~\$4 B net debt target (<\$3.3 B at the end of April)
PR	\$0.16/sh	\$0.16/sh	Pegs dividend growth against the S&P 500, opportunistic buybacks during downturns or periods of clear market dislocations (~\$926 MM remaining under authorization)	0.5-1.0x net debt/EBITDAX target (0.8x at March 31)
RRC	\$0.10/sh	\$0.10/sh	Favor buybacks while slowly and steadily growing the dividend	Maintain <1x Debt/EBITDAX at \$3 NYMEX (0.5x as of 1Q26)
TOU	C\$0.50/sh	C\$0.50/sh	Special dividends in times of sustained strong commodity prices or defensive buybacks in times of market turmoil. Larger buybacks at the end of the decade.	C\$1.75 B net debt target (~C\$1.49 B as of March 31)
Integrated				
CNQ	C\$0.63/sh	C\$0.63/sh	As of the 1Q26 earnings release (May 7th), CNQ's net debt is now below C\$16 B. The company will now allocate 75% of FCF to shareholders through share buybacks (up from 60%). When net debt reaches C\$13 B, CNQ will allocate 100% of FCF to buybacks.	Targeting C\$13 B net debt (C\$16.15 B at 1Q26)
CVE	C\$0.20/sh	C\$0.22/sh	Returns ~50% of excess free funds flow (EFFF) when net debt is >C\$6 B. On the 1Q26 call, management said there would be a bias towards debt reduction in the short-term as a result of the current price environment. When net debt is between C\$4 and C\$6 B, CVE will return 75% of EFFF. This allocation will move to 100% when net debt reaches C\$4 B.	Targeting net debt floor of C\$4 B. Net debt as of 1Q26 is C\$8.06 B.
CVX	\$1.78/sh	\$1.78/sh	Expects 2Q buybacks of \$2.5 - \$3.0 B, in-line with 1Q guidance. CVX aims to repurchase \$10 - \$20 B of shares within a Brent oil price range of \$60 - \$80.	Targets 20-25% net debt ratio through the cycle. With 1Q26 results, CVX reported net debt to CFFO of 1.3X
IMO	C\$0.87/sh	C\$0.87/sh	Returns surplus cash through NCIB and SIB. Intends to renew NCIB in June.	
SU	C\$0.60/sh	C\$0.60/sh	Allocating 100% of excess funds flow to shareholder returns. With the Investor Day event at the end of March, SU guided to C\$350 MM of monthly share repurchases from April 1st through the end of 2026.	Has goal to maintain a 1X net debt to AFFO ratio (at US\$50 WTI), equating to ~C\$10 B of net debt. As of 1Q26, net debt stood at ~C\$6.8 B.
XOM	\$1.03/sh	\$1.03/sh	Expects ~\$20 B of annual buybacks in 2026.	Targets 20-25% debt-to-cap.
Royalties & Minerals				
VNOM	\$0.38/sh	\$0.38/sh	Committed to return at least 75% of cash available for distribution to Class A shareholders via growing base dividend, variable dividend, and opportunistic share repurchases. Once net debt is at or below \$1.5 B, expects to return up to 100% of cash available for distribution.	Targeting \$1.5 B net debt (\$1.6 B as of 3/31). Upon closing the Riverbend acquisition (expected in early 3Q), VNOM's pro-forma net debt would sit at ~\$1.8 B.

Source: Company data, Morgan Stanley Research

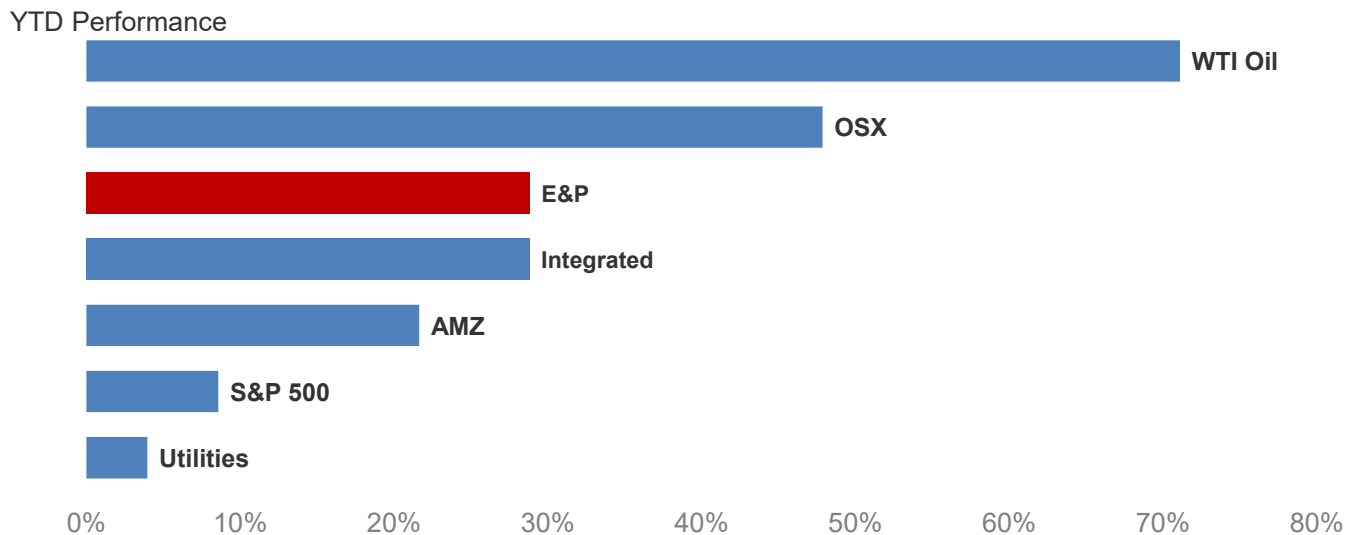
Performance & Key Industry Metrics

Exhibit 44: WoW Energy Sub-sector Performance



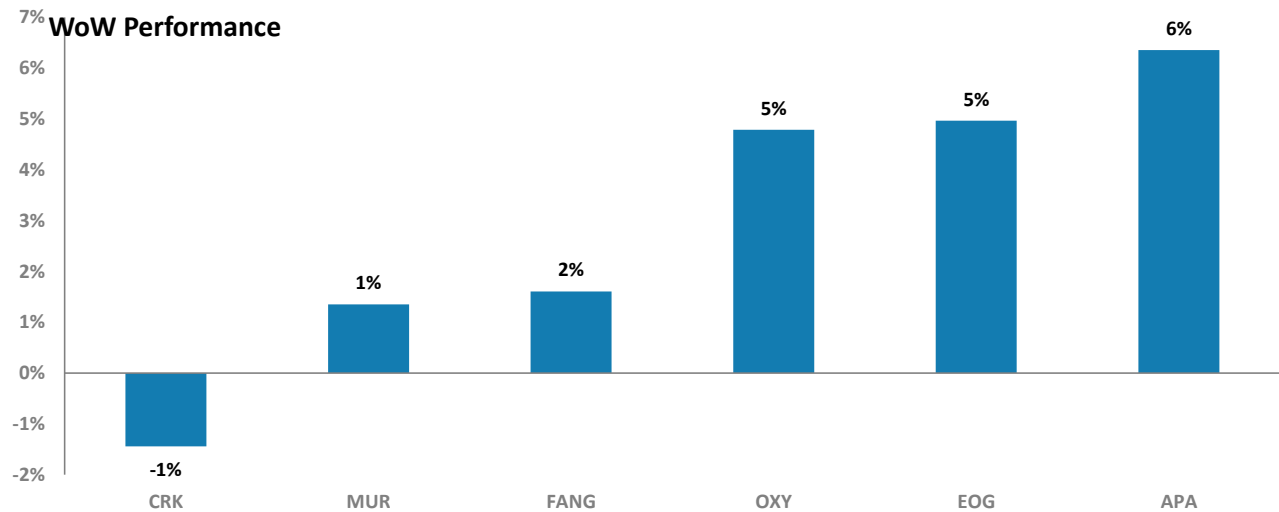
Source: Bloomberg, FactSet, Morgan Stanley Research

Exhibit 45: YTD Energy Sub-sector Performance



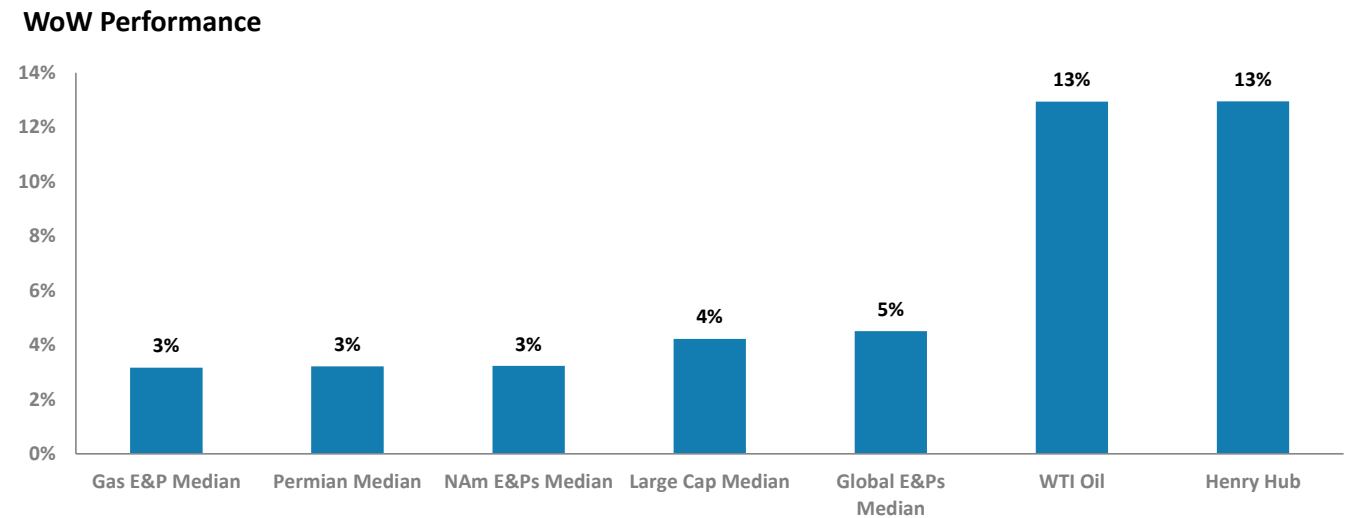
Source: Bloomberg, FactSet, Morgan Stanley Research

Exhibit 46: Best & Worst E&P WoW Performance

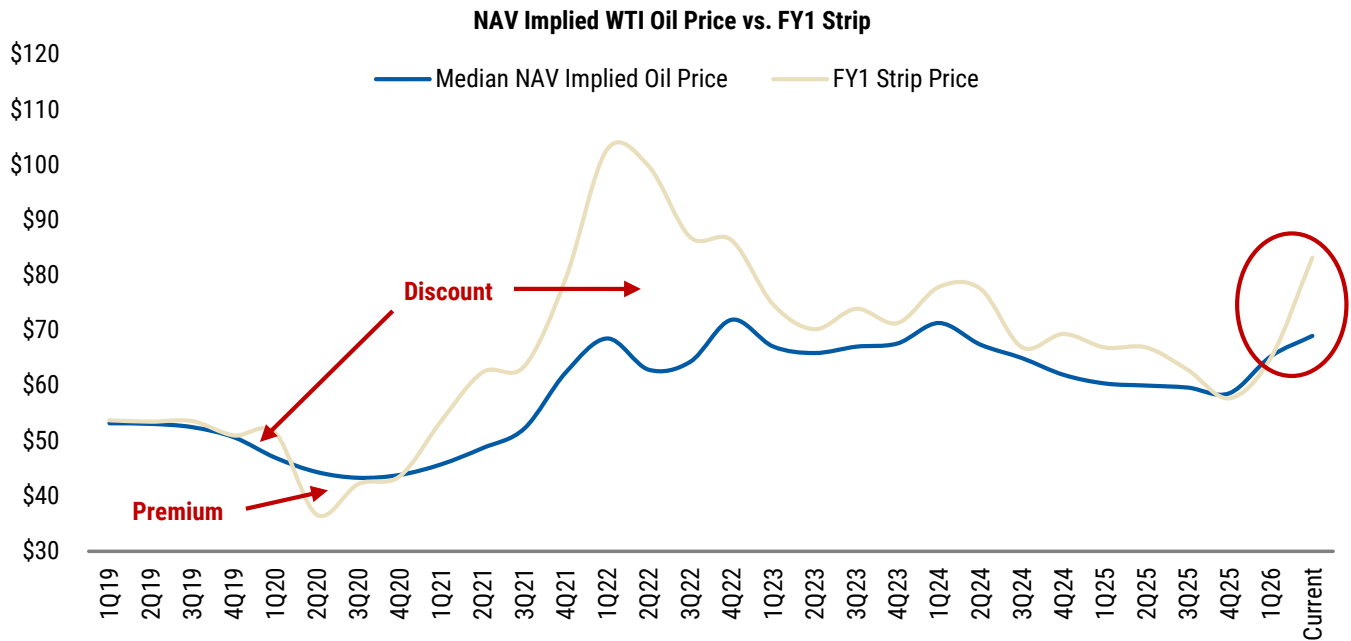


Source: FactSet, Morgan Stanley Research

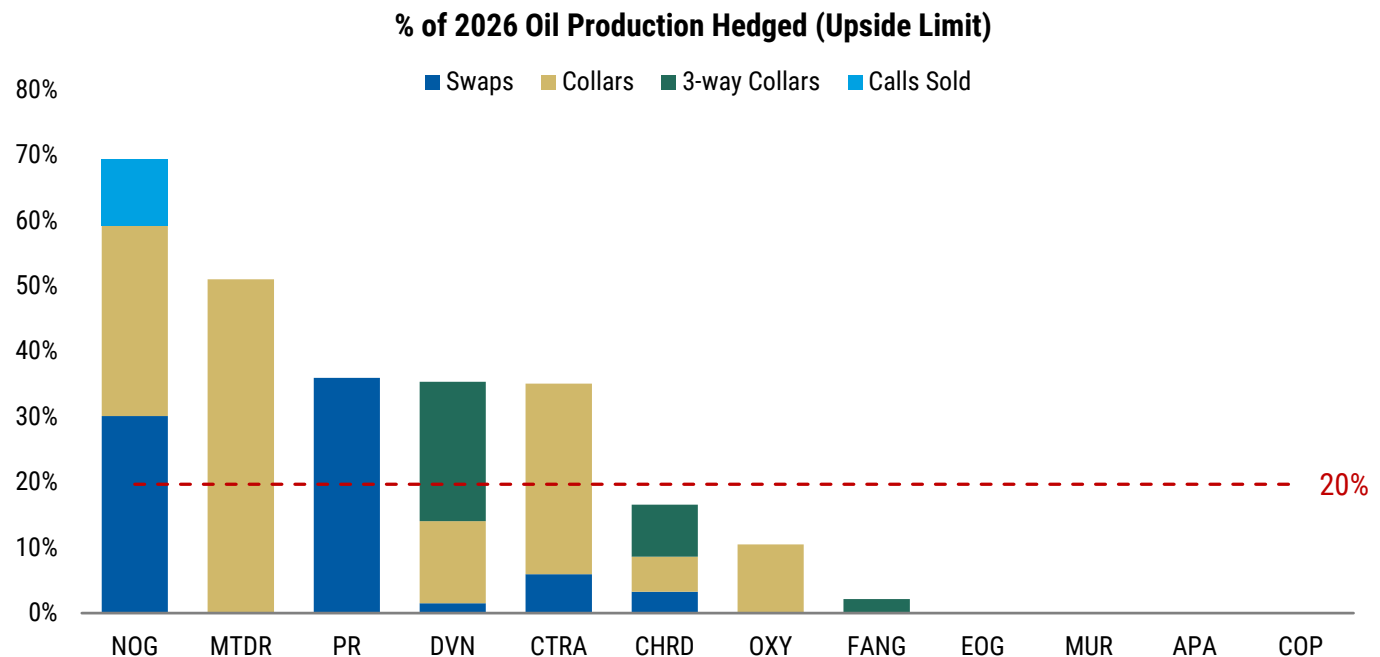
Exhibit 47: WoW Performance by E&P Sub-sector



Source: FactSet, Morgan Stanley Research

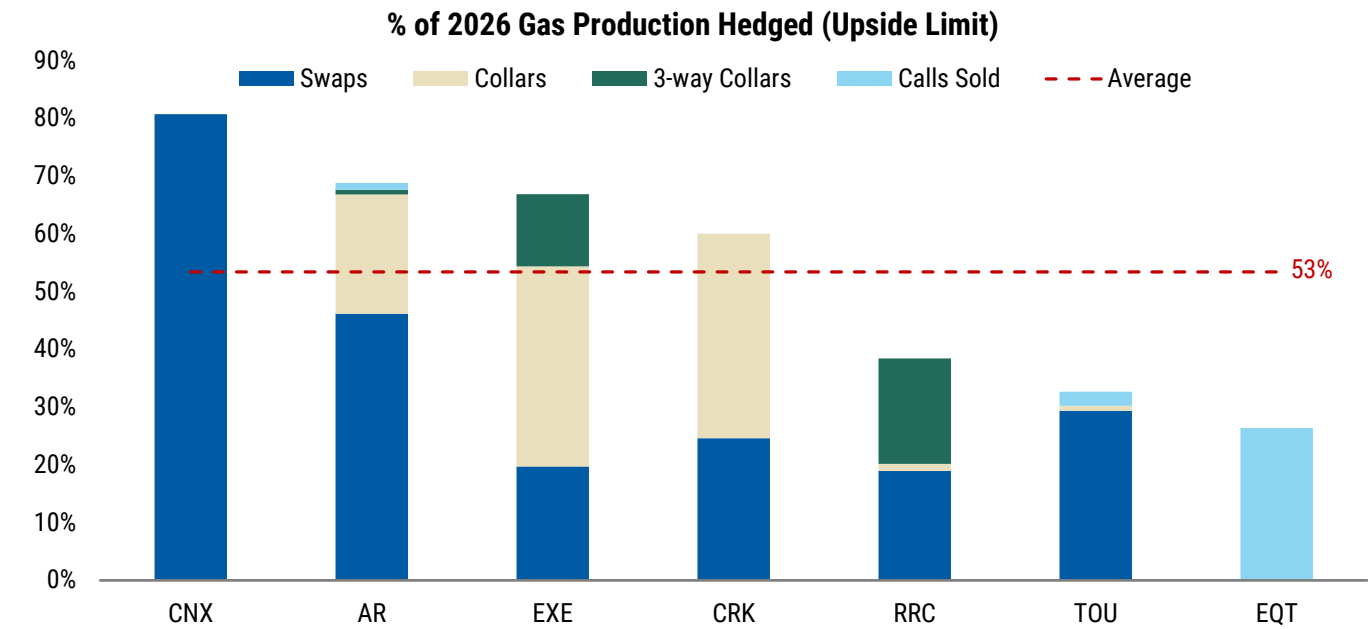
Exhibit 48: NAV implied oil prices in our coverage now sit ~16% below the 12-month strip price

Source: Company reports, Bloomberg, Morgan Stanley Research estimates

Exhibit 49: Our oil coverage has an average of ~20% of 2026 production hedged

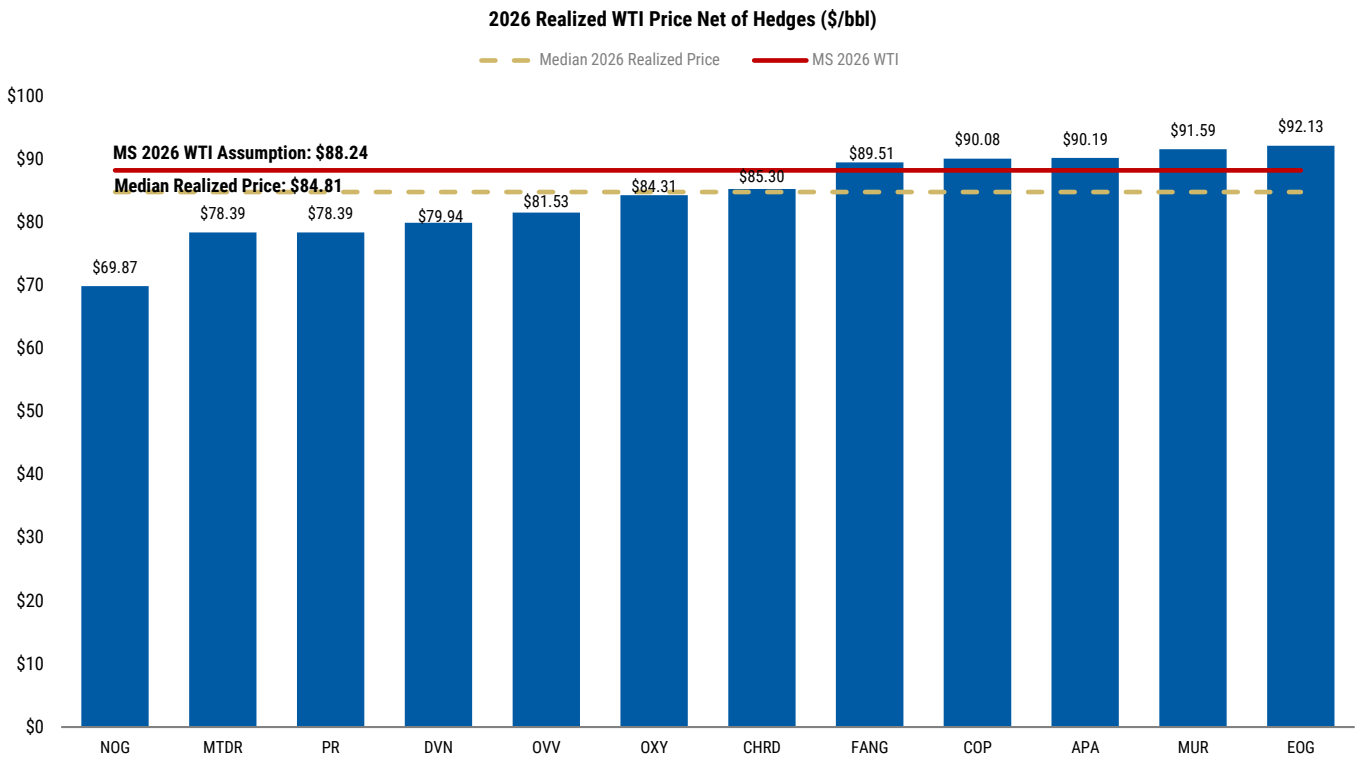
Source: Company data, Morgan Stanley Research estimates

Exhibit 50: Gas E&Ps have hedged ~53% of estimated 2026 production on average



Source: Company data, Morgan Stanley Research estimates

Exhibit 51: At our price deck of ~\$88 WTI in 2026, we forecast a median realized price of ~\$85/bbl for our oil coverage. EOG, MUR, and APA have the highest realized prices due to limited hedges and/or geographic mix



Source: Company reports, Morgan Stanley Research estimates

Sensitivities Summary

Exhibit 52: FCF yield sensitivities

		2026E FCF/Equity yield (Pre-Div)					2027E FCF/Equity yield (Pre-Div)				
Company	Ticker	\$65 WTI	\$75 WTI	\$85 WTI	\$95 WTI	\$105 WTI	\$65 WTI	\$75 WTI	\$85 WTI	\$95 WTI	\$105 WTI
US Majors											
Chevron Corp.	CVX	8%	9%	10%	12%	13%	7%	8%	10%	12%	13%
Exxon Mobil Corporation	XOM	6%	7%	8%	9%	10%	6%	8%	9%	10%	11%
US Majors Median		7%	8%	9%	10%	12%	6%	8%	9%	11%	12%
Canada											
Canadian Natural Resources Ltd	CNQ	4%	7%	9%	11%	13%	7%	9%	11%	13%	15%
Cenovus Energy Inc	CVE	5%	8%	10%	13%	15%	7%	9%	12%	15%	18%
Imperial Oil Ltd	IMO	5%	7%	8%	9%	11%	6%	7%	8%	9%	11%
Suncor Energy Inc	SU	8%	10%	11%	13%	15%	6%	8%	10%	12%	13%
Canada Median		5%	7%	9%	12%	14%	6%	8%	10%	12%	14%
Oil E&Ps											
APA Corp.	APA	9%	13%	17%	21%	25%	7%	11%	14%	18%	22%
Chord Energy Corp.	CHRD	9%	15%	20%	24%	29%	10%	16%	21%	26%	31%
ConocoPhillips	COP	5%	8%	10%	12%	14%	7%	9%	12%	14%	16%
Devon Energy Corp.	DVN	7%	9%	12%	13%	15%	11%	14%	17%	20%	23%
Diamondback Energy, Inc.	FANG	7%	10%	12%	14%	17%	8%	11%	13%	15%	17%
EOG Resources Inc.	EOG	7%	9%	11%	14%	16%	7%	10%	12%	14%	17%
Matador Resources Co.	MTDR	10%	13%	15%	17%	19%	10%	15%	19%	23%	27%
Murphy Oil Corp.	MUR	0%	5%	11%	15%	20%	6%	10%	15%	19%	24%
Northern Oil and Gas, Inc	NOG	10%	14%	18%	20%	23%	11%	21%	30%	36%	43%
Occidental Petroleum Corp.	OXY	10%	13%	16%	18%	21%	7%	11%	14%	17%	21%
Ovintiv Inc	OVV	8%	12%	15%	18%	21%	10%	15%	19%	23%	27%
Permian Resources Corp.	PR	10%	12%	14%	16%	19%	13%	16%	19%	22%	25%
Oil E&Ps Median		9%	12%	15%	17%	19%	9%	12%	16%	20%	23%
Royalties & Minerals											
Viper Energy, Inc.	VNOM	8%	10%	11%	12%	14%	10%	11%	13%	14%	15%

Source: FactSet, Morgan Stanley Research estimates

Exhibit 53: MSe EBITDAX vs consensus

		2026E EBITDAX vs consensus					2027E EBITDAX vs consensus				
Company	Ticker	\$65 WTI	\$75 WTI	\$85 WTI	\$95 WTI	\$105 WTI	\$65 WTI	\$75 WTI	\$85 WTI	\$95 WTI	\$105 WTI
US Majors											
Chevron Corp.	CVX	-18%	-5%	7%	19%	31%	-9%	5%	19%	33%	47%
Exxon Mobil Corporation	XOM	-12%	0%	12%	23%	35%	-3%	10%	22%	35%	48%
US Majors Median		-15%	-3%	9%	21%	33%	-6%	7%	20%	34%	47%
Canada											
Canadian Natural Resources Ltd	CNQ	-38%	-22%	-5%	12%	29%	-12%	6%	25%	44%	63%
Cenovus Energy Inc	CVE	-38%	-22%	-6%	10%	27%	-15%	5%	24%	44%	64%
Imperial Oil Ltd	IMO	-23%	-8%	6%	22%	37%	-7%	10%	27%	45%	62%
Suncor Energy Inc	SU	-24%	-12%	-1%	10%	21%	-14%	0%	15%	29%	44%
Canada Median		-31%	-17%	-3%	11%	28%	-13%	5%	24%	44%	63%
Oil E&Ps											
APA Corp.	APA	-21%	-8%	5%	18%	31%	-14%	1%	16%	30%	45%
Chord Energy Corp.	CHRD	-22%	-6%	10%	25%	40%	-14%	5%	24%	42%	61%
ConocoPhillips	COP	-19%	-4%	10%	25%	40%	-5%	13%	30%	47%	64%
Devon Energy Corp.	DVN	-16%	-3%	10%	20%	30%	-8%	7%	21%	34%	48%
Diamondback Energy, Inc.	FANG	-22%	-7%	9%	24%	39%	-8%	8%	25%	41%	58%
EOG Resources Inc.	EOG	-21%	-7%	6%	20%	34%	-10%	5%	21%	36%	52%
Matador Resources Co.	MTDR	-9%	0%	8%	15%	22%	-14%	0%	15%	28%	42%
Murphy Oil Corp.	MUR	-25%	-10%	6%	21%	36%	-12%	6%	24%	41%	59%
Northern Oil and Gas, Inc	NOG	-19%	-13%	-7%	-3%	1%	-13%	1%	15%	29%	42%
Occidental Petroleum Corp.	OXY	-26%	-11%	4%	17%	29%	-14%	4%	22%	39%	56%
Ovintiv Inc	OVV	-23%	-11%	2%	13%	25%	-15%	2%	18%	34%	50%
Permian Resources Corp.	PR	-17%	-7%	3%	13%	23%	-5%	9%	23%	37%	52%
Oil E&Ps Median		-21%	-7%	6%	19%	30%	-12%	5%	21%	37%	52%
Royalties & Minerals											
Viper Energv. Inc.	VNOM	-19%	-6%	6%	19%	32%	-9%	4%	17%	31%	44%

Source: FactSet, Morgan Stanley Research estimates

Comps

Exhibit 54: Comp Sheet

Commodity Benchmark Prices																								
		2026E	2027E	2028E																				
WTI Cushing Oil (\$/Bbl)		88.19	70.00	70.00																				
WCS (\$/Bbl)		67.66	55.62	55.00																				
Brent Oil (\$/Bbl)		97.26	76.05	75.00																				
US Henry Hub (\$/MMBtu)		3.66	3.80	3.75																				
Mont Belvieu NGL (\$/Bbl)		31.65	28.26	28.04																				
GC 321 Brent (\$/Bbl)		21.19	14.20	14.20																				

Company	Ticker	Rating	Price 5/20/26	Market Cap (\$MM)	Price Target	PT Upside	EV/EBITDAX			EV/ Debt-Adjusted Cash Flow			FCF yield (Pre-Div)			Total Yield (Dividends + Buybacks)			Net Debt/ EBITDAX			Prod Growth YoY					
							2026E	2027E	2028E	2026E	2027E	2028E	2026E	2027E	2028E	2026E	2027E	2028E	2026E	2027E	2028E	2026E	2027E	2028E	2026E	2027E	2028E
US Majors																											
Chevron Corp.	CVX	OW	\$191.33	372,335	\$214	12%	5.8x	7.1x	6.7x	7.2x	8.3x	7.8x	11%	8%	8%	7%	8%	8%	0.3x	0.4x	0.4x	7%	3%	-0%			
Exxon Mobil Corporation	XOM	OW	\$156.28	669,660	\$171	9%	6.5x	7.2x	6.6x	7.9x	8.6x	7.9x	8%	7%	7%	6%	6%	5%	0.1x	0.0x	-0.1x	-2%	8%	3%			
US Majors Median						11%	6.2x	7.2x	6.6x	7.6x	8.4x	7.8x	10%	7%	8%	6%	7%	7%	0.2x	0.2x	0.2x	3%	5%	2%			
Canada																											
Canadian Natural Resources Ltd	CNQ	EW	C\$67.11	C\$140,528	C\$67	-0%	6.2x	6.9x	6.7x	7.0x	8.0x	7.8x	9%	8%	8%	8%	7%	8%	0.6x	0.6x	0.6x	5%	2%	-1%			
Cenovus Energy Inc	CVE	OW	C\$41.93	C\$81,205	C\$43	3%	4.9x	5.6x	5.0x	5.7x	6.5x	5.7x	11%	8%	9%	6%	7%	9%	0.3x	0.2x	0.2x	17%	5%	5%			
Imperial Oil Ltd	IMO	EW	C\$183.85	C\$92,863	C\$141	-23%	7.2x	9.1x	8.2x	8.9x	11.1x	10.0x	8%	6%	6%	6%	6%	5%	0.1x	0.1x	0.0x	2%	4%	1%			
Suncor Energy Inc	SU	EW	C\$93.30	C\$113,080	C\$93	-0%	4.6x	6.2x	5.3x	5.5x	7.3x	6.3x	12%	7%	8%	6%	7%	8%	0.0x	0.0x	0.0x	0%	6%	6%			
Canada Median						-0%	5.6x	6.6x	6.0x	6.4x	7.6x	7.0x	10%	7%	8%	6%	7%	8%	0.2x	0.2x	0.1x	3%	5%	3%			
Oil E&Ps																											
APA Corp.	APA	UW	\$39.32	13,919	\$44	12%	2.5x	3.3x	3.1x	3.0x	3.8x	3.6x	18%	9%	9%	4%	5%	6%	0.3x	0.3x	0.2x	-7%	0%	4%			
Chord Energy Corp.	CHRD	OW	\$145.55	8,263	\$175	20%	2.4x	2.8x	2.5x	2.5x	2.9x	2.7x	21%	12%	12%	15%	9%	9%	0.1x	0.1x	0.0x	0%	-1%	0%			
ConocoPhillips	COP	OW	\$122.36	149,886	\$153	25%	4.5x	4.9x	4.5x	5.6x	6.0x	5.4x	11%	8%	9%	8%	7%	7%	0.4x	0.4x	0.3x	-3%	4%	2%			
Devon Energy Corp.	DVN	OW	\$48.46	55,777	\$66	36%	4.4x	3.5x	3.1x	4.8x	4.0x	3.4x	12%	13%	14%	5%	9%	11%	0.3x	0.1x	0.0x	63%	23%	1%			
Diamondback Energy, Inc.	FANG	OW	\$204.33	57,783	\$229	12%	5.0x	5.7x	5.3x	5.7x	6.5x	6.1x	13%	9%	9%	4%	6%	5%	0.6x	0.6x	0.4x	6%	1%	1%			
EOG Resources Inc.	EOG	EW	\$141.63	75,772	\$160	13%	4.1x	5.0x	5.1x	4.8x	5.7x	5.7x	12%	8%	8%	9%	8%	8%	0.1x	0.1x	0.1x	14%	3%	3%			
Matador Resources Co.	MTDR	EW	\$59.52	7,396	\$75	26%	3.6x	3.7x	3.4x	3.9x	4.0x	3.6x	16%	13%	13%	3%	3%	3%	0.8x	0.7x	0.4x	3%	3%	2%			
Murphy Oil Corp.	MUR	UW	\$38.98	5,628	\$37	-5%	2.9x	3.3x	3.3x	3.2x	3.6x	3.6x	12%	8%	7%	9%	6%	5%	0.4x	0.4x	0.4x	-5%	7%	3%			
Northern Oil and Gas, Inc	NOG	UW	\$24.07	2,414	\$29	20%	3.3x	3.1x	3.0x	4.0x	3.8x	3.6x	19%	16%	17%	8%	8%	8%	1.6x	1.4x	1.3x	9%	-0%	0%			
Occidental Petroleum Corp.	OXY	EW	\$58.87	59,276	\$74	26%	4.3x	5.0x	4.5x	4.5x	5.7x	5.2x	16%	9%	10%	2%	2%	2%	0.7x	0.6x	0.3x	-0%	2%	3%			
Ovintiv Inc	OVV	EW	\$59.53	15,966	\$68	14%	3.6x	4.0x	3.8x	3.8x	4.0x	4.2x	16%	13%	10%	17%	11%	9%	0.6x	0.8x	0.9x	2%	-2%	0%			
Permian Resources Corp.	PR	OW	\$20.89	17,805	\$25	20%	4.0x	3.6x	3.3x	4.5x	4.3x	4.1x	15%	14%	12%	3%	3%	3%	0.3x	-0.1x	-0.4x	5%	0%	1%			
Oil E&Ps Median						20%	3.8x	3.6x	3.3x	4.3x	4.0x	3.9x	15%	11%	10%	6%	6%	6%	0.4x	0.4x	0.3x	3%	1%	1%			
Gas E&Ps																											
Antero Resources Corp.	AR	OW	\$37.98	11,828	\$56	47%	4.8x	3.7x	3.2x	5.2x	4.3x	4.1x	13%	15%	13%	1%	5%	4%	0.6x	0.2x	-0.1x	19%	9%	4%			
CNX Resources Corp.	CNX	UW	\$36.53	5,855	\$34	-7%	6.2x	5.1x	4.8x	8.5x	6.3x	6.4x	6%	10%	9%	4%	5%	3%	1.3x	1.1x	1.0x	-3%	0%	0%			
Comstock Resources Inc.	CRK	EW	\$14.34	4,177	\$18	26%	7.0x	5.2x	4.7x	7.9x	5.9x	5.5x	-11%	-3%	-2%	0%	0%	1%	3.0x	2.2x	2.1x	5%	21%	13%			
EQT Corp.	EQT	OW	\$57.83	36,387	\$74	28%	6.7x	6.0x	4.9x	6.6x	6.7x	5.5x	11%	9%	12%	1%	3%	3%	0.6x	0.3x	-0.2x	-0%	1%	5%			
Expand Energy Corp.	EXE	OW	\$98.85	23,799	\$139	41%	4.2x	3.8x	3.5x	4.3x	4.0x	3.7x	12%	12%	11%	4%	4%	7%	0.3x	0.0x	-0.2x	5%	2%	1%			
Range Resources Corp.	RRC	EW	\$42.08	9,948	\$50	19%	5.8x	5.1x	4.9x	6.2x	5.6x	5.9x	9%	10%	8%	2%	3%	6%	0.2x	-0.1x	-0.2x	6%	9%	2%			
Tourmaline Oil Corp.	TOU	EW	C\$67.15	C\$26,930	C\$70	4%	6.3x	5.9x	5.0x	6.5x	6.2x	5.2x	5%	5%	8%	5%	5%	5%	0.2x	0.2x	0.0x	-1%	7%	5%			
Gas E&Ps Median						26%	6.2x	5.1x	4.8x	6.5x	5.9x	5.5x	9%	10%	9%	2%	4%	4%	0.6x	0.2x	-0.1x	5%	7%	4%			
Royalties & Minerals																											
Viper Energy, Inc.	VNOM	OW	\$47.70	16,913	\$49	3%	10.5x	11.5x	10.3x	11.6x	12.1x	10.7x	11%	10%	11%	9%	12%	12%	0.5x	0.7x	0.7x	36%	4%	6%			
Total Coverage Median						14%	4.7x	5.1x	4.7x	5.5x	5.8x	5.4x	12%	9%	9%	5%	6%	6%	0.4x	0.3x	0.2x	4%	3%	2%			

Source: FactSet, Morgan Stanley Research estimates

EPS & Comps Tables

Exhibit 55: EPS Estimates

Company	Ticker	Rating	EPS						MS vs. Street		
			MS			Consensus			MS vs. Street		
			2026E	2027E	2028E	2026E	2027E	2028E	2026E	2027E	2028E
US Majors											
Chevron Corp.	CVX	OW	16.71	11.40	12.67	13.47	11.95	12.29	24%	-5%	3%
Exxon Mobil Corporation	XOM	OW	12.92	10.69	11.83	10.51	10.17	10.81	23%	5%	9%
US Majors Median			14.81	11.04	12.25	11.99	11.06	11.55	23%	0%	6%
Canada											
Canadian Natural Resources Ltd	CNQ	EW	5.80	4.72	4.81	6.13	4.96	4.93	-5%	-5%	-2%
Cenovus Energy Inc	CVE	OW	4.18	3.04	3.55	4.42	3.53	3.92	-5%	-14%	-9%
Imperial Oil Ltd	IMO	EW	15.86	11.60	12.76	12.69	11.01	10.95	25%	5%	17%
Suncor Energy Inc	SU	EW	10.23	5.96	7.28	8.64	6.98	8.05	18%	-15%	-10%
Canada Median			8.02	5.34	6.04	7.38	5.97	6.49	7%	-9%	-6%
Oil E&Ps											
APA Corp.	APA	UW	6.83	3.34	3.46	6.05	4.16	4.78	13%	-20%	-28%
Chord Energy Corp.	CHRD	OW	26.90	16.96	18.26	20.21	16.11	16.24	33%	5%	12%
ConocoPhillips	COP	OW	12.46	9.81	10.86	9.75	8.84	9.09	28%	11%	19%
Devon Energy Corp.	DVN	OW	4.80	5.71	6.39	5.50	5.39	5.86	-13%	6%	9%
Diamondback Energy, Inc.	FANG	OW	21.49	14.90	14.98	19.43	17.20	17.77	11%	-13%	-16%
EOG Resources Inc.	EOG	EW	19.18	13.54	13.06	16.28	14.43	14.87	18%	-6%	-12%
Matador Resources Co.	MTDR	EW	8.83	7.53	7.62	7.27	8.35	8.28	21%	-10%	-8%
Murphy Oil Corp.	MUR	UW	4.30	3.27	3.06	3.53	3.37	3.91	22%	-3%	-22%
Northern Oil and Gas, Inc	NOG	UW	3.81	3.89	4.04	3.62	3.77	3.90	5%	3%	4%
Occidental Petroleum Corp.	OXY	EW	6.86	3.55	3.67	4.78	3.58	3.98	44%	-1%	-8%
Ovintiv Inc	OVV	EW	8.55	7.29	7.94	8.00	7.78	8.45	7%	-6%	-6%
Permian Resources Corp.	PR	OW	1.72	2.03	2.07	1.68	2.07	2.12	3%	-2%	-2%
Oil E&Ps Median			7.70	6.50	7.01	6.66	6.58	7.07	15%	-2%	-7%
Gas E&Ps											
Antero Resources Corp.	AR	OW	4.33	5.28	5.67	4.41	4.73	5.29	-2%	11%	7%
CNX Resources Corp.	CNX	UW	1.97	2.99	3.37	3.11	4.19	4.61	-37%	-28%	-27%
Comstock Resources Inc.	CRK	EW	0.61	1.37	1.58	0.62	1.12	1.50	-2%	23%	5%
EQT Corp.	EQT	OW	4.15	4.67	5.59	4.85	4.77	5.53	-14%	-2%	1%
Expand Energy Corp.	EXE	OW	9.07	9.23	9.29	8.97	9.33	9.75	1%	-1%	-5%
Range Resources Corp.	RRC	EW	4.08	4.11	3.85	4.28	4.57	4.87	-5%	-10%	-21%
Tourmaline Oil Corp.	TOU	EW	6.07	5.00	6.35	4.91	5.31	5.35	24%	-6%	19%
Gas E&Ps Median			4.15	4.67	5.59	4.41	4.73	5.29	-2%	-2%	1%
Royalties & Minerals											
Viper Energy, Inc.	VNOM	OW	2.75	2.16	2.35	2.40	2.27	2.34	14%	-5%	0%
Total Coverage Median			6.45	5.14	6.01	5.78	5.13	5.44	12%	-4%	-2%

Source: FactSet, Morgan Stanley Research estimates; Ratings: OW = Overweight, EW = Equal-weight, UW = Underweight, N-R = Not-Rated. ++ Rating, price target and estimates for this company have been removed from consideration in this report because, under applicable law and/or Morgan Stanley policy, Morgan Stanley may be precluded from issuing such information with respect to this company at this time.

Exhibit 56: Production

Company	Ticker	Oil Production (MBbld)			Oil Production (MBbld)			Oil Production (MBbld)			Production (MBoed)			Production (MBoed)			Production (MBoed)		
		MS			Consensus			MS vs. Street			MS			Consensus			MS vs. Street		
		2026E	2027E	2028E	2026E	2027E	2028E	2026E	2027E	2028E	2026E	2027E	2028E	2026E	2027E	2028E	2026E	2027E	2028E
US Majors																			
Chevron Corp.	CVX	2,539	2,632	2,633	2,587	2,684	2,704	-2%	-2%	-3%	3,999	4,103	4,096	4,015	4,144	4,146	-0%	-1%	-1%
Exxon Mobil Corporation	XOM	3,390	3,644	3,761	3,391	3,726	3,819	-0%	-2%	-2%	4,645	5,004	5,167	4,702	5,108	5,241	-1%	-2%	-1%
US Majors Median		2,965	3,138	3,197	2,989	3,205	3,262	-1%	-2%	-2%	4,322	4,554	4,632	4,358	4,626	4,694	-1%	-2%	-1%
Canada																			
Canadian Natural Resources Ltd	CNQ	1,209	1,246	1,233	1,200	1,223	1,143	1%	2%	8%	1,645	1,684	1,673	1,623	1,653	1,651	1%	2%	1%
Cenovus Energy Inc	CVE	795	853	903	814	860	898	-2%	-1%	1%	972	1,025	1,075	972	1,019	1,062	-0%	1%	1%
Imperial Oil Ltd	IMO	440	459	464	440	454	453	0%	1%	2%	444	463	468	446	461	464	-0%	0%	1%
Suncor Energy Inc	SU	864	912	965	868	906	963	-0%	1%	0%	864	912	965	866	902	948	-0%	1%	2%
Canada Median		830	882	934	841	883	930	-0%	1%	1%	918	969	1,020	919	960	1,005	-0%	1%	1%
Oil E&Ps																			
APA Corp.	APA	219	209	219	221	218	234	-1%	-4%	-6%	430	432	448	435	441	458	-1%	-2%	-2%
Chord Energy Corp.	CHRD	162	162	162	161	161	162	0%	0%	0%	278	276	277	280	281	283	-1%	-2%	-2%
ConocoPhillips	COP	1,223	1,264	1,282	1,296	1,325	-	-6%	-5%	NM	2,302	2,394	2,431	2,309	2,414	2,481	-0%	-1%	-2%
Devon Energy Corp.	DVN	501	571	577	499	563	567	1%	1%	2%	1,367	1,682	1,700	1,352	1,641	1,625	1%	3%	5%
Diamondback Energy, Inc.	FANG	525	535	541	523	531	540	0%	1%	0%	980	990	1,000	981	999	1,011	-0%	-1%	-1%
EOG Resources Inc.	EOG	549	553	561	549	557	563	-0%	-1%	-0%	1,399	1,445	1,491	1,401	1,448	1,485	-0%	-0%	0%
Matador Resources Co.	MTDR	124	126	128	125	129	134	-1%	-2%	-5%	214	221	224	214	223	230	0%	-1%	-3%
Murphy Oil Corp.	MUR	87	93	93	86	91	97	1%	2%	-5%	173	185	190	173	183	193	-0%	1%	-1%
Northern Oil and Gas, Inc.	NOG	74	75	75	73	75	77	1%	0%	-2%	147	146	146	147	152	160	0%	-4%	-8%
Occidental Petroleum Corp.	OXY	718	744	781	716	733	741	0%	2%	5%	1,431	1,457	1,499	1,421	1,454	1,459	1%	0%	3%
Ovintiv Inc	OVV	209	210	213	211	210	214	-1%	-0%	-0%	628	614	615	639	638	647	-2%	-4%	-5%
Permian Resources Corp.	PR	194	197	199	194	199	204	0%	-1%	-2%	412	413	418	418	434	446	-1%	-5%	-6%
Oil E&Ps Median		214	209	216	216	214	209	0%	0%	-0%	529	523	532	537	540	552	-0%	-1%	-2%
Gas-Weighted Resource Plays																			
Antero Resources Corp.	AR	11	14	16	9	10	11	22%	50%	42%	685	749	782	686	736	754	-0%	2%	4%
CNX Resources Corp.	CNX	1	1	1	1	0	0	3%	50%	53%	279	280	280	281	280	284	-0%	0%	-1%
Comstock Resources Inc.	CRK	0	0	0	0	0	0	55%	35%	91%	217	262	295	216	273	324	0%	-4%	-9%
EQT Corp.	EQT	7	9	11	5	5	5	28%	72%	101%	1,085	1,094	1,146	1,096	1,105	1,133	-1%	-1%	1%
Expand Energy Corp.	EXE	18	16	15	16	18	19	10%	-8%	-20%	1,251	1,272	1,291	1,251	1,282	1,300	-0%	-1%	-1%
Range Resources Corp.	RRC	10	9	8	8	9	9	19%	-0%	-11%	395	433	441	396	436	447	-0%	-1%	-1%
Tourmaline Oil Corp.	TOU	122	128	135	127	N/A	N/A	-4%	-5%	-5%	632	676	710	633	674	717	-0%	0%	-1%
Gas E&Ps Median		10	9	11	8	7	7	19%	35%	42%	632	676	710	633	674	717	-0%	-1%	-1%
Royalties & Minerals																			
Viper Energy, Inc.	VNOM	67	72	76	66	69	71	1%	4%	7%	130	135	143	131	136	139	-1%	-1%	3%
Total Coverage Median		202	203	206	202	210	204	0%	0%	0%	659	713	746	662	705	735	-0%	-1%	-1%

Source: FactSet, Morgan Stanley Research estimates; Ratings: OW = Overweight, EW = Equal-weight, UW = Underweight, N-R = Not-Rated. ++ Rating, price target and estimates for this company have been removed from consideration in this report because, under applicable law and/or Morgan Stanley policy, Morgan Stanley may be precluded from issuing such information with respect to this company at this time. Oil production shown as liquids production for CVX, OVV, TOU and XOM.

Exhibit 57: Capex

Company	Ticker	Rating	Capex (\$MM)								
			MS			Consensus			MS vs. Street		
			2026E	2027E	2028E	2026E	2027E	2028E	2026E	2027E	2028E
US Majors											
Chevron Corp.	CVX	OW	18,670	19,572	19,618	18,147	19,024	19,037	3%	3%	3%
Exxon Mobil Corporation	XOM	OW	27,957	28,736	29,414	27,987	29,582	29,732	-0%	-3%	-1%
US Majors Median			23,313	24,154	24,516	23,067	24,303	24,384	1%	0%	1%
Canada											
Canadian Natural Resources Ltd	CNQ	EW	6,141	5,737	5,882	6,524	6,349	6,287	-6%	-10%	-6%
Cenovus Energy Inc	CVE	OW	5,111	4,877	4,713	5,074	5,025	4,749	1%	-3%	-1%
Imperial Oil Ltd	IMO	EW	2,078	1,812	1,839	2,080	1,884	1,796	-0%	-4%	2%
Suncor Energy Inc	SU	EW	5,692	5,645	5,679	5,566	5,628	5,673	2%	0%	0%
Canada Median			5,401	5,261	5,196	5,320	5,327	5,211	0%	-3%	-0%
Oil E&Ps											
APA Corp.	APA	UW	2,107	2,177	2,088	2,158	2,231	2,288	-2%	-2%	-9%
Chord Energy Corp.	CHRD	OW	1,406	1,407	1,407	1,404	1,405	1,402	0%	0%	0%
ConocoPhillips	COP	OW	12,217	12,038	11,802	12,180	12,155	12,121	0%	-1%	-3%
Devon Energy Corp.	DVN	OW	4,853	5,680	5,660	4,708	5,321	5,468	3%	7%	4%
Diamondback Energy, Inc.	FANG	OW	3,899	3,917	3,938	3,912	3,952	4,036	-0%	-1%	-2%
EOG Resources Inc.	EOG	EW	6,514	6,576	6,672	6,543	6,690	6,795	-0%	-2%	-2%
Matador Resources Co.	MTDR	EW	1,503	1,508	1,496	1,522	1,545	1,552	-1%	-2%	-4%
Murphy Oil Corp.	MUR	UW	1,251	1,186	1,163	1,232	1,229	1,170	2%	-3%	-1%
Northern Oil and Gas, Inc	NOG	UW	929	993	993	966	1,064	1,108	-4%	-7%	-10%
Occidental Petroleum Corp.	OXY	EW	5,738	5,911	5,822	5,800	5,933	5,984	-1%	-0%	-3%
Ovintiv Inc	OVV	EW	2,292	2,292	2,258	2,217	2,263	2,285	3%	1%	-1%
Permian Resources Corp.	PR	OW	1,901	1,910	1,925	1,902	1,939	1,975	-0%	-1%	-3%
Oil E&Ps Median			2,200	2,234	2,173	2,187	2,247	2,287	-0%	-1%	-2%
Gas-Weighted Resource Plays											
Antero Resources Corp.	AR	OW	1,285	1,286	1,286	1,154	1,218	1,219	11%	6%	5%
CNX Resources Corp.	CNX	UW	569	569	571	568	587	580	0%	-3%	-2%
Comstock Resources Inc.	CRK	EW	1,463	1,458	1,562	1,497	1,478	1,504	-2%	-1%	4%
EQT Corp.	EQT	OW	2,737	2,765	2,399	2,723	2,768	2,899	0%	-0%	-17%
Expand Energy Corp.	EXE	OW	2,826	2,851	2,909	2,852	2,924	3,050	-1%	-3%	-5%
Range Resources Corp.	RRC	EW	678	656	619	685	687	647	-1%	-5%	-4%
Tourmaline Oil Corp.	TOU	EW	2,649	2,849	2,859	2,443	2,878	2,898	8%	-1%	-1%
Gas E&Ps Median			1,463	1,458	1,562	1,497	1,478	1,504	0%	-1%	-2%
Royalties & Minerals											
Viper Energy, Inc.	VNOM	OW	-	-	-	(29)	-	-	NM	NM	NM
Total Coverage Median			2,649	2,765	2,399	2,443	2,768	2,898	-0%	-1%	-2%

Source: FactSet, Morgan Stanley Research estimates; Ratings: OW = Overweight, EW = Equal-weight, UW = Underweight, N-R = Not-Rated. ++ Rating, price target and estimates for this company have been removed from consideration in this report because, under applicable law and/or Morgan Stanley policy, Morgan Stanley may be precluded from issuing such information with respect to this company at this time.

Risk Reward – Canadian Natural Resources Ltd (CNQ.TO)

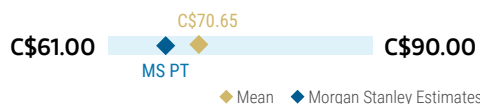
High quality company at a premium valuation

PRICE TARGET C\$67.00

Base case of C\$67/share which is a 50/50 blend of 1) a target multiple of 7.5x 2027e EV/DACF (C\$72/share) and 2) our discounted cash flow value of C\$62/share (with a WACC of 7.4% and terminal EV/EBITDA multiple of 5.7x).

Consensus Price Target Distribution

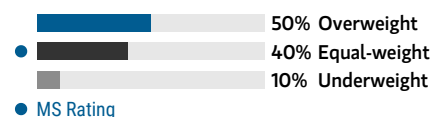
Source: Refinitiv, Morgan Stanley Research



EQUAL-WEIGHT THESIS

- **High quality company at a premium valuation.** CNQ has the most leverage to higher oil prices in our Canadian coverage and is a low-cost producer. CNQ trades at 8% FCF, slightly higher than the peer average (7%), while EV/DACF is roughly in-line.
- **Net debt reduction progression, accelerating shareholder returns.** After reaching C\$16 B of net debt as of the 1Q26 earnings release, CNQ will now return 75% of FCF to shareholders (up from 60%). We forecast '27 total shareholder yield of 7%, in-line with the peer average.

Consensus Rating Distribution



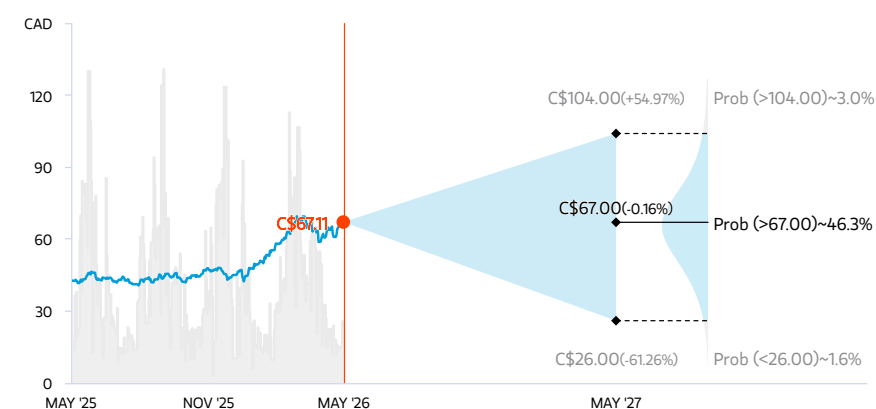
Source: Refinitiv, Morgan Stanley Research

Risk Reward Themes

Self-help: *Positive*

View descriptions of Risk Rewards Themes [here](#)

RISK REWARD CHART AND OPTIONS IMPLIED PROBABILITIES (12M)



Key: — Historical Stock Performance ● Current Stock Price ◆ Price Target

Source: Refinitiv, Morgan Stanley Research, Morgan Stanley Institutional Equities Division. The probabilities of our Bull, Base, and Bear case scenarios playing out were estimated with implied volatility data from the options market as of 20 May 2026. All figures are approximate risk-neutral probabilities of the stock reaching beyond the scenario price in either three-months' or one-years' time. View explanation of Options Probabilities methodology [here](#)

BULL CASE

C\$104.00

9.6x 2027e DACF of C\$24 B

Bull case of C\$104/sh which is a 50/50 blend of 1) a target multiple of 8.0x 2027e EV/DACF (C\$113/share) and 2) our discounted cash flow value of C\$95/share (with a WACC of 7.7% and terminal EV/EBITDA multiple of 6.5x). Assumes long-term (2027+) prices of US\$95.00 Brent, US\$4.25 HH, refining cracks increase ~10%, carbon prices flat from 2022-2030.

BASE CASE

C\$67.00

8.6x 2027e DACF.

Base case of C\$67/sh which is a 50/50 blend of 1) a target multiple of 7.5x 2027e EV/DACF (C\$72/share) and 2) our discounted cash flow value of C\$62/share (with a WACC of 7.4% and terminal EV/EBITDA multiple of 5.7x). Assumes long-term (2027+) prices of US\$75.00 Brent, US\$3.75 HH, WTI-WCS of US\$15, carbon prices increase C\$15/tonne per year through 2030.

BEAR CASE

C\$26.00

6.4x 2027e DACF of C\$11 B

Bear case of C\$18/sh which is a 50/50 blend of 1) a target multiple of 7.5x 2027e EV/DACF (C\$24/share) and 2) our discounted cash flow value of C\$13/share (with a WACC of 7.7% and terminal EV/EBITDA multiple of 3.1x). Assumes long-term (2027+) prices of US\$50.00 Brent, US\$3.25 HH, refining cracks decline ~10%, carbon price increases by C\$30/tonne per year through 2030.

Risk Reward – Canadian Natural Resources Ltd (CNQ.TO)

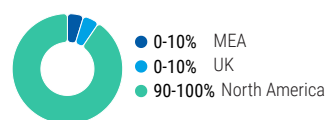
KEY EARNINGS INPUTS

Drivers	2025	2026e	2027e	2028e
Total Production (Mboe/d)	1,571	1,645	1,684	1,673
Downstream Throughput (Mbbl/d)	19	24	24	24
Total Capex (C\$MM) (C\$)	6,579	6,851	5,737	5,882

INVESTMENT DRIVERS

- Leadership in carbon capture
- Highest leverage to rising oil prices among peers
- Lowest-cost Canadian upstream producer

GLOBAL REVENUE EXPOSURE



Source: Morgan Stanley Research Estimate
View explanation of regional hierarchies [here](#)

MS ALPHA MODELS

3/5
MOST

3 Month
Horizon

Source: Refinitiv, FactSet, Morgan Stanley Research; 1 is the highest favored Quintile and 5 is the least favored Quintile

RISKS TO PT/RATING

RISKS TO UPSIDE

- Crude prices are higher than expected
- Material narrowing of WTI-WCS differentials

RISKS TO DOWNSIDE

- Commodities prices materially decline
- Exposed to higher volatility to crude prices relative to peers due to lack of downstream
- Capital cost inflation and execution risk, and geopolitical risks

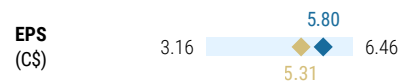
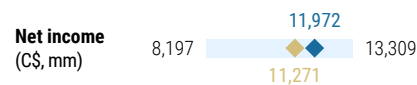
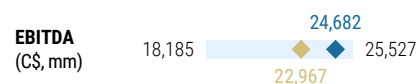
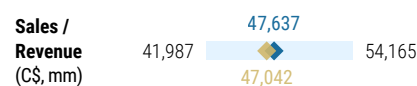
OWNERSHIP POSITIONING

Inst. Owners, % Active	76.6%	
HF Sector Long/Short Ratio	1.7x	
HF Sector Net Exposure	4.3%	

Refinitiv; MSPB Content. Includes certain hedge fund exposures held with MSPB. Information may be inconsistent with or may not reflect broader market trends. Long/Short Ratio = Long Exposure / Short exposure. Sector % of Total Net Exposure = (For a particular sector: Long Exposure - Short Exposure) / (Across all sectors: Long Exposure - Short Exposure).

MS ESTIMATES VS. CONSENSUS

FY Dec 2026e



◆ Mean ◆ Morgan Stanley Estimates

Source: Refinitiv, Morgan Stanley Research

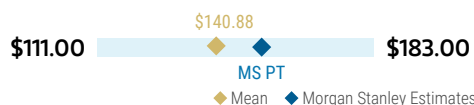
Risk Reward – ConocoPhillips (COP.N)

High quality, low cost portfolio underpins attractive FCF and return of cash

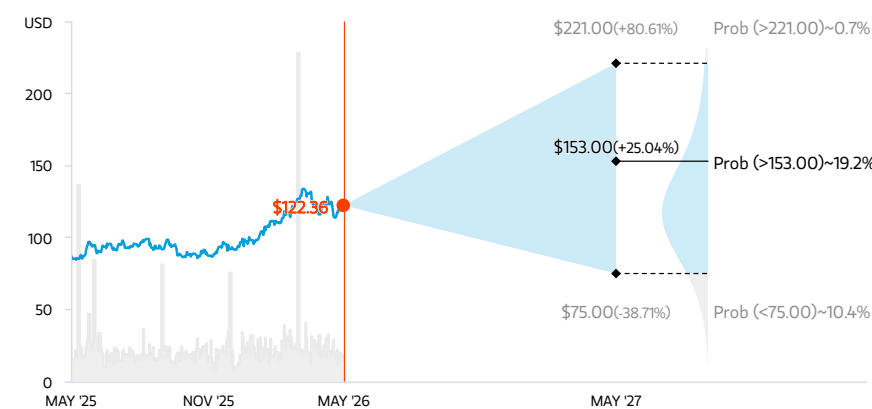
PRICE TARGET \$153.00

Base case of \$153/share, which is a 50/50 blend of 1) a target multiple of 6.0x 2027e EV/EBITDA (\$151/share) and 2) our NAV of \$155/share (with a WACC of 8.7%).

Consensus Price Target Distribution



RISK REWARD CHART AND OPTIONS IMPLIED PROBABILITIES (12M)

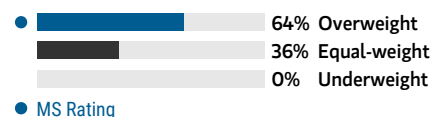


Source: Refinitiv, Morgan Stanley Research, Morgan Stanley Institutional Equities Division. The probabilities of our Bull, Base, and Bear case scenarios playing out were estimated with implied volatility data from the options market as of 20 May 2026. All figures are approximate risk-neutral probabilities of the stock reaching beyond the scenario price in either three-months' or one-years' time. View explanation of Options Probabilities methodology [here](#)

OVERWEIGHT THESIS

- **COP checks all the boxes for sustained outperformance:** excellent management, disciplined investment, and consistent return of cash coupled with a high quality, low cost portfolio that can deliver an attractive combination of FCF and shareholder returns.
- **Strong growth ahead.** Delivery of long term projects (Alaska, Qatar, and Port Arthur LNG) underpin an impressive FCF CAGR of 14% through the rest of the decade.
- **Resilient to lower commodity prices.** COP's strong cash balance provides financial flexibility and resiliency to lower prices while its unhedged exposure allows for upside participation.

Consensus Rating Distribution



Risk Reward Themes

Self-help: *Positive*

View descriptions of Risk Rewards Themes [here](#)

BULL CASE

\$221.00

7.3x 2027e EV/EBITDA of \$40 B

Bull Price deck: WTI \$90.00, Brent \$95.00, HH \$4.25. Bull case of \$221/share, which is a 50/50 blend of 1) a target multiple of 6.0x 2027e EV/EBITDA (\$216/share) and 2) our NAV of \$226/share.

BASE CASE

\$153.00

6.8x 2027e EV/EBITDA of \$31 B

Long-term (2027+) Base Price deck: WTI \$70.00, Brent \$75.00, HH \$3.75. Base case of \$153/share, which is a 50/50 blend of 1) a target multiple of 6.0x 2027e EV/EBITDA (\$151/share) and 2) our NAV of \$155/share (with a WACC of 8.7%).

BEAR CASE

\$75.00

5.5x 2027e EV/EBITDA of \$20 B

Bear Price deck: WTI \$50.00, Brent \$55.00, HH \$3.25. Bear case of \$75/share, which is a 50/50 blend of 1) a target multiple of 6.0x 2027e EV/EBITDA (\$86/share) and 2) our NAV of \$63/share.

Risk Reward – ConocoPhillips (COP.N)

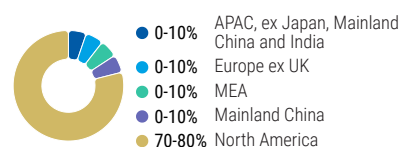
KEY EARNINGS INPUTS

Drivers	2025	2026e	2027e	2028e
Oil Production (Mbbbl/d)	1,279	1,223	1,264	1,282
Total Production (Mboe/d)	2,375	2,302	2,394	2,431
Realized Oil Price (\$)	65.73	90.08	71.61	71.26
Realized Gas Price (\$)	4.33	4.90	5.12	5.16
EBITDA Margin per Boe (\$)	29.34	42.36	34.73	35.13

INVESTMENT DRIVERS

- Commodity prices
- Capex
- Capital efficiency
- Return of cash
- Major capital project execution including Alaska and North America unconventional

GLOBAL REVENUE EXPOSURE



Source: Morgan Stanley Research Estimate
View explanation of regional hierarchies [here](#)

MS ALPHA MODELS

1/5 BEST	24 Month Horizon	2/5 MOST	3 Month Horizon
---------------------	-----------------------------	---------------------	----------------------------

Source: Refinitiv, FactSet, Morgan Stanley Research; 1 is the highest favored Quintile and 5 is the least favored Quintile

RISKS TO PT/RATING

RISKS TO UPSIDE

- Higher commodity prices
- Upside to Alaska resource discovery
- Better well performance in Lower 48

RISKS TO DOWNSIDE

- Lower commodity prices
- Cost inflation
- Alaska discovery has less potential resources than expected
- Federal acreage exposure in Alaska
- Worse than expected well results in the Eagle Ford, Permian, and Bakken

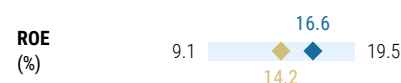
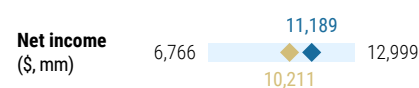
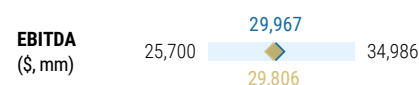
OWNERSHIP POSITIONING

Inst. Owners, % Active	54.4%	
HF Sector Long/Short Ratio	1.7x	
HF Sector Net Exposure	4.3%	

Refinitiv; MSPB Content. Includes certain hedge fund exposures held with MSPB. Information may be inconsistent with or may not reflect broader market trends. Long/Short Ratio = Long Exposure / Short exposure. Sector % of Total Net Exposure = (For a particular sector: Long Exposure - Short Exposure) / (Across all sectors: Long Exposure - Short Exposure).

MS ESTIMATES VS. CONSENSUS

FY Dec 2027e



◆ Mean ◆ Morgan Stanley Estimates
Source: Refinitiv, Morgan Stanley Research

Risk Reward – Cenovus Energy (CVE.TO)

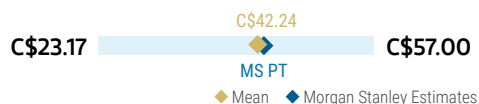
Integration upside & execution on debt paydown

PRICE TARGET C\$43.00

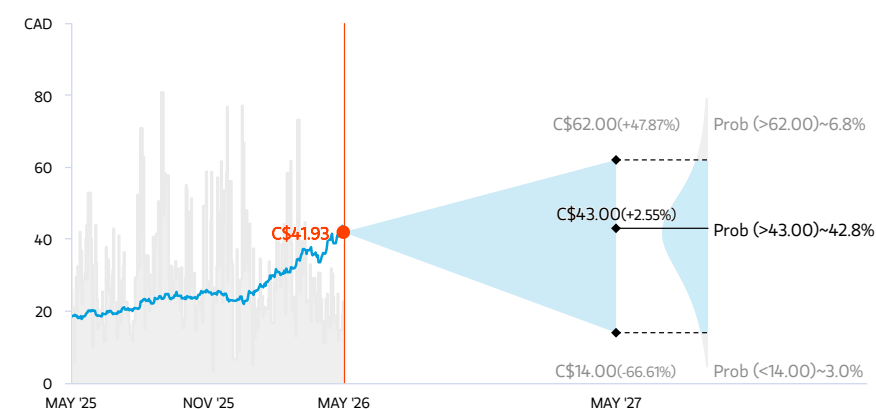
Base case of C\$43/share which is a 50/50 blend of 1) a target multiple of 6.5x 2027e EV/DACF (C\$42/share) and 2) our discounted cash flow value of C\$44/share (with a WACC of 9.3% and terminal EV/EBITDA multiple of 5.2x).

Consensus Price Target Distribution

Source: Refinitiv, Morgan Stanley Research



RISK REWARD CHART AND OPTIONS IMPLIED PROBABILITIES (12M)



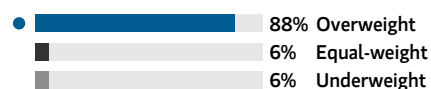
Key: — Historical Stock Performance ● Current Stock Price ◆ Price Target

Source: Refinitiv, Morgan Stanley Research, Morgan Stanley Institutional Equities Division. The probabilities of our Bull, Base, and Bear case scenarios playing out were estimated with implied volatility data from the options market as of 20 May 2026. All figures are approximate risk-neutral probabilities of the stock reaching beyond the scenario price in either three-months' or one-years' time. View explanation of Options Probabilities methodology [here](#)

OVERWEIGHT THESIS

- **Attractive valuation.** Stock underperformed Canadian peers by ~12% since the start of 2024, tied in part to weak refining performance. With a leading in-situ production portfolio, CVE screens cheap with an EV/DACF of 6.5x in '27, lower than their Canadian peer average of 8.8x.
- **FCF inflection.** Delivery and ramp-up of CVE's large slate of upstream projects drives 11% FCF yield in 2026 (vs 10% from peers), and 8% in 2027 (7% from peers).

Consensus Rating Distribution



MS Rating

Source: Refinitiv, Morgan Stanley Research

Risk Reward Themes

Self-help: *Positive*

View descriptions of Risk Rewards Themes [here](#)

BULL CASE

C\$62.00

7.7x 2027e DACF of C\$15.9 B

Bull case of C\$62/sh which is a 50/50 blend of 1) a target multiple of 6.0x 2027e EV/DACF (C\$57/share) and 2) our discounted cash flow value of C\$67/share (with a WACC of 9.3% and terminal EV/EBITDA multiple of 5.9x). Assumes long-term (2027+) prices of US\$95.00 Brent, US\$4.25 HH, refining cracks increase ~10%, carbon prices flat from 2022-2030.

BASE CASE

C\$43.00

7.4x 2027e DACF

Base case of C\$43/share which is a 50/50 blend of 1) a target multiple of 6.5x 2027e EV/DACF (C\$42/share) and 2) our discounted cash flow value of C\$44/share (with a WACC of 9.3% and terminal EV/EBITDA multiple of 5.2x). Assumes long-term (2027+) prices of US\$75.00 Brent, US\$3.75 HH, WTI-WCS of US\$15, carbon prices increase C\$15/tonne per year through 2030.

BEAR CASE

C\$14.00

5.1x 2027e DACF of C\$6.7 B

Bear case of C\$14/sh which is a 50/50 blend of 1) a target multiple of 6.0x 2027e EV/DACF (C\$17/share) and 2) our discounted cash flow value of C\$11/share (with a WACC of 9.3% and terminal EV/EBITDA multiple of 2.1x). Assumes long-term (2027+) prices of US\$55.00 Brent, US\$3.25 HH, refining cracks decline ~10%, carbon price increases by C\$30/tonne per year through 2030.

Risk Reward – Cenovus Energy (CVE.TO)

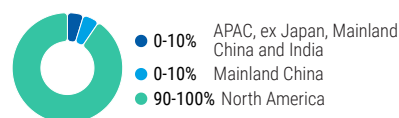
KEY EARNINGS INPUTS

Drivers	2025	2026e	2027e	2028e
Total Production (Mboe/d)	834	972	1,025	1,075
Downstream Throughput (Mbbl/d)	629	441	459	462
Total Capex (C\$MM) (C\$)	4,907	5,111	4,877	4,713

INVESTMENT DRIVERS

- Integration of Husky Energy

GLOBAL REVENUE EXPOSURE



Source: Morgan Stanley Research Estimate
View explanation of regional hierarchies [here](#)

MS ALPHA MODELS

5/5
MOST

3 Month
Horizon

Source: Refinitiv, FactSet, Morgan Stanley Research; 1 is the highest favored Quintile and 5 is the least favored Quintile

RISKS TO PT/RATING

RISKS TO UPSIDE

- Crude prices are higher than expected
- Execution on debt paydown allows for increased shareholder returns
- Potential for physical integration between Foster Creek and Christina Lake with Lloydminster
- Renewables expansion

RISKS TO DOWNSIDE

- Commodity prices decline materially
- Anticipated pipelines fail to come online, causing widening of WTI-WCS differential
- Downstream margin expansion fails to materialize

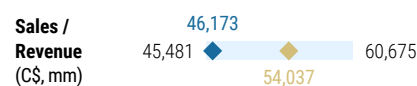
OWNERSHIP POSITIONING

Inst. Owners, % Active	77.2%	
HF Sector Long/Short Ratio	1.7x	
HF Sector Net Exposure	4.3%	

Refinitiv; MSPB Content. Includes certain hedge fund exposures held with MSPB. Information may be inconsistent with or may not reflect broader market trends. Long/Short Ratio = Long Exposure / Short exposure. Sector % of Total Net Exposure = (For a particular sector: Long Exposure - Short Exposure) / (Across all sectors: Long Exposure - Short Exposure).

MS ESTIMATES VS. CONSENSUS

FY Dec 2027e



Source: Refinitiv, Morgan Stanley Research

Risk Reward – Imperial Oil Ltd (IMO.TO)

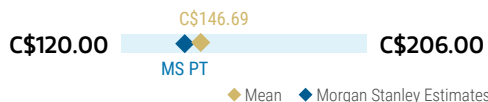
Competitive downstream but premium valuation priced in

PRICE TARGET C\$141.00

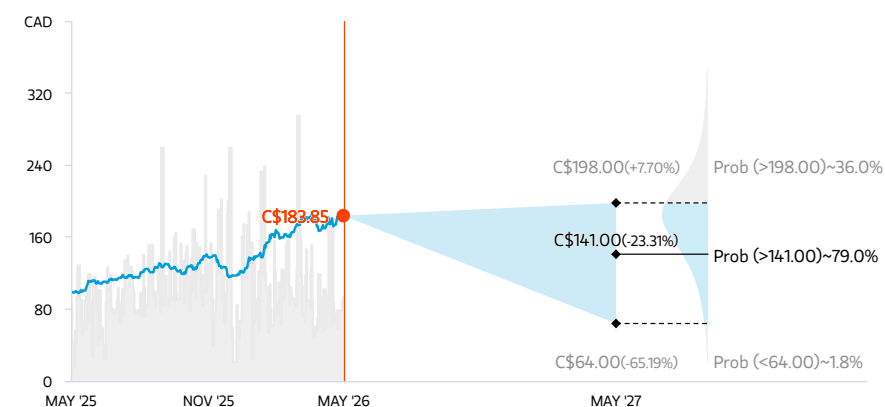
Base case of C\$141/share which is a 50/50 blend of 1) a target multiple of 9.0x 2027e EV/DACF (C\$150/share) and 2) our discounted cash flow value of C\$132/share (with a WACC of 8.5% and terminal EV/EBITDA multiple of 6.8x).

Consensus Price Target Distribution

Source: Refinitiv, Morgan Stanley Research



RISK REWARD CHART AND OPTIONS IMPLIED PROBABILITIES (12M)



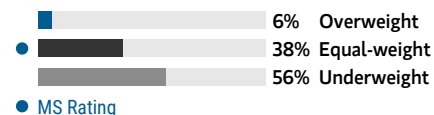
Key: — Historical Stock Performance ● Current Stock Price ◆ Price Target

Source: Refinitiv, Morgan Stanley Research, Morgan Stanley Institutional Equities Division. The probabilities of our Bull, Base, and Bear case scenarios playing out were estimated with implied volatility data from the options market as of 20 May 2026. All figures are approximate risk-neutral probabilities of the stock reaching beyond the scenario price in either three-months' or one-years' time. View explanation of Options Probabilities methodology [here](#)

EQUAL-WEIGHT THESIS

- A peer-leading balance sheet and strong downstream assets (3 refineries spanning eastern and western Canada) should allow the company to continue its strong cash flow generation. However, we note high capex in 2026-29 (~C\$1.9 B) limits FCF upside. Additionally, the stock trades at a premium vs Canadian peers, which we think fairly prices in the advantaged balance sheet and downstream assets on a relative basis.
- IMO is still in the early stages of its new energies investment, but we note the renewable diesel facility at Strathcona (20 Mbbbl/d capacity) provides leverage to the upside.
- IMO trades at a 2027 EV/DACF of 11.1X, well above the peer average of 7.3X.

Consensus Rating Distribution



Source: Refinitiv, Morgan Stanley Research

BULL CASE

C\$198.00

9.8x 2027e DACF of C\$10.2 B

Bull case of C\$198/sh which is a 50/50 blend of 1) a target multiple of 8.5x 2027e EV/DACF (C\$198/share) and 2) our discounted cash flow value of C\$197/share (with a WACC of 8.5% and terminal EV/EBITDA multiple of 7.3x). Assumes long-term (2027+) prices of US\$95 Brent, US\$4.25 HH, refining cracks increase ~10%, carbon prices flat from 2024-2030.

BASE CASE

C\$141.00

9.3x 2027e DACF

Base case of C\$141/share which is a 50/50 blend of 1) a target multiple of 9.0x 2027e EV/DACF (C\$150/share) and 2) our discounted cash flow value of C\$132/share (with a WACC of 8.5% and terminal EV/EBITDA multiple of 6.8x). Assumes long-term (2027+) prices of US\$75.00 Brent, US\$3.75 HH, WTI-WCS of US\$15, carbon prices increase C\$15/tonne per year through 2030.

BEAR CASE

C\$64.00

7.6x 2027e DACF of C\$4.5 B

Bear case of C\$64/sh which is a 50/50 blend of 1) a target multiple of 8.5x 2027e EV/DACF (C\$71/share) and 2) our discounted cash flow value of C\$57/share (with a WACC of 8.5% and terminal EV/EBITDA multiple of 5.0x). Assumes long-term (2027+) prices of US\$55 Brent, US\$3.25 HH, refining cracks decline ~10%, carbon price increases by C\$30/tonne per year through 2030.

Risk Reward – Imperial Oil Ltd (IMO.TO)

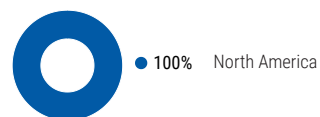
KEY EARNINGS INPUTS

Drivers	2025	2026e	2027e	2028e
Total Production (Mboe/d)	438	444	463	468
Downstream Throughput (Mbbl/d)	402	394	401	401
Total Capex (C\$MM) (C\$)	2,027	2,078	1,812	1,839

INVESTMENT DRIVERS

- Integrated model
- Strong balance sheet
- Commitment to cost reduction via reliability enhancements

GLOBAL REVENUE EXPOSURE



Source: Morgan Stanley Research Estimate
View explanation of regional hierarchies [here](#)

MS ALPHA MODELS

4/5
MOST

3 Month
Horizon

Source: Refinitiv, FactSet, Morgan Stanley Research; 1 is the highest favored Quintile and 5 is the least favored Quintile

RISKS TO PT/RATING

RISKS TO UPSIDE

- Crude prices are higher than expected
- Stronger than expected downstream margins
- NCIB acceleration and potential SIB

RISKS TO DOWNSIDE

- Commodity prices decline materially
- Material widening of WTI-WCS differentials
- Outspending capex guidance

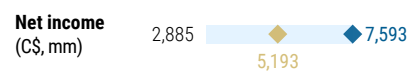
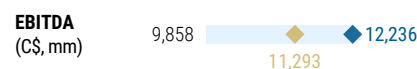
OWNERSHIP POSITIONING

Inst. Owners, % Active	78.4%	
HF Sector Long/Short Ratio	1.7x	
HF Sector Net Exposure	4.3%	

Refinitiv; MSPB Content. Includes certain hedge fund exposures held with MSPB. Information may be inconsistent with or may not reflect broader market trends. Long/Short Ratio = Long Exposure / Short exposure. Sector % of Total Net Exposure = (For a particular sector: Long Exposure - Short Exposure) / (Across all sectors: Long Exposure - Short Exposure).

MS ESTIMATES VS. CONSENSUS

FY Dec 2026e



◆ Mean ◆ Morgan Stanley Estimates

Source: Refinitiv, Morgan Stanley Research

Risk Reward – Chevron Corporation (CVX.N)

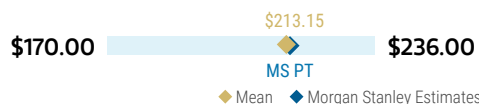
Strong acquisition in HES with attractive rate of change into 2026.

PRICE TARGET \$214.00

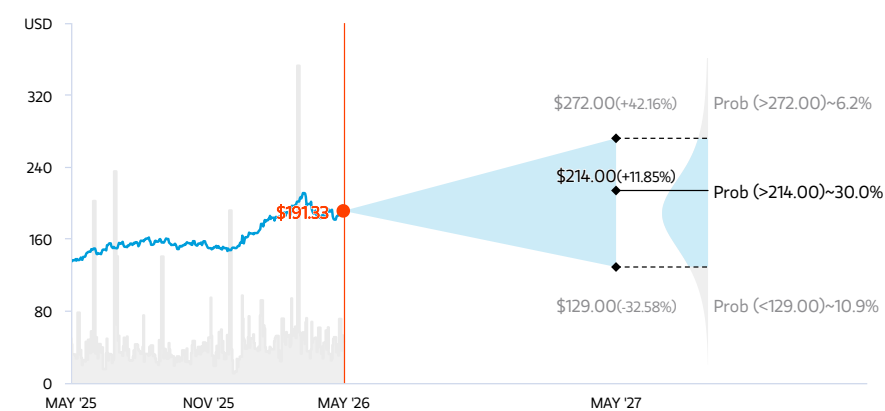
Base case of \$214/share which is a 50/50 blend of 1) a target multiple of 9.0x 2027e EV/DACF (\$225/share) and 2) our discounted cash flow value of \$203/share (with a WACC of 8.1% and terminal EV/EBITDA multiple of 6.2x).

Consensus Price Target Distribution

Source: Refinitiv, Morgan Stanley Research



RISK REWARD CHART AND OPTIONS IMPLIED PROBABILITIES (12M)



Key: — Historical Stock Performance ● Current Stock Price ◆ Price Target

Source: Refinitiv, Morgan Stanley Research, Morgan Stanley Institutional Equities Division. The probabilities of our Bull, Base, and Bear case scenarios playing out were estimated with implied volatility data from the options market as of 20 May 2026. All figures are approximate risk-neutral probabilities of the stock reaching beyond the scenario price in either three-months' or one-years' time. View explanation of Options Probabilities methodology [here](#)

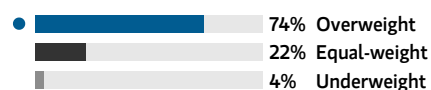
OVERWEIGHT THESIS

■ **HES strengthens outlook.** Through its acquisition of HES, CVX gains exposure to rising high margin volumes in Guyana, driving a 1.5% bump in the company's oil production CAGR for the remainder of the decade.

■ **Strong rate of change into 2026.** By 2026, CVX expects \$12.5 B of FCF uplift from TCO, GoA, Permian, cost cutting initiatives, and HES. This leads to a FCF yield of 11% in '26 (at \$88 WTI).

■ **Durable FCF growth.** With its '25 Investor Day, CVX highlighted a >10% FCF CAGR through 2030 underpinned by a low-risk, high-confidence set of investment opportunities.

Consensus Rating Distribution



● MS Rating

Source: Refinitiv, Morgan Stanley Research

Risk Reward Themes

Self-help: *Positive*

View descriptions of Risk Rewards Themes [here](#)

BULL CASE

\$272.00

9.5x 2027e EV/DACF of \$60.5 B

Bull case of \$272 is based on a 50/50 blend of 1) a target multiple of 8.5x 2026e EV/DACF (\$276/share) and 2) our discounted cash flow value of \$269/share. Scenario assumes \$90.00 WTI, \$95 Brent, \$4.25 Henry Hub, and refining margins increase ~10%.

BASE CASE

\$214.00

9.3x 2027e EV/DACF.

Base case of \$214/sh which is a 50/50 blend of 1) a target multiple of 9.0x 2027e EV/DACF (\$225/share) and 2) our discounted cash flow value of \$203/share (with a WACC of 8.1% and terminal EV/EBITDA multiple of 6.2x). Scenario assumes long-term (2027+) \$70.00 WTI, \$70 Brent, \$3.75 Henry Hub.

BEAR CASE

\$129.00

8.1x 2027e EV/DACF of \$35.6 B

Bear case of \$129 is based on a 50/50 blend of 1) a target multiple of 8.5x 2027e EV/DACF (\$135/share) and 2) our discounted cash flow value of \$123/share. Scenario assumes \$50.00 WTI, \$55 Brent, \$3.25 Henry Hub, and refining margins decline ~10%.

Risk Reward – Chevron Corporation (CVX.N)

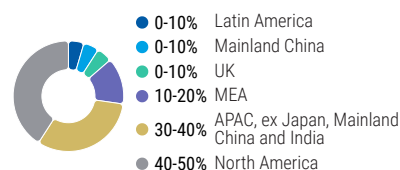
KEY EARNINGS INPUTS

Drivers	2025	2026e	2027e	2028e
Oil Production (Mbbbl/d)	1,827	2,004	2,093	2,094
Total Production (Mboe/d)	3,722	3,999	4,103	4,096
Realized Oil Price (\$)	62.68	86.23	67.16	66.87
Realized Gas Price (\$)	5.22	6.28	5.68	5.67
EBITDA Margin per Boe (\$)	30.48	47.96	36.75	37.53

INVESTMENT DRIVERS

- Return of cash
- Capex
- Capital efficiency
- Commodity prices including oil & gas, LNG, crack spreads, and chemicals margins
- Major capital projects including Tengiz and unconventional in the Permian, Canada, and Argentina

GLOBAL REVENUE EXPOSURE



Source: Morgan Stanley Research Estimate
View explanation of regional hierarchies [here](#)

MS ALPHA MODELS

1/5 BEST	24 Month Horizon	5/5 MOST	3 Month Horizon
---------------------	-----------------------------	---------------------	----------------------------

Source: Refinitiv, FactSet, Morgan Stanley Research; 1 is the highest favored Quintile and 5 is the least favored Quintile

RISKS TO PT/RATING

RISKS TO UPSIDE

- Higher commodity prices, including liquefied natural gas (LNG)
- Outperformance of Guyana development
- Addressing long term growth questions through M&A or exploration program
- Permian well performance improvements

RISKS TO DOWNSIDE

- Lower commodity prices
- TCO concession agreement is not renewed early next decade
- Long-term upstream growth lags peers
- Geopolitical risk

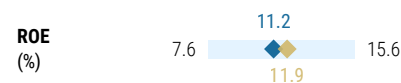
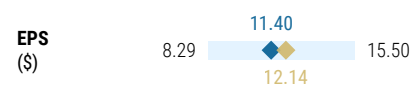
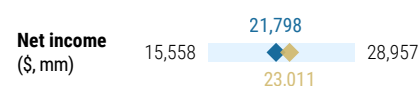
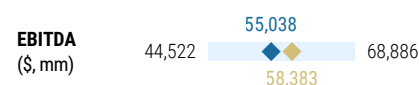
OWNERSHIP POSITIONING

Inst. Owners, % Active	45.3%				
HF Sector Long/Short Ratio	1.7x				
HF Sector Net Exposure	4.3%				

Refinitiv; MSPB Content. Includes certain hedge fund exposures held with MSPB. Information may be inconsistent with or may not reflect broader market trends. Long/Short Ratio = Long Exposure / Short exposure. Sector % of Total Net Exposure = (For a particular sector: Long Exposure - Short Exposure) / (Across all sectors: Long Exposure - Short Exposure).

MS ESTIMATES VS. CONSENSUS

FY Dec 2027e



◆ Mean ◆ Morgan Stanley Estimates

Source: Refinitiv, Morgan Stanley Research

Risk Reward – Suncor Energy Inc (SU.TO)

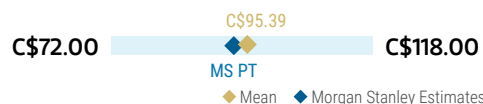
Solid FCF unlock and asset integration at fair valuation.

PRICE TARGET C\$93.00

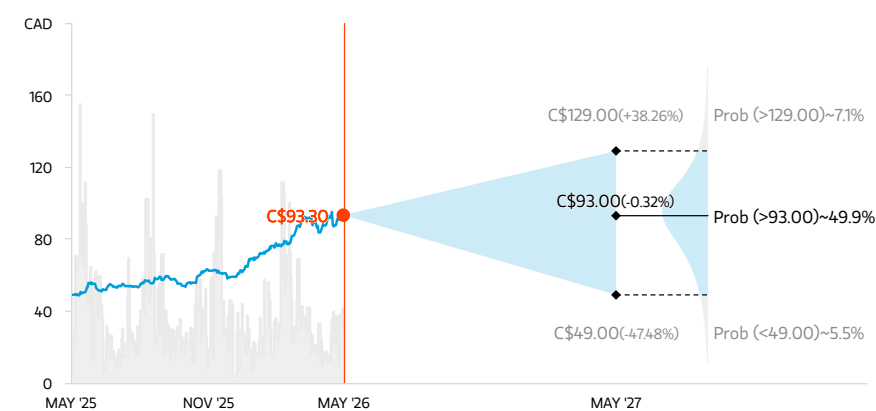
Base case of C\$93/share which is a 50/50 blend of 1) a target multiple of 7.5x 2027e EV/DACF (C\$96/share) and 2) our discounted cash flow value of C\$89/share (with a WACC of 8.8% and terminal EV/EBITDA multiple of 5.3x).

Consensus Price Target Distribution

Source: Refinitiv, Morgan Stanley Research



RISK REWARD CHART AND OPTIONS IMPLIED PROBABILITIES (12M)



Source: Refinitiv, Morgan Stanley Research, Morgan Stanley Institutional Equities Division. The probabilities of our Bull, Base, and Bear case scenarios playing out were estimated with implied volatility data from the options market as of 20 May 2026. All figures are approximate risk-neutral probabilities of the stock reaching beyond the scenario price in either three-months' or one-years' time. View explanation of Options Probabilities methodology [here](#)

BULL CASE

C\$129.00

8.9x 2027e DACF of C\$18.4 B

Bull case of C\$129/sh which is a 50/50 blend of 1) a target multiple of 7.5x 2027e EV/DACF (C\$135/share) and 2) our discounted cash flow value of C\$122/share (with a WACC of 8.8% and terminal EV/EBITDA multiple of 6.0x). Assumes long-term (2027+) prices of US\$95.0 Brent, US\$4.25 HH, refining cracks increase ~10%, carbon prices flat from 2022-2030.

BASE CASE

C\$93.00

8.3x 2027e DACF.

Base case of C\$93/share which is a 50/50 blend of 1) a target multiple of 7.5x 2027e EV/DACF (C\$196/share) and 2) our discounted cash flow value of C\$89/share (with a WACC of 8.8% and terminal EV/EBITDA multiple of 5.4x). Assumes long-term (2027+) prices of US\$75.00 Brent, US\$3.75 HH, WTI-WCS of US\$15, carbon prices increase C\$15/tonne per year through 2030.

BEAR CASE

C\$49.00

7.2x 2027e DACF of C\$9.6 B

Bear case of C\$49/sh which is a 50/50 blend of 1) a target multiple of 7.5x 2027e EV/DACF (C\$60/share) and 2) our discounted cash flow value of C\$37/share (with a WACC of 8.8% and terminal EV/EBITDA multiple of 3.6x). Assumes long-term (2027+) prices of US\$55.00 Brent, US\$3.25 HH, refining cracks decline ~10%, carbon price increases by C\$30/tonne per year through 2030.

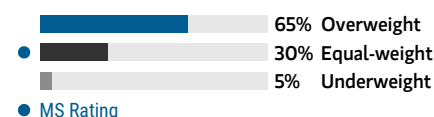
EQUAL-WEIGHT THESIS

■ **Valuation.** Since the start of 2024, SU has outperformed Canadian peers ~25% on the back of a series of strong quarterly results, and higher shareholder returns. We now estimate '27 FCF yield of ~7%, in-line with the peer average.

■ **More growth and visibility.** The '26 investor day outlined C\$2 B of FFF growth (at \$65 WTI) through 2028 and a \$5 dollar reduction in WTI breakeven. SU also provided visibility to long term bitumen supply options into next decade.

■ **Shareholder returns.** SU trades at a 7% 2027E total shareholder return yield, higher than the peer average of 6%.

Consensus Rating Distribution



Source: Refinitiv, Morgan Stanley Research

Risk Reward Themes

Self-help: *Positive*

View descriptions of Risk Rewards Themes [here](#)

Risk Reward – Suncor Energy Inc (SU.TO)

KEY EARNINGS INPUTS

Drivers	2025	2026e	2027e	2028e
Total Production (Mboe/d)	860	864	912	965
Downstream Throughput (Mbbl/d)	480	475	478	478
Total Capex (C\$MM) (C\$)	5,658	5,692	5,645	5,679

INVESTMENT DRIVERS

- Integrated model
- Well-developed cash return and capital allocation strategy
- Peer-leading renewables expansion plan; allocating ~10% of annual budget on investments advancing low-carbon energy offerings

GLOBAL REVENUE EXPOSURE



Source: Morgan Stanley Research Estimate
View explanation of regional hierarchies [here](#)

MS ALPHA MODELS

3/5
MOST
3 Month
Horizon

Source: Refinitiv, FactSet, Morgan Stanley Research; 1 is the highest favored Quintile and 5 is the least favored Quintile

RISKS TO PT/RATING

RISKS TO UPSIDE

- Crude prices are higher than expected
- Increasing cash returns
- Further expansion into renewables
- Accelerated achievement of breakeven reduction

RISKS TO DOWNSIDE

- Commodity prices decline materially
- Downstream margins narrow
- Capital cost inflation, execution risk on renewables projects, and geopolitical risks

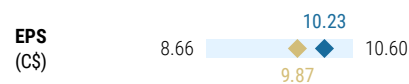
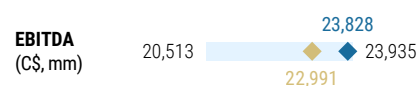
OWNERSHIP POSITIONING

Inst. Owners, % Active	65.5%	
HF Sector Long/Short Ratio	1.7x	
HF Sector Net Exposure	4.3%	

Refinitiv; MSPB Content. Includes certain hedge fund exposures held with MSPB. Information may be inconsistent with or may not reflect broader market trends. Long/Short Ratio = Long Exposure / Short exposure. Sector % of Total Net Exposure = (For a particular sector: Long Exposure - Short Exposure) / (Across all sectors: Long Exposure - Short Exposure).

MS ESTIMATES VS. CONSENSUS

FY Dec 2026e



Source: Refinitiv, Morgan Stanley Research

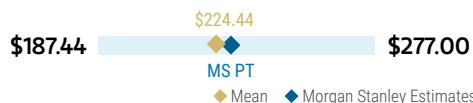
Risk Reward – Diamondback Energy Inc (FANG.O)

Low cost of supply supporting high FCF yield and deleveraging

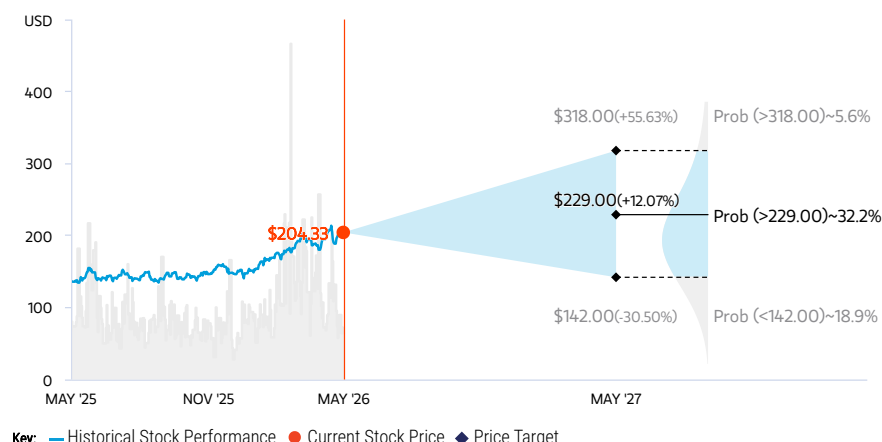
PRICE TARGET \$229.00

Base case of \$229/share, which is a 50/50 blend of 1) a target multiple of 6.0x consolidated 2027e EV/EBITDA (\$229/share) and 2) our NAV of \$230/share.

Consensus Price Target Distribution



RISK REWARD CHART AND OPTIONS IMPLIED PROBABILITIES (12M)

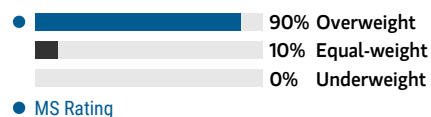


Source: Refinitiv, Morgan Stanley Research, Morgan Stanley Institutional Equities Division. The probabilities of our Bull, Base, and Bear case scenarios playing out were estimated with implied volatility data from the options market as of 20 May 2026. All figures are approximate risk-neutral probabilities of the stock reaching beyond the scenario price in either three-months' or one-years' time. View explanation of Options Probabilities methodology [here](#)

OVERWEIGHT THESIS

- **Low cost of supply relative to peers.** FANG's 2026 FCF breakeven price of ~\$39 (post-base dividend), one of the lowest in our coverage, fortifying FANG as one of the lowest-cost producers in the Permian.
- **Strong FCF generation through the cycle.** We estimate FANG's FCF yield of ~13% in '26 at ~\$88 WTI, above peers' median, driven by strong capital efficiency gains, Endeavor synergies trending ahead of plan, and FCF accretion from the Double Eagle acquisition.
- **Focus on lower leverage and strong shareholder returns.** While FANG's consolidated net debt is expected to increase post the Double Eagle deal and VNOM/Sitio merger, we expect net debt to fall <\$10 B by YE26 at prices near strip.

Consensus Rating Distribution



BULL CASE

\$318.00

6.8x 2027 EV/EBITDA

Long-term (2027+) Bull Price deck: WTI \$90, HH \$4.25. Bull case of \$318/share, which is a 50/50 blend of 1) a target multiple of 6.0x consolidated 2027e EV/EBITDA (\$331/share) and 2) our NAV of \$305/share. This blended \$318/share bull case equates to 6.8x 2027 EV/EBITDAX.

BASE CASE

\$229.00

7.2x 2027 EV/EBITDA

Long-term (2027+) Base Price deck: WTI \$70, HH \$3.75. Base case of \$229/share, which is a 50/50 blend of 1) a target multiple of 6.0x consolidated 2027e EV/EBITDA (\$229/share) and 2) our NAV of \$230/share. This blended \$229/share base case equates to 7.2x 2027 EV/EBITDAX.

BEAR CASE

\$142.00

8.3x 2027 EV/EBITDA

Long-term (2027+) Bear Price deck: WTI \$50, HH \$3.25. Bear case of \$142/share, which is a 50/50 blend of 1) a target multiple of 6.0x consolidated 2027e EV/EBITDA (\$129/share) and 2) our NAV of \$155/share. This blended \$142/share bear case equates to 8.3x 2027 EV/EBITDAX.

Risk Reward – Diamondback Energy Inc (FANG.O)

KEY EARNINGS INPUTS

Drivers	2025	2026e	2027e	2028e
Oil Production (MBbl/d)	497	525	535	541
Total Production (MBoe/d)	921	980	990	1,000
Realized Oil Price (\$/Bbl)	63.14	89.51	69.33	68.54
Realized Gas Price (\$/Mcf)	1.84	0.02	2.31	2.24
EBITDAX Margin (\$/Boe)	30.56	40.78	33.09	32.70

INVESTMENT DRIVERS

- Cost efficiencies in drilling & completing wells
- Increasing return of cash to shareholders
- Capital discipline in higher oil price scenarios

GLOBAL REVENUE EXPOSURE



100% North America

Source: Morgan Stanley Research Estimate
View explanation of regional hierarchies [here](#)

MS ALPHA MODELS

1/5 BEST	24 Month Horizon	1/5 MOST	3 Month Horizon
---------------------	-----------------------------	---------------------	----------------------------

Source: Refinitiv, FactSet, Morgan Stanley Research; 1 is the highest favored Quintile and 5 is the least favored Quintile

RISKS TO PT/RATING

RISKS TO UPSIDE

- Reduction of operating and development costs
- Improvements to well productivity

RISKS TO DOWNSIDE

- Increased leverage
- Poor execution

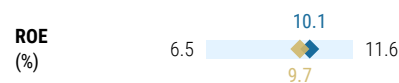
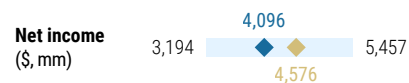
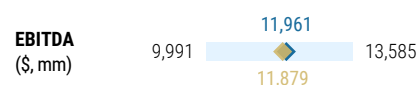
OWNERSHIP POSITIONING

Inst. Owners, % Active	49.9%	
HF Sector Long/Short Ratio	1.7x	
HF Sector Net Exposure	4.3%	

Refinitiv; MSPB Content. Includes certain hedge fund exposures held with MSPB. Information may be inconsistent with or may not reflect broader market trends. Long/Short Ratio = Long Exposure / Short exposure. Sector % of Total Net Exposure = (For a particular sector: Long Exposure - Short Exposure) / (Across all sectors: Long Exposure - Short Exposure).

MS ESTIMATES VS. CONSENSUS

FY Dec 2027e



◆ Mean ◆ Morgan Stanley Estimates

Source: Refinitiv, Morgan Stanley Research

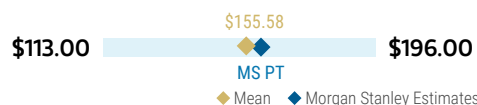
Risk Reward – EOG Resources Inc (EOG.N)

Capital efficiency supports resilient through-the-cycle free cash flow

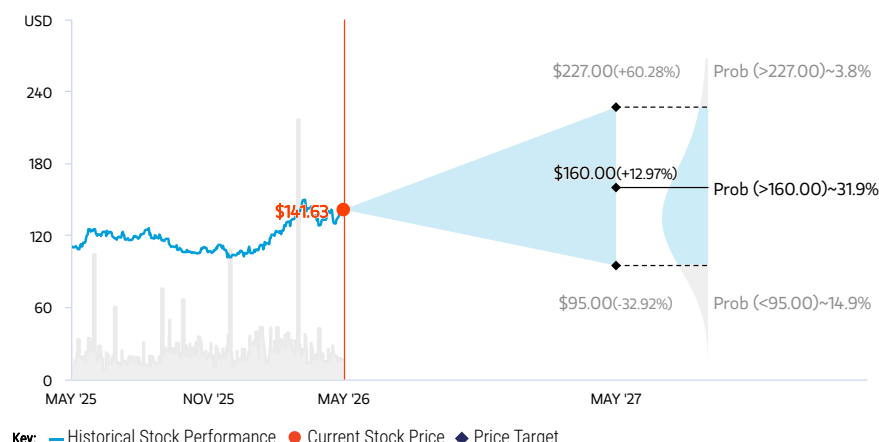
PRICE TARGET \$160.00

Base case of \$160/share, which is a 50/50 blend of 1) a target multiple of 6.0x 2027e EV/EBITDA (\$169/sh) and 2) our NAV of \$150/sh.

Consensus Price Target Distribution



RISK REWARD CHART AND OPTIONS IMPLIED PROBABILITIES (12M)

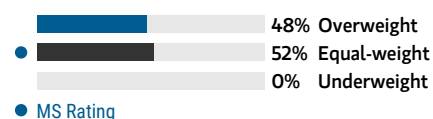


Source: Refinitiv, Morgan Stanley Research, Morgan Stanley Institutional Equities Division. The probabilities of our Bull, Base, and Bear case scenarios playing out were estimated with implied volatility data from the options market as of 20 May 2026. All figures are approximate risk-neutral probabilities of the stock reaching beyond the scenario price in either three-months' or one-years' time. View explanation of Options Probabilities methodology [here](#)

EQUAL-WEIGHT THESIS

- We believe **more execution and data is still needed to prove that the Utica** can stand alongside other "foundational" plays like the Eagle Ford & Delaware.
- In the current uncertain market backdrop, we expect the company to **remain a defensive staple within the sector** due to its scale, strong balance sheet, and higher gas exposure relative to large cap peers.

Consensus Rating Distribution



BULL CASE

\$227.00

6.2 2027e EV/EBITDA

Long-term (2027+) Bull Price Deck: WTI: **\$90**, HH **\$4.25**. Bull case of \$227/sh, which is a 50/50 blend of 1) a target multiple of 6.0x 2027e EV/EBITDA (\$232/sh) and 2) our NAV of \$222/sh. This blended \$227/sh bull case equates to 6.2x 2027e EV/EBITDA.

BASE CASE

\$160.00

5.9x 2027e EV/EBITDA

Long-term (2027+) Base Price Deck: WTI: **\$70**, HH **\$3.75**. Base case of \$160/sh, which is a 50/50 blend of 1) a target multiple of 6.0x 2027e EV/EBITDA (\$169/sh) and 2) our NAV of \$150/sh. This blended \$160/sh base case equates to 5.9x 2027e EV/EBITDA.

BEAR CASE

\$95.00

5.4x 2027e EV/EBITDA

Long-term (2027+) Bear Price Deck: WTI: **\$50**, HH **\$3.25**. Bear case of \$95/sh, which is a 50/50 blend of 1) a target multiple of 6.0x 2027e EV/EBITDA (\$109/sh) and 2) our NAV of \$81/sh. This blended \$95/sh bear case equates to 5.4x 2027e EV/EBITDA.

Risk Reward – EOG Resources Inc (EOG.N)

KEY EARNINGS INPUTS

Drivers	2025	2026e	2027e	2028e
Oil Production (MBbl/d)	522	549	553	561
Total Production (MBoe/d)	1,232	1,399	1,445	1,491
Realized Oil Price (\$/Bbl)	65.62	92.13	72.66	71.36
Realized Gas Price (\$/Mcf)	3.02	3.46	3.71	3.33
EBITDAX Margin (\$/Boe)	26.67	36.61	28.25	26.70

INVESTMENT DRIVERS

- Commodity prices
- Pace of additions to premium inventory count
- "Premium" drilling program with wells generating >30% returns at \$40 WTI

GLOBAL REVENUE EXPOSURE



- 0-10% Latin America
- 90-100% North America

Source: Morgan Stanley Research Estimate
View explanation of regional hierarchies [here](#)

MS ALPHA MODELS

3/5 BEST	24 Month Horizon	2/5 MOST	3 Month Horizon
---------------------	-----------------------------	---------------------	----------------------------

Source: Refinitiv, FactSet, Morgan Stanley Research; 1 is the highest favored Quintile and 5 is the least favored Quintile

RISKS TO PT/RATING

RISKS TO UPSIDE

- Faster than anticipated reductions in well costs
- Announcement of new premium play
- Announcement of accelerated dividend growth or stock repurchase program

RISKS TO DOWNSIDE

- Fewer than expected additions to premium inventory
- Premium locations do not perform as expected
- Restrictions to operating on Federal acreage

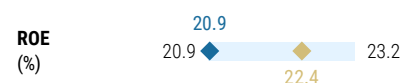
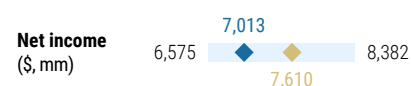
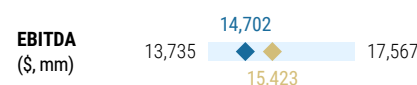
OWNERSHIP POSITIONING

Inst. Owners, % Active	54.9%	
HF Sector Long/Short Ratio	1.7x	
HF Sector Net Exposure	4.3%	

Refinitiv; MSPB Content. Includes certain hedge fund exposures held with MSPB. Information may be inconsistent with or may not reflect broader market trends. Long/Short Ratio = Long Exposure / Short exposure. Sector % of Total Net Exposure = (For a particular sector: Long Exposure - Short Exposure) / (Across all sectors: Long Exposure - Short Exposure).

MS ESTIMATES VS. CONSENSUS

FY Dec 2027e



◆ Mean ◆ Morgan Stanley Estimates
Source: Refinitiv, Morgan Stanley Research

Risk Reward – Viper Energy Inc (VNOM.O)

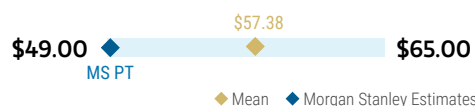
Strong oil production growth with no drilling and completion capex risk.

PRICE TARGET \$49.00

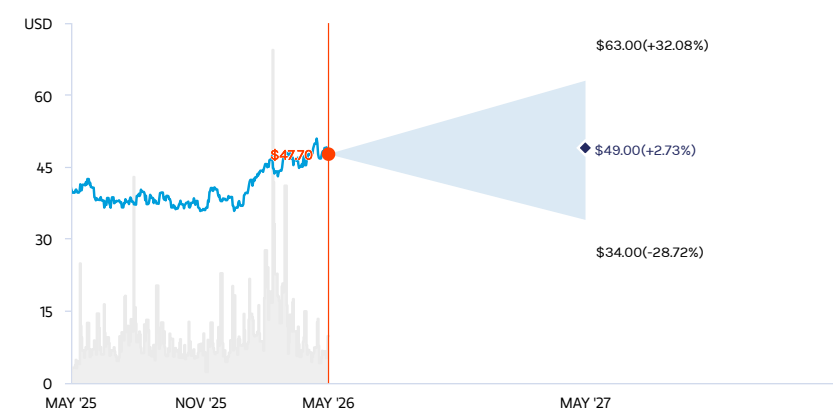
Base case of \$49/share which is a 50/50 blend of 1) a target multiple of 9.5x 2027e EV/EBITDA (\$47/share) and 2) our discounted cash flow value of \$51/share (with a WACC of 8.0% and terminal EV/EBITDA multiple of 5.6x).

Consensus Price Target Distribution

Source: Refinitiv, Morgan Stanley Research



RISK REWARD CHART



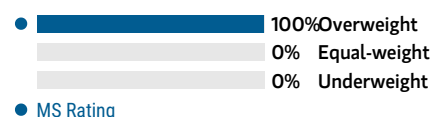
Key: — Historical Stock Performance ● Current Stock Price ◆ Price Target

Source: Refinitiv, Morgan Stanley Research

OVERWEIGHT THESIS

- We estimate **VNOM to trade in-line with oil E&Ps** on 2027 FCF yield (10% for VNOM vs 11% for oil E&Ps) and shareholder returns (12% yield for VNOM vs 6% for oil E&Ps).
- **Above average multi-year growth outlook at no D&C capex risk.** VNOM offers a superior oil production growth relative to oil E&Ps at zero drilling and completion (D&C) capital requirement. We estimate the pro-forma CAGR for oil per debt adjusted share of 11% in 2025-28 for VNOM vs 8% for oil E&Ps.
- **Superior EBITDA margins.** Viper generated one of the highest 2026 EBITDA margins among mineral peers due to its lower cost structure and oil-weighted production mix.

Consensus Rating Distribution



Source: Refinitiv, Morgan Stanley Research

BULL CASE

\$63.00

4.9x 2027e EV/EBITDA

Bull case of \$63 is based on a 50/50 blend of 1) a target multiple of 9.5x 2027e EV/EBITDA (\$62/share) and 2) our discounted cash flow value of \$64/share. Scenario assumes \$90.00 WTI, \$4.25 Henry Hub.

BASE CASE

\$49.00

5.1x 2027e EV/EBITDA

Base case of \$49/share which is a 50/50 blend of 1) a target multiple of 9.5x 2027e EV/EBITDA (\$47/share) and 2) our discounted cash flow value of \$51/share. Scenario assumes long-term (2027+) \$70.00 WTI, \$3.75 Henry Hub.

BEAR CASE

\$34.00

5.3x 2027e EV/EBITDA

Bear case of \$34 is based on a 50/50 blend of 1) a target multiple of 9.5x 2027e EV/EBITDA (\$32/share) and 2) our discounted cash flow value of \$37/share. Scenario assumes \$50.00 WTI, \$3.25 Henry Hub.

Risk Reward – Viper Energy Inc (VNOM.O)

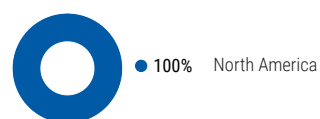
KEY EARNINGS INPUTS

Drivers	2025	2026e	2027e	2028e
Total Production (Mboe/d) (mm)	95.1	129.8	135.2	143.1
Gas Production (MMcf/d) (mm)	142	192	194	205
Realized Oil Price (\$)	63.27	88.00	69.50	69.50
Realized Gas Price (\$)	1.92	0.39	2.07	2.24
EBITDAX Margin per Boe (\$)	36.29	46.58	39.70	40.08

INVESTMENT DRIVERS

- Commodity prices
- Production growth
- Return of capital
- Deleveraging

GLOBAL REVENUE EXPOSURE



Source: Morgan Stanley Research Estimate
View explanation of regional hierarchies [here](#)

MS ALPHA MODELS

2/5 BEST	24 Month Horizon	2/5 MOST	3 Month Horizon
---------------------	-----------------------------	---------------------	----------------------------

Source: Refinitiv, FactSet, Morgan Stanley Research; 1 is the highest favored Quintile and 5 is the least favored Quintile

RISKS TO PT/RATING

RISKS TO UPSIDE

- Higher commodity prices
- Increased operator drilling leading to higher production volumes
- Heightened M&A activity accretive to key financial metrics

RISKS TO DOWNSIDE

- Lower commodity prices
- Production and M&A activity slows
- Production shifts by operational partners

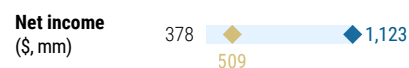
OWNERSHIP POSITIONING

Inst. Owners, % Active	67.8%	
HF Sector Long/Short Ratio	1.7x	
HF Sector Net Exposure	4.3%	

Refinitiv; MSPB Content. Includes certain hedge fund exposures held with MSPB. Information may be inconsistent with or may not reflect broader market trends. Long/Short Ratio = Long Exposure / Short exposure. Sector % of Total Net Exposure = (For a particular sector: Long Exposure - Short Exposure) / (Across all sectors: Long Exposure - Short Exposure).

MS ESTIMATES VS. CONSENSUS

FY Dec 2026e



◆ Mean ◆ Morgan Stanley Estimates
Source: Refinitiv, Morgan Stanley Research

Risk Reward – APA Corp (APA.O)

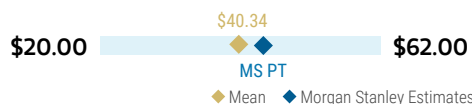
Reflects discovered Suriname value, but more exploration is needed.

PRICE TARGET \$44.00

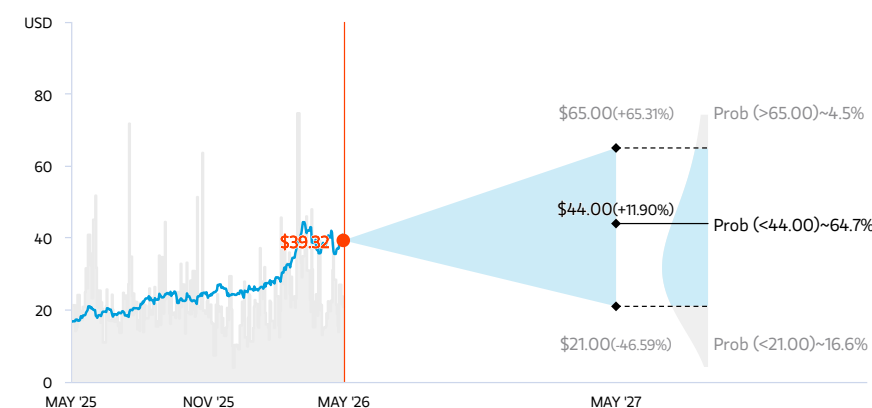
Base case of \$44 is based on a target multiple of 3.0x EV/EBITDAX (\$38) and NAV of \$50.

Consensus Price Target Distribution

Source: Refinitiv, Morgan Stanley Research



RISK REWARD CHART AND OPTIONS IMPLIED PROBABILITIES (12M)



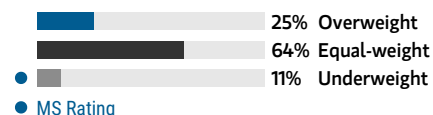
Key: — Historical Stock Performance ● Current Stock Price ◆ Price Target

Source: Refinitiv, Morgan Stanley Research, Morgan Stanley Institutional Equities Division. The probabilities of our Bull, Base, and Bear case scenarios playing out were estimated with implied volatility data from the options market as of 20 May 2026. All figures are approximate risk-neutral probabilities of the stock reaching beyond the scenario price in either three-months' or one-years' time. View explanation of Options Probabilities methodology [here](#)

UNDERWEIGHT THESIS

- **Further upside hinges upon successful de-risking of future Suriname developments.** While Suriname reached its first FID, we believe more extensive exploration and appraisal work is required to de-risk future potential phases.
- **Challenges in operational assets.** APA plans to cease operations in the North Sea (due to unfavorable regulatory regime & high taxes) well ahead of the original timeline. In addition, we continue to see a challenged long-term outlook for gas-rich Alpine High.
- **Targeting \$450 MM in annual cost savings by YE26** in capital, LOE, and overhead. While this is a positive development, investors need to see clear progress toward these goals before giving credit to stronger FCF

Consensus Rating Distribution



Source: Refinitiv, Morgan Stanley Research

BULL CASE \$65.00

3.5x 2027e EV/EBITDAX of \$7.0 B

Long term (2028+) bull case price deck: WTI \$90, HH \$4.25. Price target is 50/50 2027e E&P target multiple of 2.5x EV/EBITDAX (\$54) and NAV of \$75.

BASE CASE \$44.00

3.5x 2027e E&P EV/EBITDAX of \$4.9 B

Long-term (2028+) base case price deck: WTI \$70, HH \$3.75. Price target is 50/50 2027e E&P target multiple of 3.0x EV/EBITDAX (\$38) and NAV of \$50.

BEAR CASE

\$21.00

3x 2027e EV/EBITDAX of \$3.6 B

Long term (2028+) bear case price deck: WTI \$50, HH \$3.25. Price target is 50/50 2027e E&P target multiple of 2.5x EV/EBITDAX (\$17) and NAV of \$26.

Risk Reward – APA Corp (APA.O)

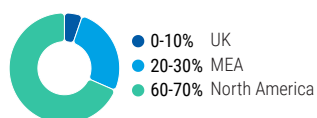
KEY EARNINGS INPUTS

Drivers	2025	2026e	2027e	2028e
Oil Production (Mbbl/d)	237	219	209	219
Total Production (Mboe/d)	464	430	432	448
Realized Oil Price (\$)	66.89	90.19	72.03	68.50
Realized Gas Price (\$)	2.35	1.64	3.54	3.53
EBITDA Margin per Boe (\$)	30.30	44.16	31.20	28.95

INVESTMENT DRIVERS

- Commodity prices.
- Suriname exploration well results.
- Capital efficiency.

GLOBAL REVENUE EXPOSURE



Source: Morgan Stanley Research Estimate
View explanation of regional hierarchies [here](#)

MS ALPHA MODELS

2/5 BEST	24 Month Horizon	1/5 MOST	3 Month Horizon
---------------------	---------------------	---------------------	--------------------

Source: Refinitiv, FactSet, Morgan Stanley Research; 1 is the highest favored Quintile and 5 is the least favored Quintile

RISKS TO PT/RATING

RISKS TO UPSIDE

- Higher commodity prices.
- De-risking of offshore Suriname resource through successful exploration.
- Service cost deflation.

RISKS TO DOWNSIDE

- Lower commodity prices.
- Suriname exploration well results: dry holes or low value gas resource.
- Service cost inflation.

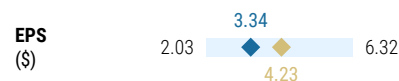
OWNERSHIP POSITIONING

Inst. Owners, % Active	45.4%	
HF Sector Long/Short Ratio	1.7x	
HF Sector Net Exposure	4.3%	

Refinitiv; MSPB Content. Includes certain hedge fund exposures held with MSPB. Information may be inconsistent with or may not reflect broader market trends. Long/Short Ratio = Long Exposure / Short exposure. Sector % of Total Net Exposure = (For a particular sector: Long Exposure - Short Exposure) / (Across all sectors: Long Exposure - Short Exposure).

MS ESTIMATES VS. CONSENSUS

FY Dec 2027e



◆ Mean ◆ Morgan Stanley Estimates
Source: Refinitiv, Morgan Stanley Research

Risk Reward – Matador Resources Co (MTDR.N)

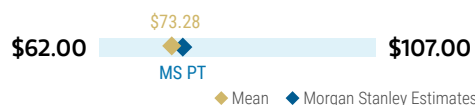
Focused Delaware growth supports strong FCF with modest shareholder returns

PRICE TARGET \$75.00

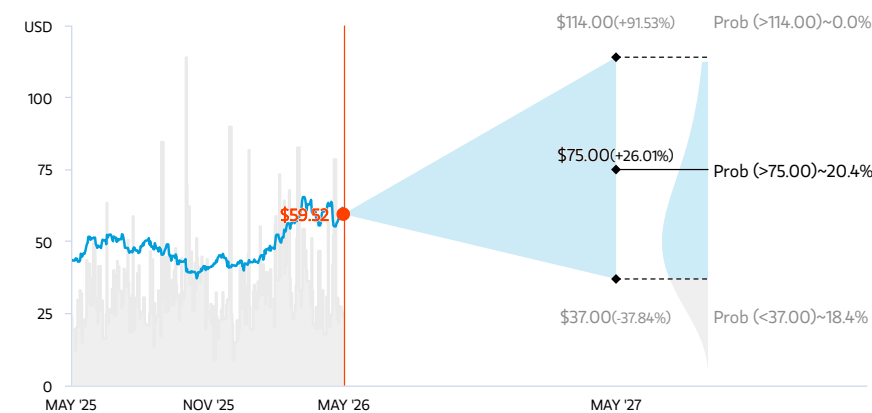
Price target is a 50/50 blend of 1) a target multiple of 4.0x 2027e EV/EBITDAX (\$71/sh) and 2) our NAV of \$80/sh.

Consensus Price Target Distribution

Source: Refinitiv, Morgan Stanley Research



RISK REWARD CHART AND OPTIONS IMPLIED PROBABILITIES (12M)



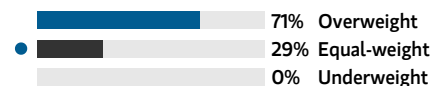
Key: — Historical Stock Performance ● Current Stock Price ◆ Price Target

Source: Refinitiv, Morgan Stanley Research, Morgan Stanley Institutional Equities Division. The probabilities of our Bull, Base, and Bear case scenarios playing out were estimated with implied volatility data from the options market as of 20 May 2026. All figures are approximate risk-neutral probabilities of the stock reaching beyond the scenario price in either three-months' or one-years' time. View explanation of Options Probabilities methodology [here](#)

EQUAL-WEIGHT THESIS

- **Integrated midstream operations provide a competitive advantage.** Besides providing MTDR with flow assurance, San Mateo Midstream JV (MTDR 51% stake) services third-party customers and generates positive cash flow. We estimate San Mateo to add ~\$10/sh of value to MTDR's NAV.
- **Modest shareholder returns at in-line valuation.** We estimate MTDR to trade in-line w/ peers on '26 EV/EBITDAX and offer a ~3% return yield in '26 vs 6% for peers.

Consensus Rating Distribution



● MS Rating

Source: Refinitiv, Morgan Stanley Research

BULL CASE

\$114.00

4.3x 2027e EV/EBITDAX

Long-term (2028+) Bull Price Deck: WTI \$90, HH \$4.25. Price target is a 50/50 blend of 1) a target multiple of 4.0x 2027e EV/EBITDAX (\$106/sh) and 2) our NAV of \$123/sh.

BASE CASE

\$75.00

4.2x 2027e EV/EBITDAX

Long-term (2028+) Base Price Deck: WTI \$70, HH \$3.75. Price target is a 50/50 blend of 1) a target multiple of 4.0x 2027e EV/EBITDAX (\$71/sh) and 2) our NAV of \$80/sh.

BEAR CASE

\$37.00

4.0x 2027e EV/EBITDAX

Long-term (2028+) Bear Price Deck: WTI \$50, HH \$3.25. Price target is a 50/50 blend of 1) a target multiple of 4.0x 2027e EV/EBITDAX (\$37/sh) and 2) our NAV of \$36/sh.

Risk Reward – Matador Resources Co (MTDR.N)

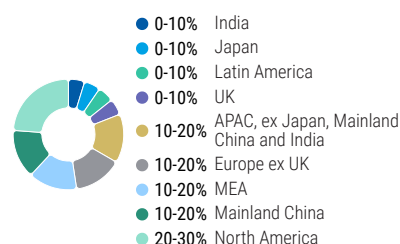
KEY EARNINGS INPUTS

Drivers	2025	2026e	2027e	2028e
Oil Production (MBbl/d)	120	124	126	128
Total Production (MBoe/d)	207	214	221	224
Realized Oil Price (\$/Bbl)	65.00	78.39	70.00	70.00
Realized Gas Price (\$/Mcf)	2.20	1.94	3.16	3.12
EBITDAX Margin (\$/Boe)	30.36	36.30	32.94	32.68

INVESTMENT DRIVERS

- Commodity prices
- Capex
- Capital efficiency
- Return of cash
- Well performance
- Midstream assets performance

GLOBAL REVENUE EXPOSURE



Source: Morgan Stanley Research Estimate
View explanation of regional hierarchies [here](#)

MS ALPHA MODELS

5/5 BEST	24 Month Horizon	1/5 MOST	3 Month Horizon
---------------------	-----------------------------	---------------------	----------------------------

Source: Refinitiv, FactSet, Morgan Stanley Research; 1 is the highest favored Quintile and 5 is the least favored Quintile

RISKS TO PT/RATING

RISKS TO UPSIDE

- Higher commodity prices
- Better well performance
- Service cost deflation
- M&A activity accretive to key financial metrics
- Accelerated return of cash through buybacks

RISKS TO DOWNSIDE

- Poor execution
- Lower commodity prices
- Service cost inflation
- Declining well performance

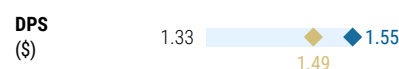
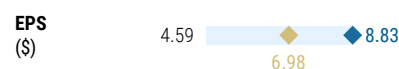
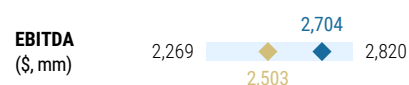
OWNERSHIP POSITIONING

Inst. Owners, % Active	51.7%	
HF Sector Long/Short Ratio	1.7x	
HF Sector Net Exposure	4.3%	

Refinitiv; MSPB Content. Includes certain hedge fund exposures held with MSPB. Information may be inconsistent with or may not reflect broader market trends. Long/Short Ratio = Long Exposure / Short exposure. Sector % of Total Net Exposure = (For a particular sector: Long Exposure - Short Exposure) / (Across all sectors: Long Exposure - Short Exposure).

MS ESTIMATES VS. CONSENSUS

FY Dec 2026e



◆ Mean ◆ Morgan Stanley Estimates
Source: Refinitiv, Morgan Stanley Research

Risk Reward – Comstock Resources Inc. (CRK.N)

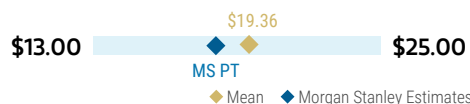
Exposure to LNG fairway but Western Haynesville economics still unclear

PRICE TARGET \$18.00

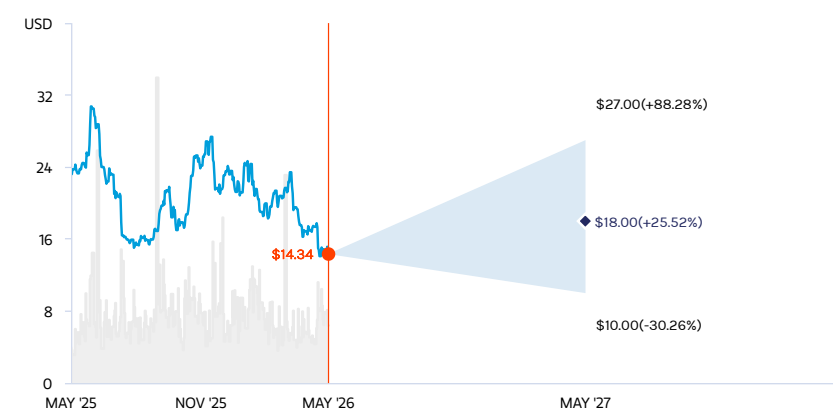
Long-term (2028+) base case price deck: WTI \$65, HH \$3.75. Base case of \$18/share is a 50/50 blend of 1) 6x 2027e E&P EV/EBITDA of \$20/sh and 2) net asset value (NAV) of \$17/sh (10.2% discount rate).

Consensus Price Target Distribution

Source: Refinitiv, Morgan Stanley Research



RISK REWARD CHART



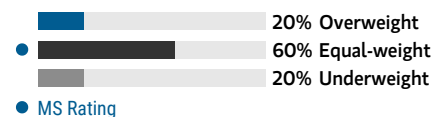
Key: — Historical Stock Performance ● Current Stock Price ◆ Price Target

Source: Refinitiv, Morgan Stanley Research

EQUAL-WEIGHT THESIS

- Exposure to Haynesville and Bossier shale regions in LA and TX provide access to growing LNG fairway.
- Exploratory Western Haynesville opportunity offers long-term growth, but economics and productivity remain unclear.
- Jerry Jones, owner of the Dallas Cowboys Football Team, holds majority stake in CRK (71%).
- While FCF/equity improves from -5% in '26 to -1% in '28, CRK lags peers.

Consensus Rating Distribution



Source: Refinitiv, Morgan Stanley Research

BULL CASE

\$27.00

2.7x 2027e EBITDA

Long-term (2027+) bull case price deck: WTI \$90, HH \$4.25. Bull case of \$27/share is a 50/50 blend of 1) 6.0x 2027e E&P EV/EBITDA of \$27/sh and 2) net asset value (NAV) of \$28/sh.

BASE CASE

\$18.00

1.3x 2027e EBITDAX

Long-term (2028+) base case price deck: WTI \$70, HH \$3.75. Base case of \$18/share is a 50/50 blend of 1) 6.0x 2027e E&P EV/EBITDA of \$20/sh and 2) net asset value (NAV) of \$17/sh (10.2% discount rate).

BEAR CASE

\$10.00

-0.6x 2027e EBITDA

Long-term (2028+) bear case price deck: WTI \$50, HH \$3.25. Bear case of \$10/share is a 50/50 blend of 1) 6.0x 2027e E&P EV/EBITDA of \$14/sh and 2) net asset value (NAV) of \$6/sh.

Risk Reward – Comstock Resources Inc. (CRK.N)

KEY EARNINGS INPUTS

Drivers	2025	2026e	2027e	2028e
Gas Production (MMcf/d)	1,234	1,300	1,572	1,771
Total Production (Mboe/d)	206	217	262	295
Realized Oil Price (\$)	61.92	68.91	50.67	50.67
Realized Gas Price (\$)	3.21	3.25	3.54	3.49
EBITDAX Margin per Boe (\$, mm)	20.10	17.14	16.16	15.94

INVESTMENT DRIVERS

- Commodity prices
- Capex & capital efficiency
- Western Haynesville performance

GLOBAL REVENUE EXPOSURE



Source: Morgan Stanley Research Estimate
View explanation of regional hierarchies [here](#)

MS ALPHA MODELS

5/5 BEST	24 Month Horizon	3/5 MOST	3 Month Horizon
---------------------	---------------------	---------------------	--------------------

Source: Refinitiv, FactSet, Morgan Stanley Research; 1 is the highest favored Quintile and 5 is the least favored Quintile

RISKS TO PT/RATING

RISKS TO UPSIDE

- Higher commodity prices
- Execution on Western Haynesville exploratory play
- Capex and production efficiencies
- Service cost deflation

RISKS TO DOWNSIDE

- Lower commodity prices
- Declining productivity
- Western Haynesville does not materialize as planned

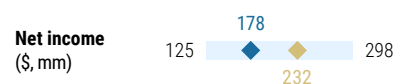
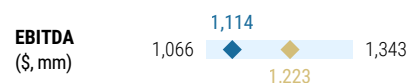
OWNERSHIP POSITIONING

Inst. Owners, % Active	48%				
HF Sector Long/Short Ratio	1.7x				
HF Sector Net Exposure	4.3%				

Refinitiv; MSPB Content. Includes certain hedge fund exposures held with MSPB. Information may be inconsistent with or may not reflect broader market trends. Long/Short Ratio = Long Exposure / Short exposure. Sector % of Total Net Exposure = (For a particular sector: Long Exposure - Short Exposure) / (Across all sectors: Long Exposure - Short Exposure).

MS ESTIMATES VS. CONSENSUS

FY Dec 2026e



Source: Refinitiv, Morgan Stanley Research

Risk Reward – Northern Oil & Gas Inc. (NOG.N)

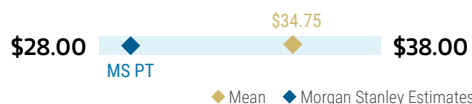
Acquisition-driven growth with less operational clarity vs peers

PRICE TARGET \$29.00

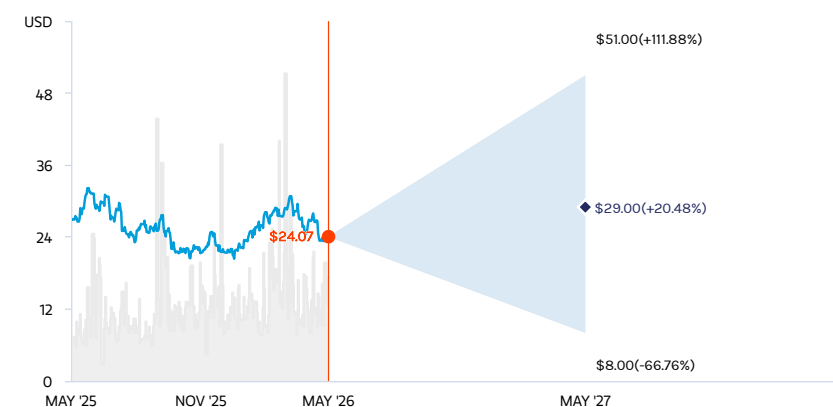
Long-term (2028+) base case price deck: WTI \$70, HH \$3.75. Base case of \$29/sh is a 50/50 blend of 1) 3.25x 2027e EV/EBITDA of \$26/sh and 2) net asset value of \$33 (7.3% discount rate).

Consensus Price Target Distribution

Source: Refinitiv, Morgan Stanley Research



RISK REWARD CHART



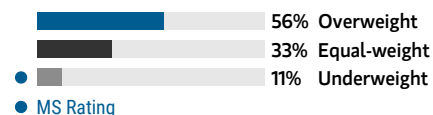
Key: — Historical Stock Performance ● Current Stock Price ◆ Price Target

Source: Refinitiv, Morgan Stanley Research

UNDERWEIGHT THESIS

- Unique business model of non-operated oil & gas positions differs vs peers as NOG has interests in the Permian, Williston, Appalachian, and Uinta regions.
- Consistently raised dividends under a program initiated in 2021 and increased authorization in early 2025, but moderated growth expected.
- We see risk of further non-operated activity reductions in the event oil prices move lower.
- NOG has a lower FCF yield than peers in 2026 with higher leverage (1.6x vs oil median of 0.4x).

Consensus Rating Distribution



Source: Refinitiv, Morgan Stanley Research

BULL CASE

\$51.00

1.6x 2027e EBITDA

Long-term (2028+) bull case price deck: WTI \$90, HH \$4.25. Bull case is a 50/50 blend of 1) 3.25x 2027e EV/EBITDA of \$45/sh and 2) net asset value of \$56 (7.3% discount rate).

BASE CASE

\$29.00

0.5x 2027e EBITDA

Long-term (2028+) base case price deck: WTI \$70, HH \$3.75. Base case of \$29/sh is a 50/50 blend of 1) 3.25x 2027e EV/EBITDA of \$26/sh and 2) net asset value of \$33 (7.3% discount rate).

BEAR CASE

\$8.00

-1.9x 2027e EBITDA

Long-term (2028+) bear case price deck: WTI \$50, HH \$3.25. Bear case of \$8/sh is a 50/50 blend of 1) 3.25x 2027e EV/EBITDA of \$5/sh and 2) net asset value of \$10 (7.3% discount rate).

Risk Reward – Northern Oil & Gas Inc. (NOG.N)

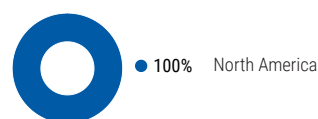
KEY EARNINGS INPUTS

Drivers	2025	2026e	2027e	2028e
Gas Production (MMcf/d)	356	440	429	429
Total Production (Mboe/d)	135	147	146	146
Realized Oil Price (\$)	64.79	70.10	65.13	65.15
Realized Gas Price (\$)	3.33	2.64	3.20	3.31
EBITDAX Margin per Boe (\$, mm)	21.52	13.11	28.41	28.79

INVESTMENT DRIVERS

- Commodity prices
- Capex, capital efficiency, and production activity of operating partners
- Ability to execute on accretive M&A deals in key basins

GLOBAL REVENUE EXPOSURE



Source: Morgan Stanley Research Estimate
View explanation of regional hierarchies [here](#)

MS ALPHA MODELS

1/5 BEST	24 Month Horizon	1/5 MOST	3 Month Horizon
-------------	---------------------	-------------	--------------------

Source: Refinitiv, FactSet, Morgan Stanley Research; 1 is the highest favored Quintile and 5 is the least favored Quintile

RISKS TO PT/RATING

RISKS TO UPSIDE

- Higher commodity prices
- Heightened M&A activity accretive to key financial metrics
- Operator service cost deflation (via AFEs)

RISKS TO DOWNSIDE

- Lower commodity prices
- Operator service cost inflation (via AFEs)
- Production and M&A activity slows
- Production shifts by operational partners

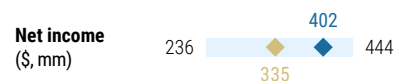
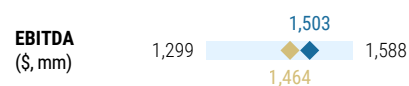
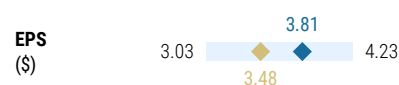
OWNERSHIP POSITIONING

Inst. Owners, % Active	52.7%	
HF Sector Long/Short Ratio	1.7x	
HF Sector Net Exposure	4.3%	

Refinitiv; MSPB Content. Includes certain hedge fund exposures held with MSPB. Information may be inconsistent with or may not reflect broader market trends. Long/Short Ratio = Long Exposure / Short exposure. Sector % of Total Net Exposure = (For a particular sector: Long Exposure - Short Exposure) / (Across all sectors: Long Exposure - Short Exposure).

MS ESTIMATES VS. CONSENSUS

FY Dec 2026e



Source: Refinitiv, Morgan Stanley Research

◆ Mean ◆ Morgan Stanley Estimates

Risk Reward – Devon Energy Corp (DVN.N)

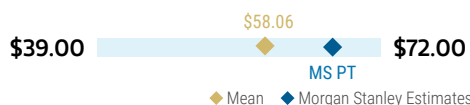
Merger to create a premier shale operator, upside from business optimization

PRICE TARGET \$66.00

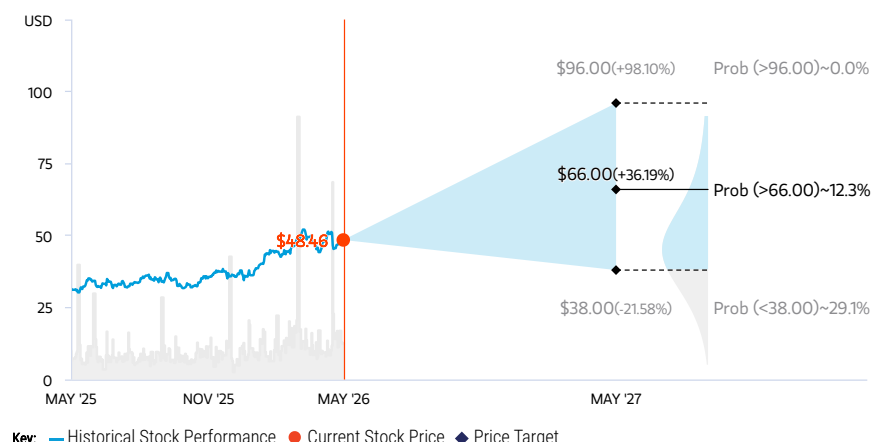
Price target of \$66/sh is a 50/50 blend of 1) a target multiple of 5x 2027e EV/EBITDAX (\$68/sh) and 2) our NAV of \$64/sh.

Consensus Price Target Distribution

Source: Refinitiv, Morgan Stanley Research



RISK REWARD CHART AND OPTIONS IMPLIED PROBABILITIES (12M)

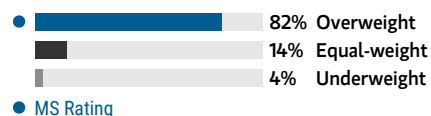


Source: Refinitiv, Morgan Stanley Research, Morgan Stanley Institutional Equities Division. The probabilities of our Bull, Base, and Bear case scenarios playing out were estimated with implied volatility data from the options market as of 20 May 2026. All figures are approximate risk-neutral probabilities of the stock reaching beyond the scenario price in either three-months' or one-years' time. View explanation of Options Probabilities methodology [here](#)

OVERWEIGHT THESIS

- Pending merger with CTRA would create the second largest US independent E&P by total volume and is ~17% accretion to FCF/sh for DVN at \$60 WTI and \$3.75 HH.
- DNV is on track to deliver the full \$1 B business optimization FCF uplift with the upcoming \$1 B term loan maturing September '26, ahead of schedule and offers attractive non-commodity linked rate of change.
- At \$70 WTI, we estimate DVN offers a 13% FCF yield in 2027, above the oil E&P median of 11% and large-cap peers of 9%, respectively.

Consensus Rating Distribution



Source: Refinitiv, Morgan Stanley Research

Risk Reward Themes

Self-help: Positive

View descriptions of Risk Rewards Themes [here](#)

BULL CASE

\$96.00

6.1x 2027e EV/EBITDAX of \$15.4 B

Long-term (2028+) Bull Price Deck: WTI \$96, HH \$4.25. Bull case is a 50/50 blend of 1) a target multiple of 5x 2027e EV/EBITDAX (\$95/sh) and 2) our NAV of \$97/sh.

BASE CASE

\$66.00

5x 2027e EV/EBITDAX of \$13.4 B

Long-term (2028+) Base Price Deck: WTI \$70, HH \$3.75. Base case is a 50/50 blend of 1) a target multiple of 5x 2026e EV/EBITDAX (\$68/sh) and 2) our NAV of \$64/sh.

BEAR CASE

\$38.00

3.6x 2027e EV/EBITDAX of \$11.4 B

Long-term (2028+) Bear Price Deck: WTI \$50, HH \$3.25. Bear case is a 50/50 blend of 1) a target multiple of 5x 2026e EV/EBITDAX (\$43/sh) and 2) our NAV of \$33/sh.

Risk Reward – Devon Energy Corp (DVN.N)

KEY EARNINGS INPUTS

Drivers	2025	2026e	2027e	2028e
Oil Production (Mbbbl/d)	389	501	571	577
Total Production (Mboe/d)	840	1,367	1,682	1,700
Realized Oil Price (\$)	63.91	79.94	68.59	68.60
Realized Gas Price (\$)	1.79	1.73	2.28	2.29
EBITDAX Margin per Boe (\$)	24.50	26.83	24.18	24.26

INVESTMENT DRIVERS

- Commodity prices
- Capex and capital efficiency
- Delaware Basin oil production
- Return of cash

GLOBAL REVENUE EXPOSURE



Source: Morgan Stanley Research Estimate
View explanation of regional hierarchies [here](#)

MS ALPHA MODELS

1/5 BEST	24 Month Horizon	2/5 MOST	3 Month Horizon
-------------	---------------------	-------------	--------------------

Source: Refinitiv, FactSet, Morgan Stanley Research; 1 is the highest favored Quintile and 5 is the least favored Quintile

RISKS TO PT/RATING

RISKS TO UPSIDE

- Delivering the \$1 B merger synergies target by YE27
- Raise \$1 B merger synergies target or pull forward timeline
- Better than expected well results
- Higher commodity prices
- Service cost deflation

RISKS TO DOWNSIDE

- Not delivering the \$1 B merger synergies target by YE27
- Worse than expected well results
- Lower commodity prices
- Service cost inflation

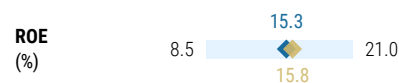
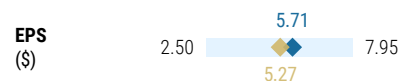
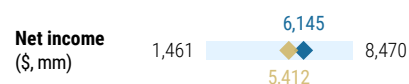
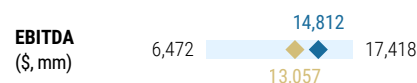
OWNERSHIP POSITIONING

Inst. Owners, % Active	41.6%	
HF Sector Long/Short Ratio	1.7x	
HF Sector Net Exposure	4.3%	

Refinitiv; MSPB Content. Includes certain hedge fund exposures held with MSPB. Information may be inconsistent with or may not reflect broader market trends. Long/Short Ratio = Long Exposure / Short exposure. Sector % of Total Net Exposure = (For a particular sector: Long Exposure - Short Exposure) / (Across all sectors: Long Exposure - Short Exposure).

MS ESTIMATES VS. CONSENSUS

FY Dec 2027e



◆ Mean ◆ Morgan Stanley Estimates
Source: Refinitiv, Morgan Stanley Research

Risk Reward – Occidental Petroleum Corp (OXY.N)

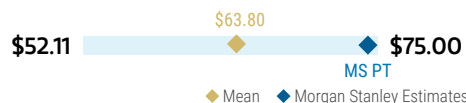
In-line valuation but leverage is above peers

PRICE TARGET \$74.00

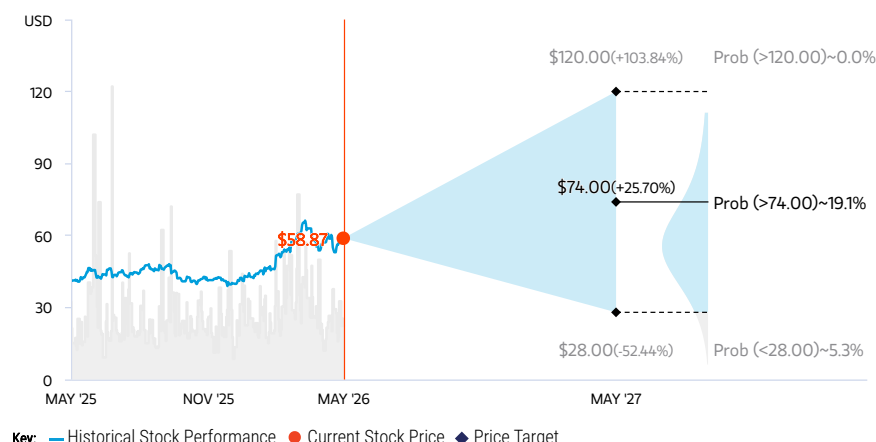
Long-term (2028+) base case price deck: WTI \$70, HH \$3.25. Base case is a 50/50 blend of (1) target multiple of 5.5x EV/EBTIDA (\$78/sh) and (2) net asset value (NAV) of \$71/sh.

Consensus Price Target Distribution

Source: Refinitiv, Morgan Stanley Research



RISK REWARD CHART AND OPTIONS IMPLIED PROBABILITIES (12M)



Key: — Historical Stock Performance ● Current Stock Price ◆ Price Target

Source: Refinitiv, Morgan Stanley Research, Morgan Stanley Institutional Equities Division. The probabilities of our Bull, Base, and Bear case scenarios playing out were estimated with implied volatility data from the options market as of 20 May 2026. All figures are approximate risk-neutral probabilities of the stock reaching beyond the scenario price in either three-months' or one-years' time. View explanation of Options Probabilities methodology [here](#)

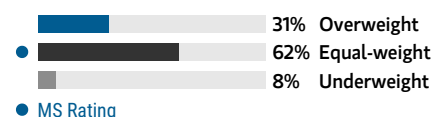
EQUAL-WEIGHT THESIS

■ **OXY is differentiated** by its high quality assets and LT growth potential through Low Carbon Ventures. That said, FCF/Equity is modestly below oil E&P average.

■ **OxyChem sale supports balance sheet, but reduces FCF.** The transaction is dilutive to our 2026-27 FCF/sh estimates, but accelerates debt reduction (0.5x lower pro-forma leverage) and pulls forward shareholder returns.

■ **Free option on low carbon growth.** OXY a leader in Direct Air Capture and has been active in helping hyperscalers decarbonize, including a recent 500,000 tonne deal with Microsoft. The stock reflects zero value for its low carbon business.

Consensus Rating Distribution



Source: Refinitiv, Morgan Stanley Research

Risk Reward Themes

Self-help: *Positive*
Technology Diffusion: *Positive*

View descriptions of Risk Rewards Themes [here](#)

BULL CASE

\$120.00

5.7x 2027e EBITDAX of \$20.1 B (incl. WES dists.)

Long-term (2028+) bull case price deck: WTI \$90, HH \$4.25. Price target is a 50/50 blend of (1) target multiple of 5.5x EV/EBTIDA (\$133/sh) and (2) net asset value (NAV) of \$107/sh.

BASE CASE

\$74.00

5.2x 2027e EBITDAX of \$14.6 B (incl. WES dists.)

Long-term (2028+) base case price deck: WTI \$70, HH \$3.25. Price target is a 50/50 blend of (1) target multiple of 5.5x EV/EBTIDA (\$78/sh) and (2) net asset value (NAV) of \$71/sh.

BEAR CASE

\$28.00

4.1x 2027e EBITDAX of \$8.9 B (incl. WES dists.)

Long-term (2028+) bear case price deck: WTI \$50, HH \$3.25. Price target is a 50/50 blend of (1) target multiple of 5.5x EV/EBTIDA (\$33/sh) and (2) net asset value (NAV) of \$24/sh.

Risk Reward – Occidental Petroleum Corp (OXY.N)

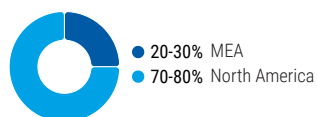
KEY EARNINGS INPUTS

Drivers	2025	2026e	2027e	2028e
Oil Production (Mbbbl/d)	729	718	744	781
Total Production (Mboe/d)	1,435	1,431	1,457	1,499
Realized Oil Price (\$)	64.59	84.31	69.24	69.10
Realized Gas Price (\$)	1.65	1.31	2.43	2.39
EBITDA Margin per Boe (\$)	21.97	32.69	25.97	26.05

INVESTMENT DRIVERS

- Commodity prices.
- Asst sale proceeds to reduce leverage.
- Capital efficiency.

GLOBAL REVENUE EXPOSURE



Source: Morgan Stanley Research Estimate
View explanation of regional hierarchies [here](#)

MS ALPHA MODELS

1/5 BEST	24 Month Horizon	3/5 MOST	3 Month Horizon
---------------------	-----------------------------	---------------------	----------------------------

Source: Refinitiv, FactSet, Morgan Stanley Research; 1 is the highest favored Quintile and 5 is the least favored Quintile

RISKS TO PT/RATING

RISKS TO UPSIDE

- Higher commodity prices.
- Service cost deflation.
- Redeems preferred equity
- Resumes share repurchase program

RISKS TO DOWNSIDE

- Lower commodity prices.
- Service cost inflation.
- Regulatory risk in Colorado and global geopolitical risk.

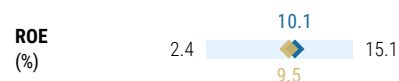
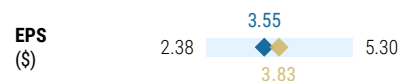
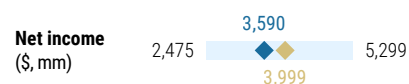
OWNERSHIP POSITIONING

Inst. Owners, % Active	43.6%	
HF Sector Long/Short Ratio	1.7x	
HF Sector Net Exposure	4.3%	

Refinitiv; MSPB Content. Includes certain hedge fund exposures held with MSPB. Information may be inconsistent with or may not reflect broader market trends. Long/Short Ratio = Long Exposure / Short exposure. Sector % of Total Net Exposure = (For a particular sector: Long Exposure - Short Exposure) / (Across all sectors: Long Exposure - Short Exposure).

MS ESTIMATES VS. CONSENSUS

FY Dec 2027e



◆ Mean ◆ Morgan Stanley Estimates
Source: Refinitiv, Morgan Stanley Research

Risk Reward – Range Resources Corp. (RRC.N)

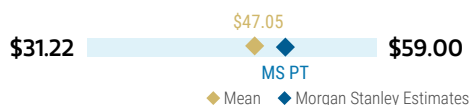
In-line valuation and capital efficient growth

PRICE TARGET \$50.00

Price target is a 50/50 blend of 1) a target multiple of 6.5x 2027e EV/EBITDA (\$53/sh) and 2) our NAV of \$46/sh.

Consensus Price Target Distribution

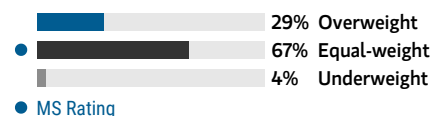
Source: Refinitiv, Morgan Stanley Research



EQUAL-WEIGHT THESIS

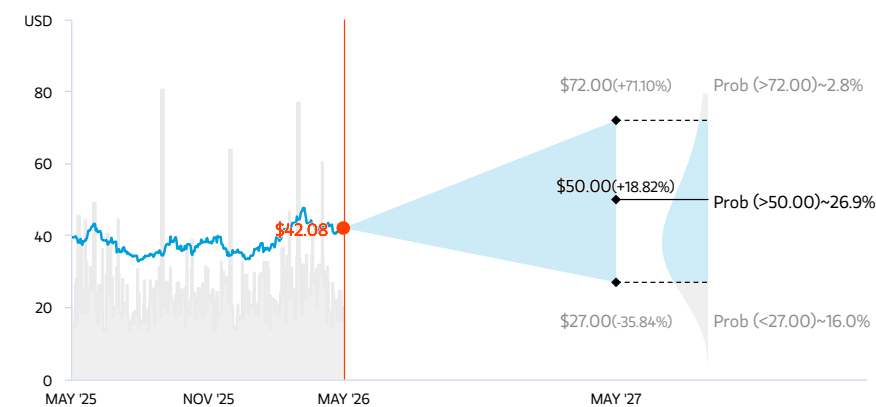
- **In-line valuation and capital efficient growth.** RRC offers a 2026 FCF yield of 9%, in line with the peer median, with above-average growth over the next few years.
- **Access to export markets supports premium NGL realizations.** The company has realized a >\$1.50/bbl premium to Mont Belvieu over the last few years, a trend we expect to continue.
- **Shareholder returns near peers.** RRC offers a total return yield of ~2%, near the peer median. The company has an opportunistic approach to share buybacks and has low leverage.

Consensus Rating Distribution



Source: Refinitiv, Morgan Stanley Research

RISK REWARD CHART AND OPTIONS IMPLIED PROBABILITIES (12M)



Key: — Historical Stock Performance ● Current Stock Price ◆ Price Target

Source: Refinitiv, Morgan Stanley Research, Morgan Stanley Institutional Equities Division. The probabilities of our Bull, Base, and Bear case scenarios playing out were estimated with implied volatility data from the options market as of 20 May 2026. All figures are approximate risk-neutral probabilities of the stock reaching beyond the scenario price in either three-months' or one-years' time. View explanation of Options Probabilities methodology [here](#)

BULL CASE

\$72.00

6.4x 2027e EV/EBITDAX of \$2.5 B

Long term (2028+) Bull Price Deck: WTI \$90, HH \$4.25. Price target is a 50/50 blend of 1) a target multiple of 6.5x 2027e EV/EBITDA (\$74/sh) and 2) our NAV of \$71/sh.

BASE CASE

\$50.00

6x 2027e EV/EBITDAX of \$1.9 B

Long term (2028+) Base Price Deck: WTI \$70, HH \$3.75. Price target is a 50/50 blend of 1) a target multiple of 6.5x 2027e EV/EBITDA (\$53/sh) and 2) our NAV of \$46/sh.

BEAR CASE

\$27.00

5.2x 2027e EV/EBITDAX of \$1.3 B

Long term (2028+) Bear Price Deck: WTI \$50, HH \$3.25. Price target is a 50/50 blend of 1) a target multiple of 6.5x 2027e EV/EBITDA (\$34/sh) and 2) our NAV of \$20/sh.

Risk Reward – Range Resources Corp. (RRC.N)

KEY EARNINGS INPUTS

Drivers	2025	2026e	2027e	2028e
Gas Production (MMcf/d)	1,537	1,598	1,763	1,774
Total Production (MMcfe/d)	2,236	2,372	2,597	2,648
Realized Gas Price (\$)	3.29	3.37	3.46	3.36
EBITDAX Margin per Bcfe (\$)	1.76	2.05	1.97	1.89

INVESTMENT DRIVERS

- Commodity prices
- Capital efficiency
- Liquids production

GLOBAL REVENUE EXPOSURE



● 100% North America

Source: Morgan Stanley Research Estimate
View explanation of regional hierarchies [here](#)

MS ALPHA MODELS

4/5 BEST	24 Month Horizon	2/5 MOST	3 Month Horizon
---------------------	-----------------------------	---------------------	----------------------------

Source: Refinitiv, FactSet, Morgan Stanley Research; 1 is the highest favored Quintile and 5 is the least favored Quintile

RISKS TO PT/RATING

RISKS TO UPSIDE

- Higher commodity prices
- Service cost deflation
- Better than expected appraisal well results and well costs

RISKS TO DOWNSIDE

- Lower commodity prices
- Service cost inflation

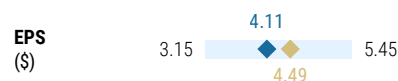
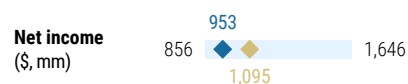
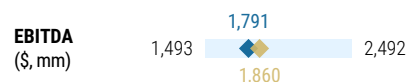
OWNERSHIP POSITIONING

Inst. Owners, % Active	61.8%	
HF Sector Long/Short Ratio	1.7x	
HF Sector Net Exposure	4.3%	

Refinitiv; MSPB Content. Includes certain hedge fund exposures held with MSPB. Information may be inconsistent with or may not reflect broader market trends. Long/Short Ratio = Long Exposure / Short exposure. Sector % of Total Net Exposure = (For a particular sector: Long Exposure - Short Exposure) / (Across all sectors: Long Exposure - Short Exposure).

MS ESTIMATES VS. CONSENSUS

FY Dec 2027e



◆ Mean ◆ Morgan Stanley Estimates

Source: Refinitiv, Morgan Stanley Research

Risk Reward – Expand Energy Corp (EXE.O)

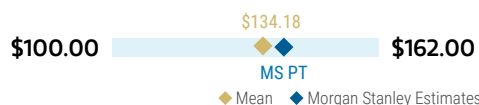
Attractive FCF growth from rising prices and efficiency gains in 2026

PRICE TARGET \$139.00

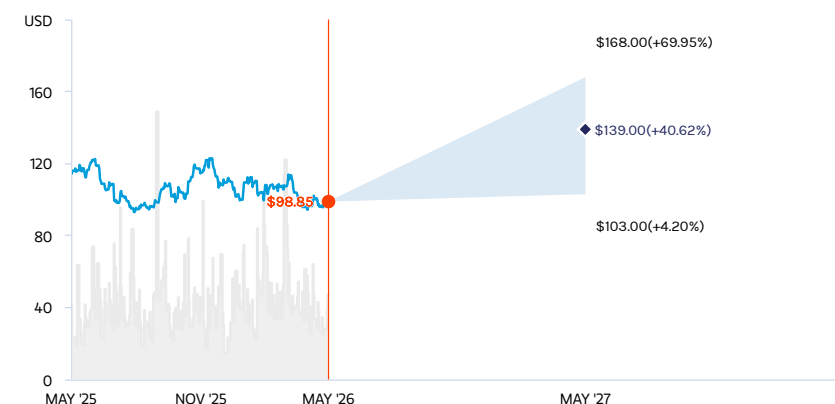
Price target is a 50/50 blend of 1) a target multiple of 5.5x 2027e EV/EBITDA (\$135/sh) and 2) our NAV of \$143/sh.

Consensus Price Target Distribution

Source: Refinitiv, Morgan Stanley Research



RISK REWARD CHART



Key: — Historical Stock Performance ● Current Stock Price ◆ Price Target

Source: Refinitiv, Morgan Stanley Research

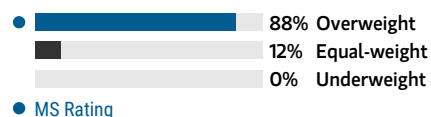
OVERWEIGHT THESIS

■ **EXE is the largest independent natural gas producer in the US**, well positioned to answer the call on the next growth cycle of gas supported by a diverse transportation portfolio and direct access to the Gulf Coast LNG corridor. Marketing & commercial segment could drive incremental value longer term.

■ **Rate of change from synergies realization.** EXE offers attractive FCF growth from rising prices and volumes in 2026. We estimate a 12% FCF yield in 2026, above peer median of 9%.

■ **Capital returns framework designed to return cash and reduce net debt.** We estimate a total return yield of 6% in 2026, above the gas E&P median of 4%.

Consensus Rating Distribution



Source: Refinitiv, Morgan Stanley Research

BULL CASE

\$168.00

5.1x 2027e EV/EBITDA of \$7.4 B

Long term (2028+) Bull Price Deck: WTI \$90, HH \$4.25. Price target is a 50/50 blend of 1) a target multiple of 5.5x 2027e EV/EBITDA (\$179/sh) and 2) our NAV of \$157/sh.

BASE CASE

\$139.00

5.3x 2027e EV/EBITDA of \$6.1 B

Long term (2028+) Base Price Deck: WTI \$70, HH \$3.75. Price target is a 50/50 blend of 1) a target multiple of 5.5x 2027e EV/EBITDA (\$135/sh) and 2) our NAV of \$143/sh.

BEAR CASE

\$103.00

5x 2027e EV/EBITDA of \$5.1 B

Long term (2028+) Base Price Deck: WTI \$50, HH \$3.75. Price target is a 50/50 blend of 1) a target multiple of 5.5x 2027e EV/EBITDA (\$114/sh) and 2) our NAV of \$93/sh.

Risk Reward – Expand Energy Corp (EXE.O)

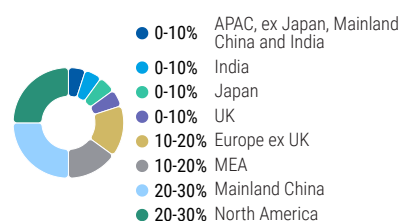
KEY EARNINGS INPUTS

Drivers	2025	2026e	2027e	2028e
Oil Production (Mbbbl/d)	13	18	16	15
Total Production (Mboe/d)	1,189	1,251	1,272	1,291
Realized Oil Price (\$)	55.63	77.28	60.80	60.80
Realized Gas Price (\$)	3.16	3.39	3.48	3.43
EBITDA Margin per Boe (\$)	11.52	13.15	13.10	12.85

INVESTMENT DRIVERS

- Commodity prices
- Production and capex
- Return of cash

GLOBAL REVENUE EXPOSURE



Source: Morgan Stanley Research Estimate
View explanation of regional hierarchies [here](#)

MS ALPHA MODELS

1/5 BEST	24 Month Horizon	3/5 MOST	3 Month Horizon
---------------------	-----------------------------	---------------------	----------------------------

Source: Refinitiv, FactSet, Morgan Stanley Research; 1 is the highest favored Quintile and 5 is the least favored Quintile

RISKS TO PT/RATING

RISKS TO UPSIDE

- Higher natural gas prices
- Better than expected well costs and well performance

RISKS TO DOWNSIDE

- Lower natural gas prices
- Worse than expected well costs and well performance

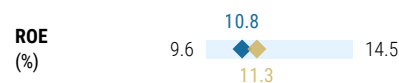
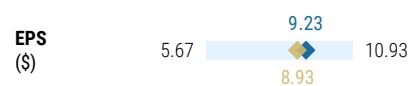
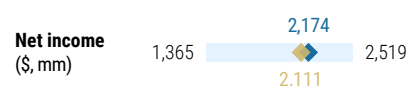
OWNERSHIP POSITIONING

Inst. Owners, % Active	60.1%				
HF Sector Long/Short Ratio	1.7x				
HF Sector Net Exposure	4.3%				

Refinitiv; MSPB Content. Includes certain hedge fund exposures held with MSPB. Information may be inconsistent with or may not reflect broader market trends. Long/Short Ratio = Long Exposure / Short exposure. Sector % of Total Net Exposure = (For a particular sector: Long Exposure - Short Exposure) / (Across all sectors: Long Exposure - Short Exposure).

MS ESTIMATES VS. CONSENSUS

FY Dec 2027e



◆ Mean ◆ Morgan Stanley Estimates

Source: Refinitiv, Morgan Stanley Research

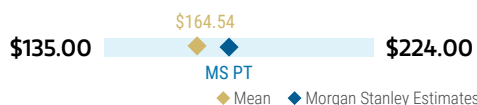
Risk Reward – Chord Energy Corporation (CHRD.O)

Durable FCF generation and outsized shareholder returns at discount vs peers

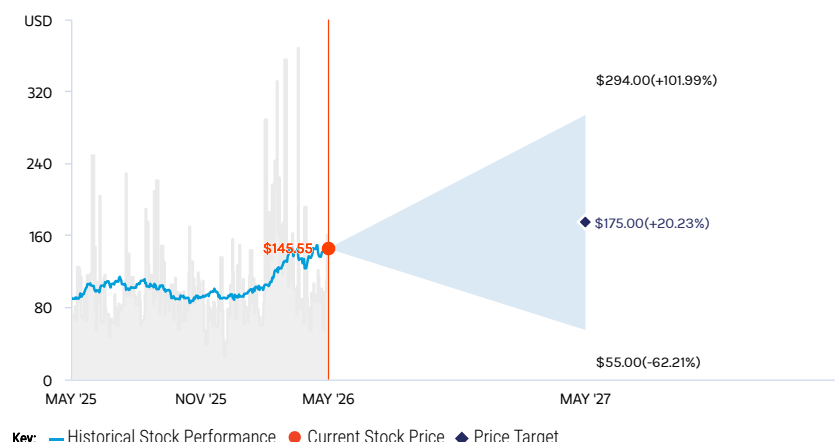
PRICE TARGET \$175.00

Base case of \$175/sh, which is a 50/50 blend of 1) a target multiple of 3.5x 2027e EV/EBITDA (\$187/sh) and 2) our NAV of \$162/sh.

Consensus Price Target Distribution



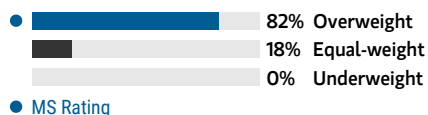
RISK REWARD CHART



OVERWEIGHT THESIS

- **Enhanced scale in the Bakken at attractive valuation.** We estimate CHRD trades at a discount to its peers on '26 EV/EBITDAX.
- CHRD offers **strong FCF generation across a range of oil prices** and at \$88 WTI, we see a 21% FCF yield (oil E&P average of 15%) and 15% shareholder return yield (peer average of 6%).
- We expect CHRD to continue realizing capital efficiency gains and see a **positive rate-of-change on its longer lateral program.** For 2026, CHRD expects 80% of its planned wells to be 3- to 4-mile laterals (vs. ~45% last year).
- While CHRD's net leverage ticked up post the XTO Bakken acquisition, we estimate it **returns below 0.5x by YE26 at \$88 WTI.**

Consensus Rating Distribution



BULL CASE

\$294.00

4.5x 2027e EV/EBITDAX

Long-term (2028+) Bull Price Deck: WTI \$90, HH \$4.25 Bull case of \$294/sh is a 50/50 blend of 1) a target multiple of 3.5x 2027e EV/EBITDAX (\$285/sh) and 2) our NAV of \$303/sh.

BASE CASE

\$175.00

3.9x 2027e EV/EBITDAX

Long-term (2028+) Base Price Deck: WTI \$70, HH \$3.75. Base case of \$175/sh, which is a 50/50 blend of 1) a target multiple of 3.5x 2027e EV/EBITDA (\$187/sh) and 2) our NAV of \$162/sh.

BEAR CASE

\$55.00

2.6x 2027e EV/EBITDAX

Long-term (2028+) Bear Price Deck: WTI \$50, HH \$3.25. Bear case of \$55/sh is a 50/50 blend of 1) a target multiple of 3.5x 2027e EV/EBITDAX (\$89/sh) and 2) our NAV of \$21/sh.

Risk Reward – Chord Energy Corporation (CHRD.O)

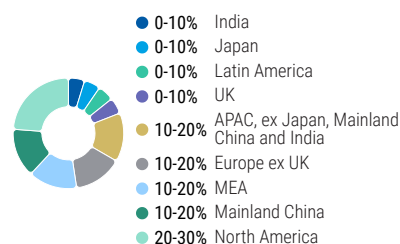
KEY EARNINGS INPUTS

Drivers	2025	2026e	2027e	2028e
Oil Production (Mbbbl/d)	155	162	162	162
Total Production (Mboe/d)	277	278	276	277
Realized Oil Price (\$)	63.62	85.30	68.19	68.25
Realized Gas Price (\$)	1.51	1.55	1.83	1.76
EBITDA Margin per Boe (\$)	16.43	34.68	25.91	25.95

INVESTMENT DRIVERS

- Commodity prices
- Capex & Capital efficiency
- Incremental well cost savings
- Three-mile lateral inventory expansion from ~40% currently

GLOBAL REVENUE EXPOSURE



Source: Morgan Stanley Research Estimate
View explanation of regional hierarchies [here](#)

MS ALPHA MODELS

2/5 BEST	24 Month Horizon	1/5 MOST	3 Month Horizon
---------------------	-----------------------------	---------------------	----------------------------

Source: Refinitiv, FactSet, Morgan Stanley Research; 1 is the highest favored Quintile and 5 is the least favored Quintile

RISKS TO PT/RATING

RISKS TO UPSIDE

- Higher commodity prices and improved differentials.
- Improved well performance.
- Higher than expected % of the three-mile lateral inventory in the Bakken
- Better than expected well results and economics of the 4-mile laterals

RISKS TO DOWNSIDE

- Lower commodity prices and wider differentials.
- Worse than expected well performance.
- Increased leverage

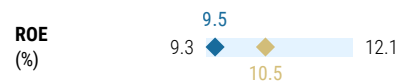
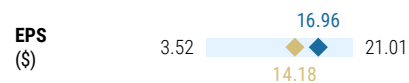
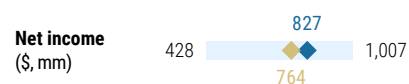
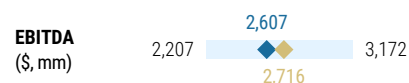
OWNERSHIP POSITIONING

Inst. Owners, % Active	56.6%	
HF Sector Long/Short Ratio	1.7x	
HF Sector Net Exposure	4.3%	

Refinitiv; MSPB Content. Includes certain hedge fund exposures held with MSPB. Information may be inconsistent with or may not reflect broader market trends. Long/Short Ratio = Long Exposure / Short exposure. Sector % of Total Net Exposure = (For a particular sector: Long Exposure - Short Exposure) / (Across all sectors: Long Exposure - Short Exposure).

MS ESTIMATES VS. CONSENSUS

FY Dec 2027e



◆ Mean ◆ Morgan Stanley Estimates

Source: Refinitiv, Morgan Stanley Research

Risk Reward Reference links

1. View explanation of Options Probabilities methodology - [Options_Probabilities_Exhibit_Link.pdf](#)
2. View descriptions of Risk Rewards Themes - [RR_Themes_Exhibit_Link.pdf](#)
3. View explanation of regional hierarchies - [GEG_Exhibit_Link.pdf](#)
4. View explanation of Theme/Exposure methodology - [ESG_Sustainable_Solutions_External_Link.pdf](#)
5. View explanation of HERS methodology - [ESG_HERS_External_Link.pdf](#)

Disclosure Section

The information and opinions in Morgan Stanley Research were prepared by Morgan Stanley & Co. LLC, and/or Morgan Stanley C.T.V.M. S.A., and/or Morgan Stanley Mexico, Casa de Bolsa, S.A. de C.V., and/or Morgan Stanley Canada Limited. As used in this disclosure section, "Morgan Stanley" includes Morgan Stanley & Co. LLC, Morgan Stanley C.T.V.M. S.A., Morgan Stanley Mexico, Casa de Bolsa, S.A. de C.V., Morgan Stanley Canada Limited and their affiliates as necessary.

For important disclosures, stock price charts and equity rating histories regarding companies that are the subject of this report, please see the Morgan Stanley Research Disclosure Website at www.morganstanley.com/eqr/disclosures/webapp/generalresearch, or contact your investment representative or Morgan Stanley Research at 1585 Broadway, (Attention: Research Management), New York, NY, 10036 USA.

For valuation methodology and risks associated with any recommendation, rating or price target referenced in this research report, please contact the Client Support Team as follows: US/Canada +1 800 303-2495; Hong Kong +852 2848-5999; Latin America +1 718 754-5444 (U.S.); London +44 (0)20-7425-8169; Singapore +65 6834-6860; Sydney +61 (0)2-9770-1505; Tokyo +81 (0)3-6836-9000. Alternatively you may contact your investment representative or Morgan Stanley Research at 1585 Broadway, (Attention: Research Management), New York, NY 10036 USA.

Analyst Certification

The following analysts hereby certify that their views about the companies and their securities discussed in this report are accurately expressed and that they have not received and will not receive direct or indirect compensation in exchange for expressing specific recommendations or views in this report: Jacqueline M Kenny; Joe Laetsch, CFA; Helen Lin; Devin McDermott.

Global Research Conflict Management Policy

Morgan Stanley Research has been published in accordance with our conflict management policy, which is available at www.morganstanley.com/institutional/research/conflictolicies. A Portuguese version of the policy can be found at www.morganstanley.com.br

Important Regulatory Disclosures on Subject Companies

The analyst or strategist (or a household member) identified below owns the following securities (or related derivatives): Devin McDermott - Exxon Mobil Corporation (common or preferred stock).

As of April 30, 2026, Morgan Stanley beneficially owned 1% or more of a class of common equity securities of the following companies covered in Morgan Stanley Research: Antero Resources Corp, APA Corp, Chevron Corporation, Chord Energy Corporation, CNX Resources Corp, ConocoPhillips, Devon Energy Corp, Diamondback Energy Inc, EOG Resources Inc, EQT Corp., Expand Energy Corp, Exxon Mobil Corporation, Matador Resources Co, Murphy Oil Corporation, Northern Oil & Gas Inc., Occidental Petroleum Corp, Permian Resources Corp, Range Resources Corp., Tourmaline Oil Corp..

Within the last 12 months, Morgan Stanley managed or co-managed a public offering (or 144A offering) of securities of Chevron Corporation, CNX Resources Corp, Diamondback Energy Inc, EOG Resources Inc, Murphy Oil Corporation, Northern Oil & Gas Inc., Permian Resources Corp, Viper Energy Inc.

Within the last 12 months, Morgan Stanley has received compensation for investment banking services from Chevron Corporation, CNX Resources Corp, Devon Energy Corp, Diamondback Energy Inc, EOG Resources Inc, Expand Energy Corp, Murphy Oil Corporation, Northern Oil & Gas Inc., Permian Resources Corp, Viper Energy Inc.

In the next 3 months, Morgan Stanley expects to receive or intends to seek compensation for investment banking services from Antero Resources Corp, APA Corp, Cenovus Energy, Chevron Corporation, Chord Energy Corporation, CNX Resources Corp, Comstock Resources Inc., ConocoPhillips, Devon Energy Corp, Diamondback Energy Inc, EOG Resources Inc, EQT Corp., Expand Energy Corp, Exxon Mobil Corporation, Matador Resources Co, Murphy Oil Corporation, Northern Oil & Gas Inc., Occidental Petroleum Corp, Permian Resources Corp, Range Resources Corp., Suncor Energy Inc, Tourmaline Oil Corp., Viper Energy Inc.

Within the last 12 months, Morgan Stanley has received compensation for products and services other than investment banking services from Antero Resources Corp, APA Corp, Cenovus Energy, Chevron Corporation, CNX Resources Corp, Comstock Resources Inc., ConocoPhillips, Devon Energy Corp, Diamondback Energy Inc, EOG Resources Inc, EQT Corp., Expand Energy Corp, Exxon Mobil Corporation, Northern Oil & Gas Inc., Occidental Petroleum Corp, Ovintiv Inc, Permian Resources Corp, Range Resources Corp., Suncor Energy Inc, Tourmaline Oil Corp..

Within the last 12 months, Morgan Stanley has provided or is providing investment banking services to, or has an investment banking client relationship with, the following company: Antero Resources Corp, APA Corp, Cenovus Energy, Chevron Corporation, Chord Energy Corporation, CNX Resources Corp, Comstock Resources Inc., ConocoPhillips, Devon Energy Corp, Diamondback Energy Inc, EOG Resources Inc, EQT Corp., Expand Energy Corp, Exxon Mobil Corporation, Matador Resources Co, Murphy Oil Corporation, Northern Oil & Gas Inc., Occidental Petroleum Corp, Permian Resources Corp, Range Resources Corp., Suncor Energy Inc, Tourmaline Oil Corp., Viper Energy Inc.

Within the last 12 months, Morgan Stanley has either provided or is providing non-investment banking, securities-related services to and/or in the past has entered into an agreement to provide services or has a client relationship with the following company: Antero Resources Corp, APA Corp, Canadian Natural Resources Ltd, Cenovus Energy, Chevron Corporation, Chord Energy Corporation, CNX Resources Corp, Comstock Resources Inc., ConocoPhillips, Devon Energy Corp, Diamondback Energy Inc, EOG Resources Inc, EQT Corp., Expand Energy Corp, Exxon Mobil Corporation, Northern Oil & Gas Inc., Occidental Petroleum Corp, Ovintiv Inc, Permian Resources Corp, Range Resources Corp., Suncor Energy Inc, Tourmaline Oil Corp..

An employee, director or consultant of Morgan Stanley is a director of Occidental Petroleum Corp. This person is not a research analyst or a member of a research analyst's household.

Morgan Stanley & Co. LLC makes a market in the securities of Chord Energy Corporation, CNX Resources Corp, Comstock Resources Inc., Matador Resources Co, Murphy Oil Corporation.

The equity research analysts or strategists principally responsible for the preparation of Morgan Stanley Research have received compensation based upon various factors, including quality of research, investor client feedback, stock picking, competitive factors, firm revenues and overall investment banking revenues. Equity Research analysts' or strategists' compensation is not linked to investment banking or capital markets transactions performed by Morgan Stanley or the profitability or revenues of particular trading desks.

Morgan Stanley and its affiliates do business that relates to companies/instruments covered in Morgan Stanley Research, including market making, providing liquidity, fund management, commercial banking, extension of credit, investment services and investment banking. Morgan Stanley sells to and buys from customers the securities/instruments of companies covered in Morgan Stanley Research on a principal basis. Morgan Stanley may have a position in the debt of the Company or instruments discussed in this report. Morgan Stanley trades or may trade as principal in the debt securities (or in related derivatives) that are the subject of the debt research report.

Certain disclosures listed above are also for compliance with applicable regulations in non-US jurisdictions.

STOCK RATINGS

Morgan Stanley uses a relative rating system using terms such as Overweight, Equal-weight, Not-Rated or Underweight (see definitions below). Morgan Stanley does not assign ratings of Buy, Hold or Sell to the stocks we cover. Overweight, Equal-weight, Not-Rated and Underweight are not the equivalent of buy, hold and sell. Investors should carefully read the definitions of all ratings used in Morgan Stanley Research. In addition, since Morgan Stanley Research contains more complete information concerning the analyst's views, investors should carefully read Morgan Stanley Research, in its entirety, and not infer the contents from the rating alone. In any case, ratings (or research) should not be used or relied upon as investment advice. An investor's decision

to buy or sell a stock should depend on individual circumstances (such as the investor's existing holdings) and other considerations.

Global Stock Ratings Distribution

(as of April 30, 2026)

The Stock Ratings described below apply to Morgan Stanley's Fundamental Equity Research and do not apply to Debt Research produced by the Firm.

For disclosure purposes only (in accordance with FINRA requirements), we include the category headings of Buy, Hold, and Sell alongside our ratings of Overweight, Equal-weight, Not-Rated and Underweight. Morgan Stanley does not assign ratings of Buy, Hold or Sell to the stocks we cover. Overweight, Equal-weight, Not-Rated and Underweight are not the equivalent of buy, hold, and sell but represent recommended relative weightings (see definitions below). To satisfy regulatory requirements, we correspond Overweight, our most positive stock rating, with a buy recommendation; we correspond Equal-weight and Not-Rated to hold and Underweight to sell recommendations, respectively.

Stock Rating Category	Coverage Universe		Investment Banking Clients (IBC)			Other Material Investment Services Clients (MISC)	
	Count	% of Total	Count	% of Total IBC	% of Rating Category	Count	% of Total Other MISC
Overweight/Buy	1546	42%	467	51%	30%	709	44%
Equal-weight/Hold	1568	43%	358	39%	23%	715	44%
Not-Rated/Hold	4	0%	0	0%	0%	1	0%
Underweight/Sell	555	15%	84	9%	15%	202	12%
Total	3,673		909			1627	

Data include common stock and ADRs currently assigned ratings. Investment Banking Clients are companies from whom Morgan Stanley received investment banking compensation in the last 12 months. Due to rounding off of decimals, the percentages provided in the "% of total" column may not add up to exactly 100 percent.

Analyst Stock Ratings

Overweight (O). The stock's total return is expected to exceed the average total return of the analyst's industry (or industry team's) coverage universe, on a risk-adjusted basis, over the next 12-18 months.

Equal-weight (E). The stock's total return is expected to be in line with the average total return of the analyst's industry (or industry team's) coverage universe, on a risk-adjusted basis, over the next 12-18 months.

Not-Rated (NR). Currently the analyst does not have adequate conviction about the stock's total return relative to the average total return of the analyst's industry (or industry team's) coverage universe, on a risk-adjusted basis, over the next 12-18 months.

Underweight (U). The stock's total return is expected to be below the average total return of the analyst's industry (or industry team's) coverage universe, on a risk-adjusted basis, over the next 12-18 months.

Unless otherwise specified, the time frame for price targets included in Morgan Stanley Research is 12 to 18 months.

Analyst Industry Views

Attractive (A): The analyst expects the performance of his or her industry coverage universe over the next 12-18 months to be attractive vs. the relevant broad market benchmark, as indicated below.

In-Line (I): The analyst expects the performance of his or her industry coverage universe over the next 12-18 months to be in line with the relevant broad market benchmark, as indicated below.

Cautious (C): The analyst views the performance of his or her industry coverage universe over the next 12-18 months with caution vs. the relevant broad market benchmark, as indicated below.

Benchmarks for each region are as follows: North America - S&P 500; Latin America - relevant MSCI country index or MSCI Latin America Index; Europe - MSCI Europe; Japan - TOPIX; Asia - relevant MSCI country index or MSCI sub-regional index or MSCI AC Asia Pacific ex Japan Index.

Important Disclosures for Morgan Stanley Smith Barney LLC Customers

Important disclosures regarding any material conflict of interest that can reasonably be expected to have influenced Morgan Stanley Smith Barney LLC's choice of a third-party research provider or the subject company of a third-party research report, are available on the Morgan Stanley Wealth Management disclosure website at www.morganstanley.com/online/researchdisclosures.

For Morgan Stanley specific disclosures, you may refer to <https://www.morganstanley.com/eqr/disclosures/webapp/generalresearch>.

Each Morgan Stanley research report is reviewed and approved on behalf of Morgan Stanley Smith Barney LLC. This review and approval is conducted by the same person who reviews the research report on behalf of Morgan Stanley. This could create a conflict of interest.

Other Important Disclosures

Morgan Stanley Research policy is to update research reports as and when the Research Analyst and Research Management deem appropriate, based on developments with the issuer, the sector, or the market that may have a material impact on the research views or opinions stated therein. In addition, certain Research publications are intended to be updated on a regular periodic basis (weekly/monthly/quarterly/annual) and will ordinarily be updated with that frequency, unless the Research Analyst and Research Management determine that a different publication schedule is appropriate based on current conditions.

Morgan Stanley is not acting as a municipal advisor and the opinions or views contained herein are not intended to be, and do not constitute, advice within the meaning of Section 975 of the Dodd-Frank Wall Street Reform and Consumer Protection Act.

Morgan Stanley produces an equity research product called a "Tactical Idea." Views contained in a "Tactical Idea" on a particular stock may be contrary to the recommendations or views expressed in research on the same stock. This may be the result of differing time horizons, methodologies, market events, or other factors. For all research available on a particular stock, please contact your sales representative or go to Matrix at <http://www.morganstanley.com/matrix>.

Morgan Stanley Research is provided to our clients through our proprietary research portal on Matrix and also distributed electronically by Morgan Stanley to clients. Certain, but not all, Morgan Stanley Research products are also made available to clients through third-party vendors or redistributed to clients through alternate electronic means as a convenience. For access to all

available Morgan Stanley Research, please contact your sales representative or go to Matrix at <http://www.morganstanley.com/matrix>.

Any access and/or use of Morgan Stanley Research is subject to Morgan Stanley's Terms of Use (<http://www.morganstanley.com/terms.html>). By accessing and/or using Morgan Stanley Research, you are indicating that you have read and agree to be bound by our Terms of Use (<http://www.morganstanley.com/terms.html>). In addition you consent to Morgan Stanley processing your personal data and using cookies in accordance with our Privacy Policy and our Global Cookies Policy (http://www.morganstanley.com/privacy_pledge.html), including for the purposes of setting your preferences and to collect readership data so that we can deliver better and more personalized service and products to you. To find out more information about how Morgan Stanley processes personal data, how we use cookies and how to reject cookies see our Privacy Policy and our Global Cookies Policy (http://www.morganstanley.com/privacy_pledge.html). Please use the provided link to review the Terms and Conditions and Most Important Terms and Conditions for Morgan Stanley India Company Private Limited (https://www.morganstanley.com/assets/pdfs/about-us-global-offices/india/Terms_and_Conditions.pdf) and the following link to review the audit report (https://ny.matrix.ms.com/eqr/research/webapp/researchdocs/MSICPL_Morgan_Stanley_Research_Audit_Report.pdf).

If you do not agree to our Terms of Use and/or if you do not wish to provide your consent to Morgan Stanley processing your personal data or using cookies please do not access our research. Morgan Stanley Research does not provide individually tailored investment advice. Morgan Stanley Research has been prepared without regard to the circumstances and objectives of those who receive it. Morgan Stanley recommends that investors independently evaluate particular investments and strategies, and encourages investors to seek the advice of a financial adviser. The appropriateness of an investment or strategy will depend on an investor's circumstances and objectives. The securities, instruments, or strategies discussed in Morgan Stanley Research may not be suitable for all investors, and certain investors may not be eligible to purchase or participate in some or all of them. Morgan Stanley Research is not an offer to buy or sell or the solicitation of an offer to buy or sell any security/instrument or to participate in any particular trading strategy. The value of and income from your investments may vary because of changes in interest rates, foreign exchange rates, default rates, prepayment rates, securities/instruments prices, market indexes, operational or financial conditions of companies or other factors. There may be time limitations on the exercise of options or other rights in securities/instruments transactions. Past performance is not necessarily a guide to future performance. Estimates of future performance are based on assumptions that may not be realized. If provided, and unless otherwise stated, the closing price on the cover page is that of the primary exchange for the subject company's securities/instruments.

The fixed income research analysts, strategists or economists principally responsible for the preparation of Morgan Stanley Research have received compensation based upon various factors, including quality, accuracy and value of research, firm profitability or revenues (which include fixed income trading and capital markets profitability or revenues), client feedback and competitive factors. Fixed Income Research analysts', strategists' or economists' compensation is not linked to investment banking or capital markets transactions performed by Morgan Stanley or the profitability or revenues of particular trading desks.

The "Important Regulatory Disclosures on Subject Companies" section in Morgan Stanley Research lists all companies mentioned where Morgan Stanley owns 1% or more of a class of common equity securities of the companies. For all other companies mentioned in Morgan Stanley Research, Morgan Stanley may have an investment of less than 1% in securities/instruments or derivatives of securities/instruments of companies and may trade them in ways different from those discussed in Morgan Stanley Research. Employees of Morgan Stanley not involved in the preparation of Morgan Stanley Research may have investments in securities/instruments or derivatives of securities/instruments of companies mentioned and may trade them in ways different from those discussed in Morgan Stanley Research. Derivatives may be issued by Morgan Stanley or associated persons.

With the exception of information regarding Morgan Stanley, Morgan Stanley Research is based on public information. Morgan Stanley makes every effort to use reliable, comprehensive information, but we make no representation that it is accurate or complete. We have no obligation to tell you when opinions or information in Morgan Stanley Research change apart from when we intend to discontinue equity research coverage of a subject company. Facts and views presented in Morgan Stanley Research have not been reviewed by, and may not reflect information known to, professionals in other Morgan Stanley business areas, including investment banking personnel.

Morgan Stanley Research personnel may participate in company events such as site visits and are generally prohibited from accepting payment by the company of associated expenses unless pre-approved by authorized members of Research management.

Morgan Stanley may make investment decisions that are inconsistent with the recommendations or views in this report.

To our readers based in Taiwan or trading in Taiwan securities/instruments: Information on securities/instruments that trade in Taiwan is distributed by Morgan Stanley Taiwan Limited ("MSTL"). Such information is for your reference only. The reader should independently evaluate the investment risks and is solely responsible for their investment decisions. Morgan Stanley Research may not be distributed to the public media or quoted or used by the public media without the express written consent of Morgan Stanley. Any non-customer reader within the scope of Article 7-1 of the Taiwan Stock Exchange Recommendation Regulations accessing and/or receiving Morgan Stanley Research is not permitted to provide Morgan Stanley Research to any third party (including but not limited to related parties, affiliated companies and any other third parties) or engage in any activities regarding Morgan Stanley Research which may create or give the appearance of creating a conflict of interest. Information on securities/instruments that do not trade in Taiwan is for informational purposes only and is not to be construed as a recommendation or a solicitation to trade in such securities/instruments. MSTL may not execute transactions for clients in these securities/instruments.

Morgan Stanley is not incorporated under PRC law and the research in relation to this report is conducted outside the PRC. Morgan Stanley Research does not constitute an offer to sell or the solicitation of an offer to buy any securities in the PRC. PRC investors shall have the relevant qualifications to invest in such securities and shall be responsible for obtaining all relevant approvals, licenses, verifications and/or registrations from the relevant governmental authorities themselves. Neither this report nor any part of it is intended as, or shall constitute, provision of any consultancy or advisory service of securities investment as defined under PRC law. Such information is provided for your reference only.

Morgan Stanley Research is disseminated in Brazil by Morgan Stanley C.T.V.M. S.A. located at Av. Brigadeiro Faria Lima, 3600, 6th floor, São Paulo - SP, Brazil; and is regulated by the Comissão de Valores Mobiliários; in Mexico by Morgan Stanley México, Casa de Bolsa, S.A. de C.V. which is regulated by Comisión Nacional Bancaria y de Valores. Paseo de los Tamarindos 90, Torre 1, Col. Bosques de las Lomas Floor 29, 05120 Mexico City; in Japan by Morgan Stanley MUFG Securities Co., Ltd. and, for Commodities related research reports only, Morgan Stanley Capital Group Japan Co., Ltd; in Hong Kong by Morgan Stanley Asia Limited (which accepts responsibility for its contents) and by Morgan Stanley Bank Asia Limited; in Singapore by Morgan Stanley Asia (Singapore) Pte. (Registration number 199206298Z) and/or Morgan Stanley Asia (Singapore) Securities Pte Ltd (Registration number 200008434H), regulated by the Monetary Authority of Singapore (which accepts legal responsibility for its contents and should be contacted with respect to any matters arising from, or in connection with, Morgan Stanley Research) and by Morgan Stanley Bank Asia Limited, Singapore Branch (Registration number T14FC0118); in Australia to "wholesale clients" within the meaning of the Australian Corporations Act by Morgan Stanley Australia Limited A.B.N. 67 003 734 576, holder of Australian financial services license No. 233742, which accepts responsibility for its contents; in Australia to "wholesale clients" and "retail clients" within the meaning of the Australian Corporations Act by Morgan Stanley Wealth Management Australia Pty Ltd (A.B.N. 19 009 145 555, holder of Australian financial services license No. 240813, which accepts responsibility for its contents; in Korea by Morgan Stanley & Co International plc, Seoul Branch; in India by Morgan Stanley India Company Private Limited having Corporate Identification No (CIN) U22990MH1998PTC115305, regulated by the Securities and Exchange Board of India ("SEBI") and holder of licenses as a Research Analyst (SEBI Registration No. INH000001105); Stock Broker (SEBI Stock Broker Registration No. INZ000244438), Merchant Banker (SEBI Registration No. INM000011203), and depository participant with National Securities Depository Limited (SEBI Registration No. IN-DP-NSDL-567-2021) having registered office at Altimus, Level 39 & 40, Pandurang Budhkar Marg, Worli, Mumbai 400018, India; Telephone no. +91-22-61181000; Compliance Officer Details: Mr. Tejarshi Hardas, Tel. No.: +91-22-61181000 or Email: tejarshi.hardas@morganstanley.com; Grievance officer details: Mr. Tejarshi Hardas, Tel. No.: +91-22-61181000 or Email: msic-compliance@morganstanley.com. Morgan Stanley India Company Private Limited (MSICPL) may use AI tools in providing research services.

All recommendations contained herein are made by the duly qualified research analysts; in Canada by Morgan Stanley Canada Limited; in Germany and the European Economic Area where required by Morgan Stanley Europe S.E., authorised and regulated by Bundesanstalt fuer Finanzdienstleistungsaufsicht (BaFin) under the reference number 149169; in the US by Morgan Stanley & Co. LLC, which accepts responsibility for its contents. Morgan Stanley & Co. International plc, authorized by the Prudential Regulation Authority and regulated by the Financial Conduct Authority and the Prudential Regulation Authority, disseminates in the UK research that it has prepared, and research which has been prepared by any of its affiliates, only to persons who (i) are investment professionals falling within Article 19(5) of the Financial Services and Markets Act 2000 (Financial Promotion) Order 2005 (as amended, the "Order"); (ii) are persons who are high net worth entities falling within Article 49(2)(a) to (d) of the Order; or (iii) are persons to whom an invitation or inducement to engage in investment activity (within the meaning of section 21 of the Financial Services and Markets Act 2000, as amended) may otherwise lawfully be communicated or caused to be communicated. RMB Morgan Stanley Proprietary Limited is a member of the JSE Limited and A2X (Pty) Ltd. RMB Morgan Stanley Proprietary Limited is a joint venture owned equally by Morgan Stanley International Holdings Inc. and RMB Investment Advisory (Proprietary) Limited, which is wholly owned by FirstRand Limited. The information in Morgan Stanley Research is being disseminated by Morgan Stanley Saudi Arabia, regulated by the Capital Market Authority in the Kingdom of Saudi Arabia, and is directed at Sophisticated investors only.

The information in Morgan Stanley Research is being communicated by Morgan Stanley & Co. International plc (DIFC Branch), regulated by the Dubai Financial Services Authority (the DFSA) or by Morgan Stanley & Co. International plc (ADGM Branch), regulated by the Financial Services Regulatory Authority Abu Dhabi (the FSRA), and is directed at Professional Clients only, as defined by the DFSA or the FSRA, respectively. The financial products or financial services to which this research relates will only be made available to a customer who we are satisfied meets the regulatory criteria of a Professional Client. A distribution of the different MS Research ratings or recommendations, in percentage terms for Investments in each sector covered, is available upon request from your sales representative.

The information in Morgan Stanley Research is being communicated by Morgan Stanley & Co. International plc (QFC Branch), regulated by the Qatar Financial Centre Regulatory Authority (the QFCRA), and is directed at business customers and market counterparties only and is not intended for Retail Customers as defined by the QFCRA.

As required by the Capital Markets Board of Turkey, investment information, comments and recommendations stated here, are not within the scope of investment advisory activity. Investment advisory service is provided exclusively to persons based on their risk and income preferences by the authorized firms. Comments and recommendations stated here are general in nature. These opinions may not fit to your financial status, risk and return preferences. For this reason, to make an investment decision by relying solely to this information stated here may not bring about outcomes that fit your expectations.

The trademarks and service marks contained in Morgan Stanley Research are the property of their respective owners. Third-party data providers make no warranties or representations relating to the accuracy, completeness, or timeliness of the data they provide and shall not have liability for any damages relating to such data. The Global Industry Classification Standard (GICS) was developed by and is the exclusive property of MSCI and S&P.

Morgan Stanley Research, or any portion thereof may not be reprinted, sold or redistributed without the written consent of Morgan Stanley.

Indicators and trackers referenced in Morgan Stanley Research may not be used as, or treated as, a benchmark under Regulation EU 2016/1011, or any other similar framework.

The issuers and/or fixed income products recommended or discussed in certain fixed income research reports may not be continuously followed. Accordingly, investors should regard those fixed income research reports as providing stand-alone analysis and should not expect continuing analysis or additional reports relating to such issuers and/or individual fixed income products. Morgan Stanley may hold, from time to time, material financial and commercial interests regarding the company subject to the Research report.

Registration granted by SEBI and certification from the National Institute of Securities Markets (NISM) in no way guarantee performance of the intermediary or provide any assurance of returns to investors. Investment in securities market are subject to market risks. Read all the related documents carefully before investing.

INDUSTRY COVERAGE: Exploration & Production

COMPANY (TICKER)	RATING (AS OF)	PRICE* (05/20/2026)
Devin McDermott		
Antero Resources Corp (AR.N)	O (04/17/2024)	\$37.98
APA Corp (APA.O)	U (04/15/2024)	\$39.32
Chord Energy Corporation (CHRD.O)	O (03/27/2026)	\$145.55
CNX Resources Corp (CNX.N)	U (01/10/2025)	\$36.53
Comstock Resources Inc. (CRK.N)	E (01/10/2025)	\$14.34
ConocoPhillips (COP.N)	O (12/16/2024)	\$122.36
Devon Energy Corp (DVN.N)	O (12/11/2023)	\$48.46
Diamondback Energy Inc (FANG.O)	O (12/11/2020)	\$204.33
EOG Resources Inc (EOG.N)	E (12/11/2023)	\$141.63
EQT Corp. (EQT.N)	O (11/18/2021)	\$57.83
Expand Energy Corp (EXE.O)	O (01/10/2025)	\$98.85
Matador Resources Co (MTDR.N)	E (01/10/2025)	\$59.52
Murphy Oil Corporation (MUR.N)	U (01/22/2025)	\$38.98
Northern Oil & Gas Inc. (NOG.N)	U (08/18/2025)	\$24.07
Occidental Petroleum Corp (OXY.N)	E (08/18/2025)	\$58.87
Ovintiv Inc (OVV.N)	E (03/27/2026)	\$59.53
Permian Resources Corp (PR.N)	O (01/10/2025)	\$20.89
Range Resources Corp. (RRC.N)	E (03/26/2025)	\$42.08
Tourmaline Oil Corp. (TOU.TO)	E (01/10/2025)	C\$67.15
Viper Energy Inc (VNOM.O)	O (08/18/2025)	\$47.70

Stock Ratings are subject to change. Please see latest research for each company.
* Historical prices are not split adjusted.

INDUSTRY COVERAGE: Integrated Energy

COMPANY (TICKER)	RATING (AS OF)	PRICE* (05/20/2026)
Devin McDermott		
Canadian Natural Resources Ltd (CNQ.TO)	E (10/07/2021)	C\$67.11
Cenovus Energy (CVE.TO)	O (10/07/2021)	C\$41.93
Chevron Corporation (CVX.N)	O (08/04/2025)	\$191.33
Exxon Mobil Corporation (XOM.N)	O (05/14/2024)	\$156.28
Imperial Oil Ltd (IMO.TO)	E (10/07/2021)	C\$183.85
Suncor Energy Inc (SU.TO)	E (12/16/2024)	C\$93.30

Stock Ratings are subject to change. Please see latest research for each company.
* Historical prices are not split adjusted.